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THE INVESTMENT TRUST OF INDIA

ANTIQUE

26 February 2026

ANTIQUE'S MORNING PRESENTATION

FROM THE RESEARCH DESK

INITIATING COVERAGE

Canara HSBC Life Insurance Company

Play on banca led growth

INDIA STRATEGY

Government finances

Revenue spending may see sharp uptick in 4Q!

COMPANY UPDATE

MOIL

Record 9M output; price hikes to aid realizations

Artemis Medicare Services

Expansion plans remain on track

SECTOR UPDATE

FMCG

Inflation easing gradually

Indian IT Services

AI drives hyperscaler growth; capex concerns persist

Global News

- The Nasdaq jumped 288.40 points or 1.3 percent to 23,152.08, the S&P 500 climbed 56.06 points or 0.8 percent to 6,946.13 and the Dow rose 307.65 points or 0.6 percent to 49,482.15.
- Japan's Nikkei 225 Index climbed 2.2% to close at 58,583 on Wednesday, marking a fresh all-time high as it tracked a tech-driven rebound on Wall Street amid easing concerns over potential artificial intelligence disruptions. Investors are also awaiting earnings from Nvidia for clearer signals on AI-related demand. Japanese equities drew additional support from a sharp weakening of the yen, following reports that Prime Minister Sanae Takaichi expressed concern about further rate hikes during a meeting last week with Bank of Japan Governor Kazuo Ueda. Takaichi also nominated two reflationist academics to the central bank's policy board, reinforcing expectations that the BOJ will take a cautious approach to further rate increases. Techn and AI-related shares led the advance, including Fujikura (6.5%), Advantest (7.5%), Disco Corp (5.8%), and Tokyo Electron (4.2%). Other notable gainers were Furukawa Electric (4.5%), JX Advanced Metals (12.3%), and Nitto Boseki (5.7%).

Sector & Corporate News

- **Government Skips Oversubscription Option in IRFC OFS:** The government chose not to exercise the oversubscription (green-shoe) option in IRFC's Offer for Sale, keeping the divestment limited to the base 2% stake instead of 4%. The decision came amid relatively muted investor demand, reflecting modest participation levels in the share sale.

Market Snapshot

Global Indices	Closing	% Chg	% YTD
Dow Jones	49,482	0.6	3.0
NASDAQ	23,152	1.3	(0.4)
FTSE	10,806	1.2	8.8
CAC	8,559	0.5	5.0
DAX	25,176	0.8	2.8
Bovespa	1,91,247	(0.1)	18.7
Nikkei	58,583	2.2	16.4
Hang Seng	26,766	0.7	4.4
Shanghai Composite	4,147	0.7	4.5

Indian Indices	Closing	% Chg	% YTD
Sensex	82,276	0.1	(3.5)
Nifty	25,483	0.2	(2.5)
MSCI India	1,024	0.5	(2.9)
CNX Midcap	59,406	0.6	(1.8)
BSE Smallcap	48,858	0.3	(5.2)

Flows (USD mn)	Prev. Day	MTD
FII	(27)	485
MF	(133.9)	(30.8)

Provisional flows	(USD mn)
FIIs	329
Locals	563

Volumes	USD bn	% Chg
Cash (NSE + BSE)	11.9	8.3
F&O (net)	3,433.0	27.3

FII F&O	Stock Fut	Index Fut
Net ($ mn)	-	0.0
OI (%)	-100.0	(100.0)

ADR/GDR Gainers	Last	% Chg
Infosys	14.2	2.9
Wipro	2.2	2.8
ICICI Bank	31.0	0.7

ADR/GDR Losers	Last	% Chg
SBI	132.4	(2.2)
Reliance	62.1	(2.2)
Dr Reddy	14.6	(1.2)
HDFC	32.2	(0.2)

Sectoral indices

	Closing	% Chg	% MTD	% YTD
BSE Auto	62,983	1.8	6.2	0.7
BSE Bank	68,545	0.0	2.2	2.7
BSE Cap Goods	70,188	0.3	5.3	4.6
BSE Cons dur	59,299	0.2	7.2	(1.2)
BSE FMCG	19,051	(0.3)	1.7	(6.4)
BSE IT	29,649	1.4	(19.0)	(19.3)
BSE Health	44,013	1.3	6.4	0.5
BSE Metal	40,918	2.6	5.3	11.2
BSE Oil	29,300	0.0	4.2	2.1
BSE Power	7,017	0.2	9.8	7.9
BSE PSU	22,452	0.1	4.5	9.2
BSE Realty	6,195	(0.1)	1.5	(9.0)
BSE TECK	15,690	0.5	(14.0)	(15.2)

Nifty Outperformers

	Price	% Chg	% MTD	% YTD
Hcl Technologies Ltd	1,378	2.9	(18.7)	(15.1)
Bajaj Auto Ltd	10,097	2.7	5.2	8.1
Tata Steel Ltd	215	2.6	11.1	19.2
Shriram Finance Ltd	1,086	2.3	6.5	9.0
Adani Enterprises Ltd	2,232	2.2	10.5	(0.4)
Tata Consultancy Svcs Ltd	2,629	2.2	(15.8)	(16.8)
Interglobe Aviation Ltd	4,947	2.0	7.6	(2.2)

Nifty Underperformers

	Price	% Chg	% MTD	% YTD
Reliance Industries Limited	1,399	(2.1)	0.2	(10.9)
State Bank Of India	1,200	(1.9)	11.4	22.2
Adani Ports And Special Econ	1,529	(1.7)	7.7	4.0
Eternal Ltd	250	(1.5)	(8.6)	(10.0)
Bharti Airtel Ltd	1,913	(1.4)	(2.8)	(9.1)
Itc Ltd	320	(1.2)	(0.7)	(20.7)
Kotak Mahindra Bank Ltd	425	(0.6)	4.2	(3.5)

Delivery Spike

Company	Volume	Spike (%)	Chg (%)
Divi's Laboratories Ltd	2,41,445	399%	2.24%
Aurobindo Pharma Ltd	19,76,339	326%	4.05%
Exide Industries Ltd	13,63,129	311%	0.42%
Bosch Ltd	17,213	274%	3.51%
United Breweries Ltd	1,86,804	180%	-0.75%
Hindustan Zinc Ltd	46,81,404	179%	3.63%
Adani Ports & Special Economic Zone Ltd	14,44,352	139%	-1.72%
Dabur India Ltd	21,83,883	132%	0.12%
Colgate-Palmolive India Ltd	5,29,454	102%	1.52%
Vedanta Ltd	1,03,43,020	88%	4.70%

Derivatives Update

Long Build Up

Company	Last	% Chg	% Chg OI	OI (in 000)
SAIL	165.99	3.61	8.41	1,85,635
PRESTIGE	1,429.90	0.31	2.21	4,621
PNBHOUSING	854.40	2.73	1.74	12,203
COFORGE	1,220.80	0.73	1.47	24,156
SAMMAANCAP	159.27	3.83	1.20	1,21,217

Short Build Up

Company	Last	% Chg	% Chg OI	OI (in 000)
ETERNAL	251.80	(0.87)	5.19	2,68,503
BAJAJHLDNG	11,241.00	(0.79)	4.25	195
IDFCFIRSTB	70.52	(0.63)	3.18	4,69,250
IRFC	104.23	(4.77)	2.97	68,896
SBICARD	763.70	(2.04)	2.61	20,796

Short Covering

Company	Last	% Chg	% Chg OI	OI (in 000)
NTPC	386.55	0.99	(34.31)	99,919
LT	4,310.40	1.20	(29.51)	13,422
ONGC	278.60	0.76	(28.09)	1,18,188
SUNPHARMA	1,770.40	2.23	(25.94)	22,283
DRREDDY	1,310.60	0.80	(23.31)	16,003

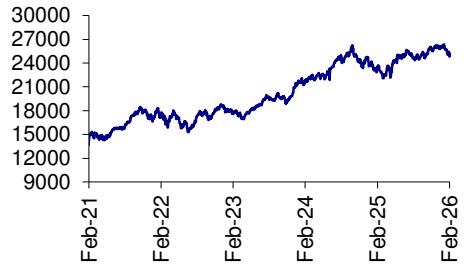
Long Unwinding

Company	Last	% Chg	% Chg OI	OI (in 000)
SBIN	1,207.50	-1.29	(23.31)	52,422
VOLTAS	1,527.60	-0.68	(16.97)	10,176
OBEROIRLTY	1,504.50	-0.49	(16.17)	5,305
MARICO	810.30	-0.01	(15.13)	26,518
SYNGENE	436.35	-0.17	(13.57)	9,090

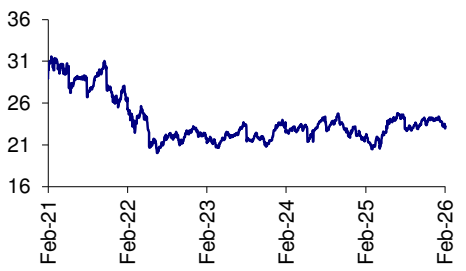
Bulk Deals

Security Name	Client Name	Buy/Sell	Qty	Price	Value (mn)
CPPLUS	Dixon Technologies (India) Limited	Sell	44,95,880	1,470.00	6,609
CROMPTON	HDFC Mutual Fund	Sell	94,00,000	265.55	2,496
SPICEJET	Authum Investment & Infrastructure Limited	Sell	9,72,14,108	13.09	1,273
CPPLUS	Kotak Mahindra Mutual Fund	Buy	8,07,807	1,470.00	1,187
DEEDEV	IRAGE Broking Services LLP	Sell	6,69,631	284.59	191

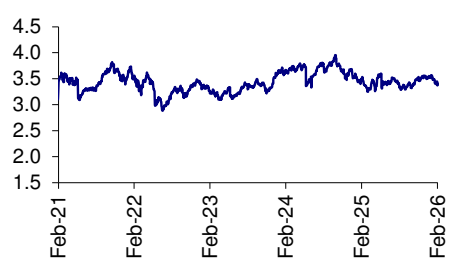
Nifty



Nifty P/E

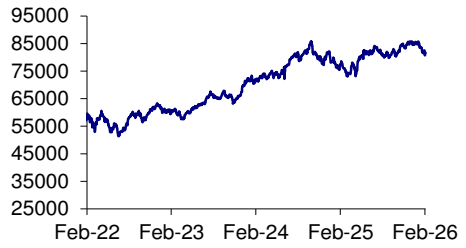


Nifty P/B

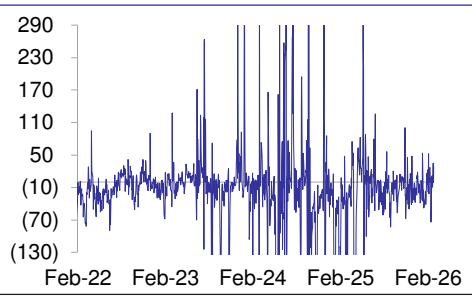


Source: Bloomberg

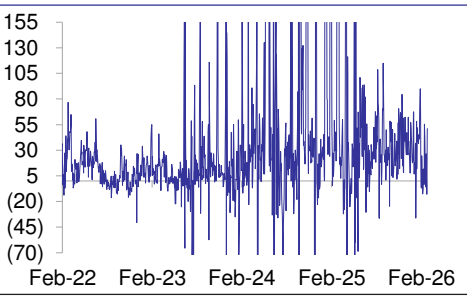
Sensex



FII Provisional Flows (INR bn)



DII Provisional Flows (INR bn)



Source: Bloomberg

Economy, Money & Banking

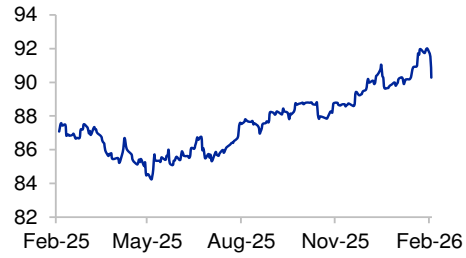
Forex Rate	Last	% Chg	% MTD	% YTD
INR~USD	91.0	(0.0)	1.1	(1.2)
INR~EUR	107.2	(0.0)	2.2	(1.6)
INR~GBP	123.0	(0.1)	2.7	(1.8)

Bond Market	Last	Chg (bps)	MTD (bps)	YTD (bps)
10 Year Bond	6.7	(0)	(2)	9
Interbank call	4.7	(45)	(15)	(80)

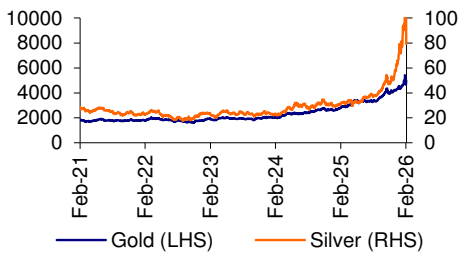
Commodities Update

Commodities	Last	% Chg	% MTD	% YTD
Gold ($/Ounce)	5,167	0.0	5.6	19.6
Crude Oil ($/Bl)	66	0.3	1.4	15.0
Aluminium ($/t)	3,067	0.2	(1.6)	3.3
Copper ($/t)	13,078	2.3	0.1	5.0
Zinc ($/t)	3,348	0.7	(1.4)	8.6
Lead ($/t)	1,905	0.0	(3.0)	(3.2)
Nickel ($/t)	17,699	3.6	(0.2)	7.3

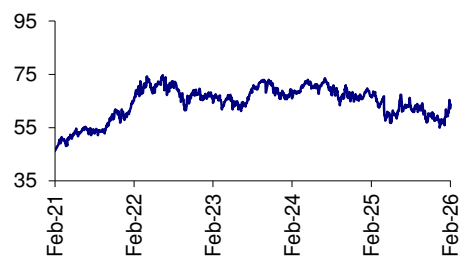
INR/USD



Gold and silver prices (USD/Tr.Oz)

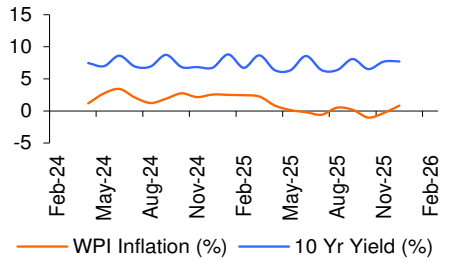


Crude prices (USD/barrel)

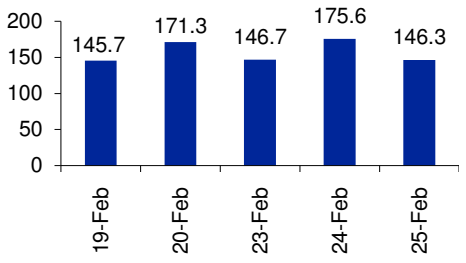


Source: Bloomberg

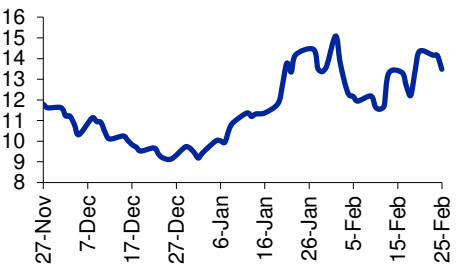
Inflation vs 10 year yield



Nifty premium/discount



NSE volatility index (%)



Source: Bloomberg

Please refer to our detailed report to be published today

Reco	:	BUY
CMP	:	INR 149
Target Price	:	INR 190
Potential Return	:	28%

INITIATING COVERAGE

Canara HSBC Life Insurance Company

Play on banca led growth

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Canara HSBC Life Insurance (CANHLIFE) has emerged as one of the fastest growing private life insurance company with FY15-25 and YTDFY26 individual WPI CAGR of 21% and 20% respectively vs industry growth of 10-11%. The company's individual WPI market share rose from 1.6% in FY15 to 2.9% in YTDFY26. It expects to sustain industry leading growth in the medium term given significant penetration scope in both its key banca partners Canara Bank and HSBC, and via setting up a new agency channel. VNB margins expanded sharply 200bps YoY to 19.7% and VNB grew 37% YoY to INR4.13bn during 9MFY26.The company expects its VNB margin to improve by at least 50 bps p.a. over the next few years despite offsetting GST ITC disallowance and costs for building the agency channel. The stock currently trades at an attractive 1.7x/ 1.5x FY27E and FY28E P/EV respectively for FY26-28E APE/ VNB / EV CAGR of 17%-19%. We initiate coverage on CANHLIFE with BUY rating and a DCF-based target price of INR 190, implying 1.8x FY28E P/EV.

Banca to drive industry leading near-term growth

Canara Bank and HSBC accounted for +72% and +13% of CANHLIFE's FY25 individual APE, having grown at 21% and 19% CAGR over FY15-25. Canara Bank, the promoter bank, with 120 million customers provides both enough penetration room (only 1.7% in FY25) and improved branch-level productivity (only INR 1.6 mn) via increased digitization. Besides, CANHLIFE can leverage Canara Bank's large network of 10,000+ branches spread across tier 2/ 3 cities. On the other hand, HSBC provides CANHLIFE access to its NRI and HNI customers focused on large ticket-size saving products. Overall, we expect CANHLIFE to continue to post industry leading APE growth (we factor in 17% CAGR over FY26-28E) in the medium-term.

Product mix to improve in favor of protection and annuities

CANHLIFE's individual FY25 APE growth was supported by a strong 82% YoY growth in ULIP and the share of ULIP in the product mix rising to 54% from 35%-37% in FY23-24. We expect this mix to turn more balanced with ULIP constituting ~50% in the medium-term. Given strong traction in retail protection post the GST cuts, the share of protection rose from 4% in FY25 to 7% in 9MFY26 and is likely to inch ~10% by FY28 with both retail protection and GTI accounting for an equal share. The share of annuities which stood at 12%-13% in FY24-25 is likely to inch up to the mid-teens in the near-term.

VNB margin to improve despite investments in agency channel

CANHLIFE enjoys one of the lowest expense ratio after SBILIFE at 18.7% (down 130bps YoY) during 9MFY26. CANHLIFE expects its VNB margin to improve by at least 50 bps p.a. over the next few years despite offsetting GST ITC disallowance and costs for building agency channel via better savings product mix, higher growth in protection and annuities, improving product level margins and costs optimization/ rationalization. We expects its VNB margin to improve from 19.1% in FY25 to 21% in FY28E.

Persistency improving; solvency strong

13-month and 61-month persistency ratios have improved from 74.5% to 85.6% and 47.3% to 59.2% respectively over FY22 to 9MFY26. This is aided by quality new business sourcing through need based sales, improved onboarding, and ongoing customer engagement. It currently enjoys operating RoEV of 18%-19%, which may remain stable in the near term. Solvency ratio remains healthy at 1.9x and the company plans to raise INR 2.5 bn via NCDs to meet increasing requirements of higher protection growth. EV rose by 21% YoY from INR 42.7 bn in FY23 to FY24 and by 18% YoY from FY24 to FY25 and by 16% YoY to INR 68.7 bn in 9MFY26.

Investment Summary—Initiate with BUY and a TP of INR 190

We initiate coverage on CANHLIFE with BUY rating and DCF based target price of INR 190, implying 1.8x FY28E P/EV. Key risks include higher dependence on banca channel, regulatory risk, taxation changes, continuous investments in agency channel, etc. We see risk-reward as favorable as concerns regarding higher dependence on banca channel seems adequately priced-in with valuations at 1.5x FY28E P/EV.

Market data

Sensex	:	82,276
Sector	:	Life Insurance
Market Cap (INR bn)	:	142.5
Market Cap (USD bn)	:	1.566
O/S Shares (mn)	:	950.0
52-wk HI/LO (INR)	:	159/106
Avg. Daily Vol ('000)	:	437
Bloomberg	:	CANHLIFE IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
P/VNB (x) - Implied	12.4	8.5	5.5
P/EV (x)	2.0	1.7	1.5
P/EVOP	14.0	11.2	9.6
P/B	9.5	8.9	8.2
P/E	107.7	93.4	82.4

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	2	22	-	-
Relative	1	27	-	-

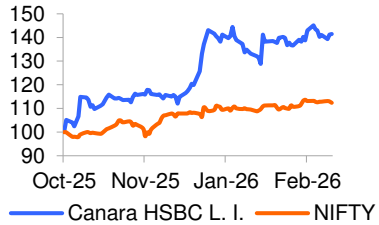
Source: Bloomberg

Shareholding pattern

Promoters	:	62%
Public	:	38%
Others	:	0%

Source: Bloomberg

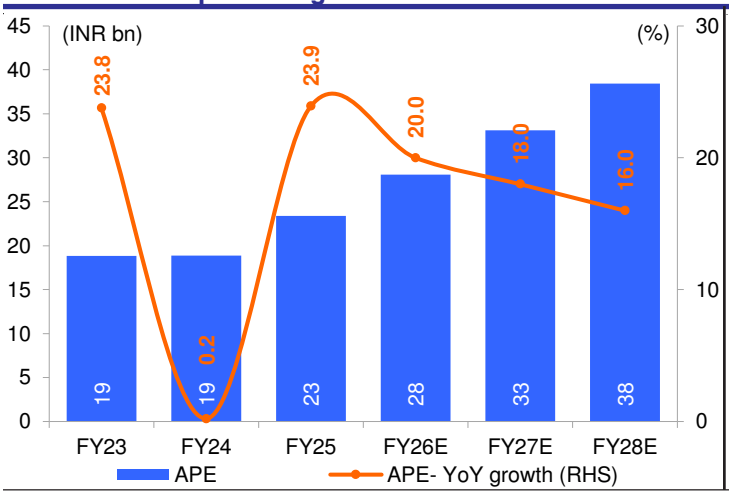
Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

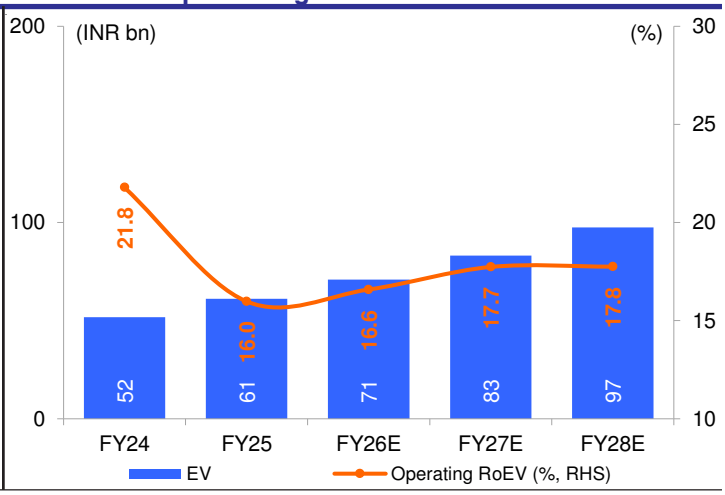
Story in Charts

Exhibit 1: APE expected to grow at 17% CAGR over FY25-28E



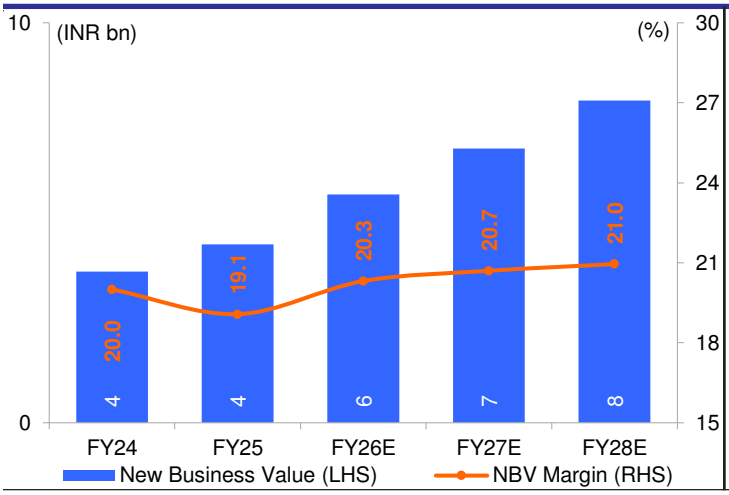
Source: Antique Research

Exhibit 2: EV expected to grow at 17% CAGR over FY25-28E



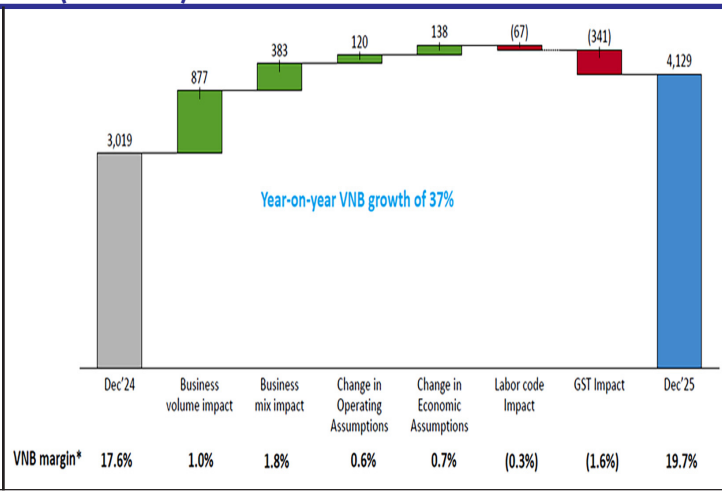
Source: Antique Research

Exhibit 3: VNB expected to grow at 19% CAGR over FY25-28E



Source: Antique Research

Exhibit 4: VNB walk for 9MFY25 with YoY VNB growth of 37% (INR in mn)



Source: Antique Research

Table 1: Key Assumption

INR bn	FY24	FY25	FY26E	FY27E	FY28E	YoY growth (%)	FY25	FY26E	FY27E	FY28E	CAGR FY26-28E
NBP	29.0	31.2	37.5	44.2	51.3	NBP	8	20	18	16	17
APE	18.9	23.4	28.1	33.1	38.4	APE	24	20	18	16	17
VNB	3.8	4.5	5.7	6.9	8.1	VNB	18	28	20	17	19
EV	51.8	61.1	70.9	83.1	97.5	EV	18	16	17	17	17
EVOP	9.3	8.3	10.1	12.6	14.8	EVOP	-11	22	24	17	21
ROEV	21.8%	16.0%	16.6%	17.7%	17.8%						
VNB Margin	20.0%	19.1%	20.3%	20.7%	21.0%						

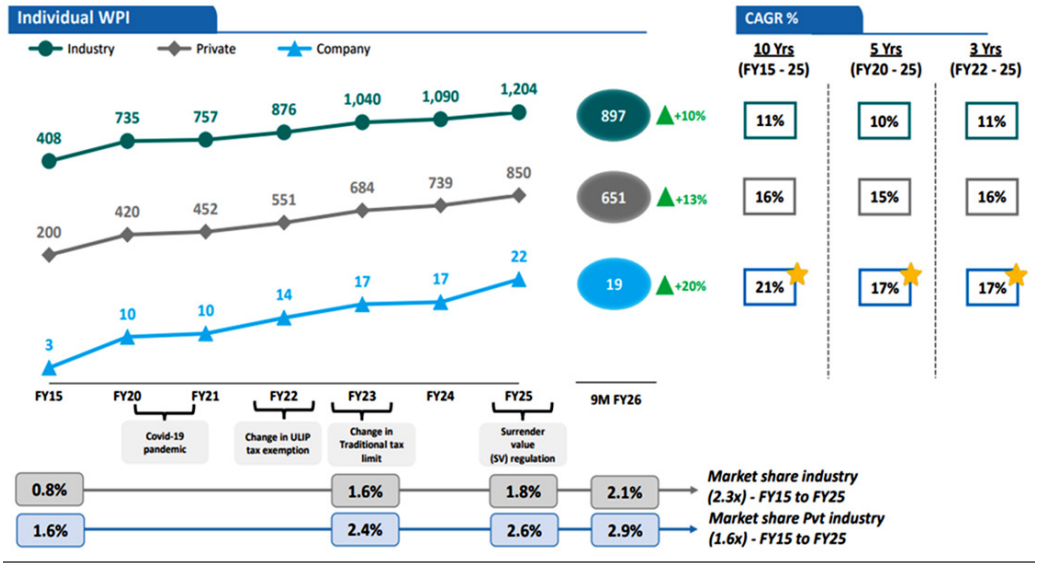
Source: Antique Research

Table 2: We assign BUY rating with a TP of INR 190 using Appraisal Value framework

Particular	INR bn
FY28E VNB	8.1
Target VNB multiple (x)	**12**
Structural Value	97
FY27E EV	83
Appraisal value	180
Share count (bn)	0.95
Appraisal value per share (INR)	**190**

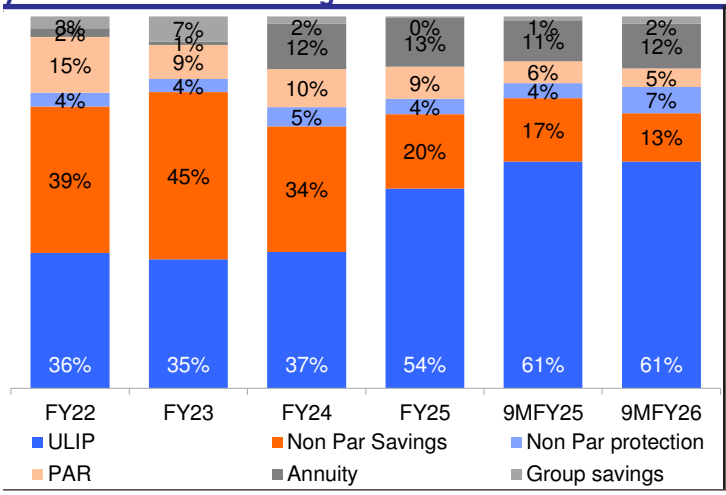
Source: Antique Research

Exhibit 5: Fastest growing private life insurance company with FY15-25 and YTDFY26 individual WPI CAGR of 21% and 20% respectively



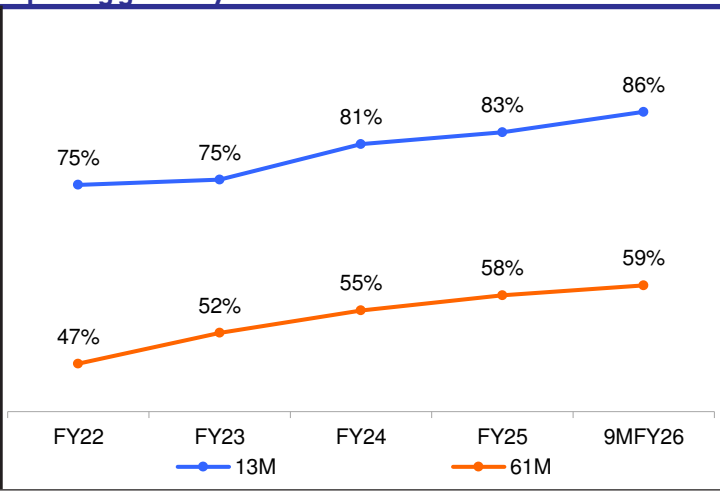
Source: Company, Antique Research

Exhibit 6: Product mix balanced with rise in protection yet share of ULIP remains high



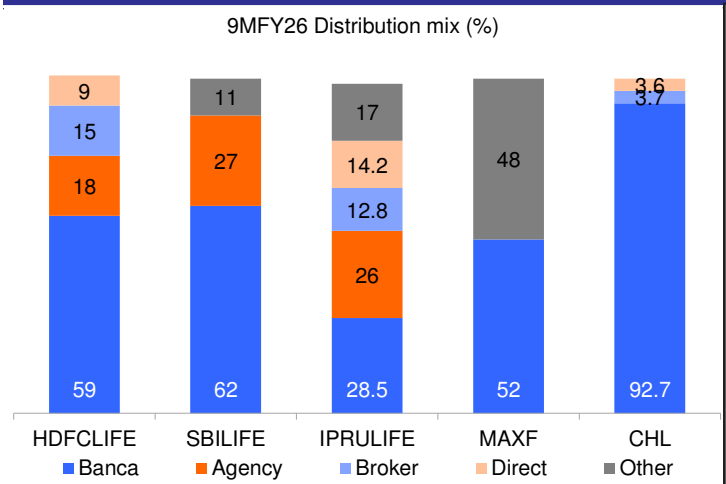
Source: Company, Antique Research

Exhibit 7: Persistency across key cohorts has been improving gradually



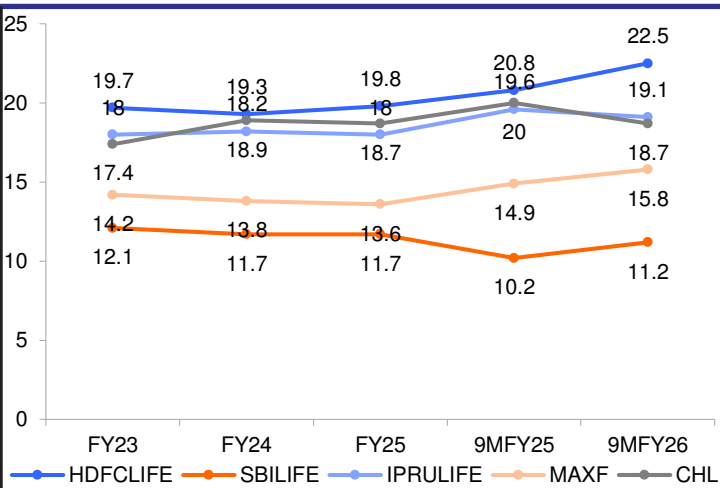
Source: Company, Antique Research

Exhibit 8: Higher reliance on bancassurance, but well-diversified across savings products



Source: Company, Antique Research

Exhibit 9: Expense efficiency among best-in-class for bank-led insurers



Source: Company, Antique Research

SWOT Analysis

- **Strong bancassurance-led distribution with wide reach**

  Bancassurance contributes 85%-90% of New Business Premium (NBP), driven by access to 9,500+ Canara Bank branches, HSBC India branches, and RRBs, giving the company's deep penetration across urban, semi-urban, and rural markets. This enables lower acquisition costs versus agency-heavy peers and provides stable renewal inflows.

- **Healthy growth with improving profitability metrics**

  The company delivered 15%-20% CAGR in APE over the last few years, ahead of industry growth, while VNB has grown faster than APE, indicating margin expansion. VNB margins are in the mid-to-high teens, reflecting improving product mix and pricing discipline.

- **Improving business quality and persistency**

  13M persistency has improved to +85%+, while 61M persistency has moved toward 55%-60%, reflecting better onboarding, underwriting, and post-sales servicing. Improved persistency directly supports higher embedded value and reduces strain on capital.

- **Diversified product mix supporting margin stability**

  The product portfolio spans protection, annuity, savings, ULIP, PAR, and non-PAR, with non-PAR, protection and annuity contributing an increasing share of VNB. Protection and annuity together contribute ~20% of 9mFY26 total APE, aiding margin resilience.

- **High dependence on bancassurance channel**

  With 85%-90% of sourcing from banca, the company remains exposed to partner bank strategies, productivity cycles and regulatory changes impacting bank-led insurance distribution.

- **Smaller scale versus leading private peers**

  The company's market share in private life insurance remains ~2%-3%, significantly lower than top-tier peers, limiting operating leverage, brand visibility and negotiating power.

- **Agency channel still at an early stage**

  The agency channel currently contributes hardly and requires sustained investment in recruitment, training and productivity before becoming meaningfully margin-accretive.

- **Moderate brand recall in open-market channels**

  Brand strength is high within Canara Bank and HSBC ecosystems, but relatively weaker in pure retail and digital acquisition compared to large private insurers with higher marketing intensity.

- **Structural under-penetration of life insurance in India**

  India's life insurance penetration remains ~3% of GDP, well below global averages, with protection gap estimated to be significantly under-served. Canara HSBC Life is well placed to tap this via its strong rural and semi-urban banca footprint.

- **Rising protection and retirement demand**

  Term protection and annuity segments are growing at ~20%+ CAGR industry-wide. Increasing contribution from these segments can drive higher VNB margins and RoEV, while reducing reliance on savings-led products.

- **Productivity gains through digitization and analytics**

  Use of analytics across banca branches and customer databases offers scope for cross-sell, up-sell and renewal ratio improvement, enhancing APE per branch without proportional cost increases.

- **Distribution diversification over medium term**

  Scaling agency, digital and direct channels can reduce banca concentration risk and improve long-term sourcing stability, albeit with near-term cost pressures.

- **Regulatory and tax uncertainty**

  Changes in tax treatment of high-premium policies and commission structures can impact demand and product economics, particularly in savings and ULIP segments.

- **Intense competition from large private insurers**

  Market leaders with 10%-15%+ private market share, superior brand recall and higher marketing spends may pressure growth and margins.

- **Capital market and interest rate volatility**

  Equity market volatility affects ULIP inflows, while interest rate changes impact annuity pricing, investment yields and solvency sensitivity.

- **Execution risk in non-banca scaling**

  Faster cost build-up or slower-than-expected productivity in agency and digital channels could temporarily push up the expense ratio, impacting near-term profitability.

Outlook & Valuation

We initiate coverage on CANHLIFE with BUY rating and DCF based target price of INR 190, implying 1.8x FY28E P/EV. The stock currently trades at an attractive 1.7x/ 1.5x FY27E and FY28E P/EV respectively for FY26-28E APE/ VNB / EV CAGR of 17%-19%. Key risks include higher dependence on banca channel, regulatory risk, taxation changes, continuous investments in agency channel, etc. We see risk-reward as favorable as concerns regarding higher dependence on banca channel seems adequately priced-in.

Table 3: Key assumptions

INR bn	FY24	FY25	FY26E	FY27E	FY28E	YoY growth (%)	FY25	FY26E	FY27E	FY28E	CAGR FY26-28E
NBP	29.0	31.2	37.5	44.2	51.3	NBP	8	20	18	16	17
APE	18.9	23.4	28.1	33.1	38.4	APE	24	20	18	16	17
VNB	3.8	4.5	5.7	6.9	8.1	VNB	18	28	20	17	19
EV	51.8	61.1	70.9	83.1	97.5	EV	18	16	17	17	17
EVOP	9.3	8.3	10.1	12.6	14.8	EVOP	-11	22	24	17	21
ROEV	21.8%	16.0%	16.6%	17.7%	17.8%						
VNB Margin	20.0%	19.1%	20.3%	20.7%	21.0%						

Source: Antique Research

Table 4: We assign BUY rating with a TP of INR 190 using Appraisal Value framework

Particular	INR bn
FY28E VNB	8.1
Target VNB multiple (x)	**12**
Structural Value	97
FY27E EV	83
Appraisal value	180
Share count (bn)	0.95
Appraisal value per share (INR)	**190**

Source: Antique Research

Table 5: Reverse DCF to deduce VNB growth assumptions over 15 years

Parameter (INR bn)	Value
FY25E-40E APE CAGR	11.8%
FY25E-40E VNB CAGR	12.5%
Terminal growth rate	5.5%
Cost of Equity	15.5%
FY27E EV	83
Present value of future VNB	98
Appraisal Value	181
Share count (mn)	950
Appraisal value per share (INR)	190
Price target (INR)	**190**

Source: Antique Research

Table 6: Arriving at implied P/EV

Implied target multiple on FY28E	190
P/EV	1.8x
RoEV (%)	17.8
P/EVOP	14.4x
Implied FY28E VNB multiple	12.0x

Source: Antique Research

Table 7: Comparative valuation

		Mcap	CMP	TP	Target (x)		P/EV			P/VNB			RoEV (%)		
Stock	Rating	(INR bn)	(INR/sh)	(INR/sh)	VNB (x)	P/EV(x)	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
HDFCLIFE	BUY	1,581	736	890	20	2.3	2.5	2.1	1.9	21.9	16.8	12.5	15.0	15.7	15.7
SBILIFE	BUY	2,081	2,078	2,500	18	2.2	2.5	2.2	1.8	18.6	14.2	10.7	17.2	17.6	17.2
IPRU	BUY	962	669	790	16	1.8	1.8	1.6	1.4	16.3	12.1	8.4	12.4	12.9	12.9
MAXF*	BUY	640	1,855	2,150	23	2.9	3.4	2.9	2.4	27.2	21.0	16.0	18.0	18.1	18.1
CANHLIFE	BUY	142	149	190	12	1.8	2.0	1.7	1.5	12.4	8.5	5.5	16.6	17.7	17.8
LICI	BUY	55,344	875	1,100	10	0.7	0.6	0.6	0.5	NA	NA	NA	10.6	10.7	10.7

Source: Antique Research; * Valuations after factoring 20% holdco discount

Financials

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Policyholders' account					
Gross written premium	71,287	80,275	96,927	1,16,066	1,37,495
Net earned premium	**69,326**	**78,502**	**94,788**	**1,13,504**	**1,34,459**
Investment income	48,124	27,574	27,598	30,661	35,093
Other income	107	188	0	0	0
Total revenue	**1,17,557**	**1,06,264**	**1,22,385**	**1,44,165**	**1,69,553**
Commission expense	4,111	5,071	6,313	7,786	9,493
Operating expenses	9,354	9,942	11,028	12,865	15,200
Benefits cost	1,02,611	89,552	1,04,093	1,22,260	1,43,335
Total expense	**1,16,801**	**1,05,452**	**1,22,099**	**1,43,708**	**1,68,971**
Surplus/Deficit	757	812	287	457	582
Shareholders' account					
Transfer from policyholder account	1,444	1,320	287	457	582
Investment income	965	1,019	1,133	1,177	1,269
Expenses / Trf to policyholder	1,170	1,088	51	56	61
Profit before tax	1,239	1,251	1,370	1,578	1,790
Tax expense	106	82	55	63	72
Profit after tax	**1,133**	**1,169**	**1,315**	**1,515**	**1,718**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Sources of Funds					
Shareholders' Funds	14,189	14,848	14,848	15,984	17,273
Borrowings	0	0	2,500	2,500	2,500
Policyholders' Funds: Insurance reserves and provisions	3,57,545	3,81,337	4,35,016	4,99,340	5,75,686
Others	6,424	6,980	4,689	4,905	5,127
Total Liabilities	**3,78,158**	**4,03,165**	**4,57,053**	**5,22,729**	**6,00,586**
Application of Funds					
Shareholders' Investments	15,703	13,779	13,779	14,833	16,029
Policyholders' Investments	1,98,925	2,13,588	2,43,654	2,79,682	3,22,444
Assets Held to Cover Linked Liabilities	1,59,176	1,72,760	1,97,079	2,26,220	2,60,808
Net Current Assets (C) = (A – B)	3,301	1,729	1,658	1,397	856
Other Asset	1,053	1,309	883	597	449
Total Assets	**3,78,158**	**4,03,165**	**4,57,053**	**5,22,729**	**6,00,586**

Source: Company, Antique

EV Account

	FY24	FY25	FY26E	FY27E	FY28E
EV	51,797	61,107	70,943	83,148	97,483
. -Adjusted Net Worth	14,678	16,283	17,911	19,048	20,336
-Value-in-Force	37,119	44,824	53,032	64,101	77,146
Annualised Premium Equivalent (APE)	**18,878**	**23,393**	**28,072**	**33,124**	**38,424**
New Business value	**3,776**	**4,461**	**5,703**	**6,857**	**8,051**
New Business Margin (%)	20.0	19.1	20.3	20.7	21.0
EV Operating Profit	9,310	8,280	10,136	12,584	14,764
Operating RoEV (%)	21.8	16.0	16.6	17.7	17.8

Per share data, (in INR)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EPS	1.2	1.2	1.4	1.6	1.8
DPS	0.3	0.3	0.3	0.4	0.5
EVPS	54.5	64.3	74.7	87.5	102.6
BVPS	14.9	15.6	15.6	16.8	18.2
EV Op. Profit per share	9.8	8.7	10.7	13.2	15.5

Key Ratio

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Return on Equity (%)	8.2	8.1	8.9	9.8	10.3
Commission expense/TWRP (%)	6.8	7.1	7.3	7.5	7.7
Operating expenses/TWRP (%)	15.5	13.9	12.7	12.4	12.3
Total expense (% of TWRP)	22.3	20.9	20.0	19.9	20.0
Total expense (% of Avg AUM)	4.0	3.9	4.1	4.2	4.4
Conservation ratio (%)	82.6	82.8	84.0	84.0	84.0

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net earned premium	-1.4	13.2	20.7	19.7	18.5
EV	21.3	18.0	16.1	17.2	17.2
Annualised Premium Equivalent (APE)	0.2	23.9	20.0	18.0	16.0
New Business value	-	18.1	27.8	20.2	17.4
EV Operating Profit	-	-11.1	22.4	24.1	17.3

Valuation

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/VNB (x) - Implied	23.8	18.0	12.4	8.5	5.5
P/EV (x)	2.7	2.3	2.0	1.7	1.5
P/EVOP	15.2	17.1	14.0	11.2	9.6
P/B	10.0	9.5	9.5	8.9	8.2
P/E	124.9	121.1	107.7	93.4	82.4

Source: Company Antique

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INDIA STRATEGY

Government finances

Revenue spending may see sharp uptick in 4Q!

In this report, we have analyzed both center and state government (19 states contributing ~93% of GDP) finances for the months of April-December 2025. Key takeaways: a) Combined tax revenue grew by a modest 7.5% YoY (center & state grew by 5.2% & 9.3% YoY respectively); b) Combined revenue expenditure grew by 5.8% YoY (center & state grew by 1.8% & 7.7% YoY respectively); c) Combined capital expenditure grew by a healthy 15.0% YoY (center & state grew by 15.0% & 14.9% YoY respectively); and d) The overall fiscal deficit is at 56.2% of FY26BE (vs 58.0% for same period last year). Overall on a combined basis, we believe that i) Tax revenue may grow by ~11% in 4QFY26, given likely de-growth in centre capex; ii) Capex may grow meagerly by ~3.7% YoY in 4QFY26, primarily due to de-growth in centre capex; iii) Revenue spending may grow at 15.3% YoY in 4QFY26; and iv) Fiscal consolidation glide-path may be maintained.

Expect strong state non-tax revenue and expenditure growth in 4Q

During Apr-Dec FY26, state tax revenue grew by 9.3% YoY (driven by other taxes, stamps & registration fees, state's share of union taxes, state excise duty) while non-tax revenue de-grew by 3.9% YoY (led by weakness in grants from the center). In terms of expenditure, revenue and capital grew by 7.7% YoY and 14.9% YoY respectively. Overall, fiscal deficit rose to 58.5% of FY26BE, as against last year's 56.0% of FY25P. Going ahead in 4Q, we expect strong revenue and capital expenditure growth (of ~25% and 24% respectively) helped by strong uptick in non-tax revenue (primarily driven by grants from centre).

Central govt. revenue expenditure may see a sharp uptick in 4Q

During April-Dec FY26, center's gross tax revenue grew by 8.5% YoY (with healthy growth in customs, corporate tax and excise), while net tax revenue grew by lower 5.2% YoY due to strong growth in state share of union taxes. In terms of expenditure, revenue expenditure grew by modest 1.8% (despite interest expense growth of 12.7% YoY) while capex grew by ~15.0% YoY (mainly driven by communication and defence). Overall, 9M fiscal deficit rose to 54.9% of FY26RE, as against last year's 58.0% of FY25P. Going ahead in 4Q, we expect only a marginal miss in revenue receipt leading to a robust 18% YoY growth in revenue expenditure (resulting in a sharp uptick in grants to states).

Combined fiscal deficit is lower compared to last year

During Apr-Dec FY26, combined tax revenue grew by 7.5% while combined non-tax revenue grew by a healthy 17.4% (led by dividend & profit growth by the center). In terms of combined expenditure, revenue and capital spending grew by 5.8% YoY (led by 12% YoY growth in interest expense) and 15.0% YoY respectively. Overall, the fiscal deficit was at 56.2% of FY26BE as against last year's 58.0% of FY25P.

Government capex may soften in 4QFY26

Overall on a combined basis, we believe that i) Tax revenue may grow by ~11% in 4QFY26 (as compared to 7.5% in 9mFY26); ii) Capital spending growth may grow by ~3.7% YoY in 4QFY26 (as compared to 15.0% YoY in 9mFY26), given likely de-growth in centre capex; iii) Revenue spending may grow at 15.3% YoY in 4QFY26 (as compared to 5.8% YoY in 9mFY26); and iv) Fiscal consolidation glide-path may be maintained.

State Budget math

Table 1: State capex has strengthened in December

State (INR bn)	Dec'25	YoY (%)	9mFY26 (Apr-Dec)	YoY (%)	1QFY26	YoY (%)	2QFY26	YoY (%)	3QFY26	YoY (%)
Total receipts	**3,874**	**26.6**	**28,791**	**7.4**	**8,553**	**3.3**	**9,321**	**8.8**	**10,917**	**9.7**
Revenue receipts	**3,867**	**26.7**	**28,693**	**7.2**	**8,522**	**3.0**	**9,292**	**8.6**	**10,879**	**9.5**
Tax revenue	3,261	34.8	24,762	9.3	7,466	3.2	8,001	13.1	9,295	11.4
Non-tax revenue	605	-4.3	3,931	-3.9	1,056	3.8	1,291	-12.8	1,584	-0.5
Capital receipts excl borrowings	**7**	**-16.2**	**98**	**110.4**	**31**	**126.7**	**29**	**104.5**	**38**	**103.0**
Recovery of loans and advances	7	-17.4	97	112.8	31	129.5	29	108.2	38	104.2
Other receipts	0	219.0	1	-20.5	0	-6.8	0	-45.6	0	1.3
Total Expenditure	**4,484**	**10.9**	**35,292**	**8.7**	**10,528**	**13.1**	**12,324**	**6.5**	**12,441**	**7.3**
Revenue expenditure	**3,652**	**6.0**	**30,159**	**7.7**	**9,298**	**11.5**	**10,532**	**7.7**	**10,329**	**4.4**
Interest payment	537	34.7	3,755	10.4	1,040	2.8	1,484	11.7	1,232	16.2
Others	3,115	2.2	26,404	7.3	8,259	12.7	9,048	7.1	9,097	3.0
Capital expenditure	**832**	**39.6**	**5,133**	**14.9**	**1,229**	**26.6**	**1,792**	**-0.1**	**2,112**	**24.1**
Capital outlay	757	37.7	4,654	15.5	1,093	31.3	1,624	3.9	1,937	18.5
Loans and advances	75	63.1	479	9.6	136	-1.9	168	-27.3	175	161.6
Fiscal Deficit	**610**	**-37.9**	**6,502**	**14.7**	**1,975**	**92.3**	**3,003**	**0.1**	**1,524**	**-7.2**
Fiscal Deficit to GSDP	0.2		1.8		0.6		0.9		0.4	
Revenue Deficit (-ve=surplus)	**-214**	**-154.3**	**1,466**	**17.4**	**777**	**1,017.1**	**1,240**	**1.6**	**-551**	**1,224.0**
Revenue deficit as % GSDP	-0.1		0.4		0.2		0.4		-0.2	
Primary deficit	73	-87.4	2,747	21.0	935	6,013.4	1,519	-9.2	292	-49.8
Primary deficit as % of GDP	0.0		0.8		0.3		0.4		0.1	

Source: Antique, CMIE. State data includes 19 states contributing ~93% of GDP

Table 2: State Tax revenue has also strengthened in December (especially in other taxes and registration fees)

States Revenue Receipts (INR bn)	Dec'25	YoY (%)	9mFY26 (Apr-Dec)	YoY (%)	1QFY26	YoY (%)	2QFY26	YoY (%)	3QFY26	YoY (%)
Revenue receipts	**3,867**	**26.7**	**28,693**	**7.2**	**8,522**	**3.0**	**9,292**	**8.6**	**10,879**	**9.5**
Tax revenue	**3,261**	**34.8**	**24,762**	**9.3**	**7,466**	**3.2**	**8,001**	**13.1**	**9,295**	**11.4**
Stamps and registration fees	248	38.6	1,949	11.8	624	10.2	671	9.3	654	16.1
Taxes on sales, trade etc.	371	10.4	3,040	4.0	969	3.6	1,036	3.3	1,035	5.1
State excise duties	256	18.0	2,124	11.3	688	8.7	682	11.4	754	13.6
GST	817	0.3	7,620	1.9	2,452	-0.4	2,556	7.8	2,612	-1.2
State's share of Union Taxes	968	33.3	8,009	11.4	2,262	3.9	2,516	23.2	3,230	8.9
Other taxes and duties	601	312.5	2,021	42.5	471	2.0	540	24.7	1,011	92.9
Non-tax revenue	**605**	**-4.3**	**3,931**	**-3.9**	**1,056**	**3.8**	**1,291**	**-12.8**	**1,584**	**-0.5**
State's own non-tax revenue	293	-0.8	2,155	10.2	641	4.7	669	12.7	844	12.7
Grants-in-aid and contributions	312	-7.4	1,777	-16.8	415	2.5	622	-29.9	740	-12.3

Source: Antique, CMIE. State data includes 19 states contributing ~93% of GDP

Table 3: States run the risk of breaching its fiscal target for FY26

State (INR bn)	9mFY26 (Apr-Dec)	YoY (%)	Implied 3mFY26 (Jan-Mar)	YoY (%)	FY25P	FY26BE	YoY (%)	YTD as % FY25P	YTD as % FY26BE
Total receipts	**28,791**	**7.4**	**18,994**	**57.3**	**38,887**	**47,784**	**22.9**	**68.9**	**60.3**
Revenue receipts	**28,693**	**7.2**	**18,598**	**55.6**	**38,717**	**47,291**	**22.1**	**69.1**	**60.7**
Tax revenue	24,762	9.3	12,596	29.2	32,406	37,358	15.3	69.9	66.3
Non-tax revenue	3,931	-3.9	6,002	134.2	6,653	9,933	49.3	61.5	39.6
Capital receipts excl borrowings	**98**	**110.4**	**396**	**221.2**	**170**	**494**	**190.9**	**27.3**	**19.8**
Total Expenditure	**35,292**	**8.7**	**23,606**	**42.7**	**49,017**	**58,898**	**20.2**	**66.3**	**59.9**
Revenue expenditure	30,159	7.7	18,281	41.5	40,932	48,440	18.3	68.4	62.3
Interest payments	3,755	10.4	2,426	37.5	5,164	6,181	19.7	65.8	60.7
Others	26,404	7.3	15,855	42.1	35,768	42,259	18.1	68.8	62.5
Capital expenditure	**5,133**	**14.9**	**5,325**	**47.2**	**8,086**	**10,459**	**29.4**	**55.2**	**49.1**
Capital outlay	4,654	15.5	4,998	50.9	7,343	9,653	31.5	54.9	48.2
Loans and advances	479	9.6	327	7.0	742	806	8.5	58.8	59.4
Fiscal Deficit	**6,502**	**14.7**	**4,612**	**3.4**	**10,131**	**11,114**	**9.7**	**56.0**	**58.5**
Fiscal Deficit to GSDP	1.8		1.3		3.2	3.2			
Revenue Deficit (-ve=surplus)	**1,466**	**17.4**	**-317**	**-132.9**	**2,215**	**1,149**	**-48.1**	**56.4**	**127.6**
Revenue deficit as % GSDP	0.4		-0.1		0.7	0.3			
Primary deficit	2,747	21.0	2,186	-18.9	4,966	4,933	-0.7	45.7	55.7
Primary deficit as % of GDP	0.8		0.6		1.6	1.4			

Source: Antique, CMIE. State data includes 19 states contributing ~93% of GDP

Table 4: Sharp miss in revenue receipts likely across most items

States Revenue Receipts (INR bn)	9mFY26 (Apr-Dec)	YoY (%)	Implied 3mFY26 (Jan-Mar)	YoY (%)	FY25P	FY26BE	YoY (%)	YTD as % FY25P	YTD as % FY26BE
Revenue receipts	**28,693**	**7.2**	**18,598**	**55.6**	**38,717**	**47,291**	**22.1**	**69.1**	**60.7**
Tax revenue	**24,762**	**9.3**	**12,596**	**29.2**	**32,406**	**37,358**	**15.3**	**69.9**	**66.3**
Stamps and registration fees	1,949	11.8	1,288	100.3	2,386	3,236	35.6	73.1	60.2
Taxes on sales, trade etc.	3,040	4.0	1,777	53.0	4,084	4,816	17.9	71.6	63.1
State excise duties	2,124	11.3	1,141	46.4	2,687	3,264	21.5	71.0	65.1
GST	7,620	1.9	2,909	10.7	10,106	10,529	4.2	74.0	72.4
State's share of Union Taxes	8,009	11.4	5,251	57.8	10,515	13,260	26.1	68.4	60.4
Other taxes and duties	2,021	42.5	231	-80.9	2,628	2,252	-14.3	54.0	89.7
Non-tax revenue	**3,931**	**-3.9**	**6,002**	**134.2**	**6,653**	**9,933**	**49.3**	**61.5**	**39.6**
State's own non-tax revenue	2,155	10.2	1,901	61.9	3,129	4,055	29.6	62.5	53.1
Grants-in-aid and contributions	1,777	-16.8	4,101	195.3	3,524	5,878	66.8	60.6	30.2

Source: Antique, CMIE. State data includes 19 states contributing ~93% of GDP

Table 5: Evident from FY27 state budget announced so far

State (INR bn)	FY26BE	FY26RE	Deviation (%)
Total receipts	**27,646**	**25,682**	**-7.1**
Revenue receipts	**27,284**	**25,514**	**-6.5**
Tax revenue	21,905	20,621	-5.9
Non-tax revenue	5,379	4,894	-9.0
Capital receipts excl borrowings	**362**	**168**	**-53.6**
Total Expenditure	**34,158**	**33,254**	**-2.6**
Revenue expenditure	**27,881**	**27,510**	**-1.3**
Capital expenditure	**6,277**	**5,744**	**-8.5**
Fiscal Deficit	**6,512**	**7,572**	**16.3**
Fiscal Deficit to GSDP	3.3	3.9	
Revenue Deficit (-ve=surplus)	**596**	**1,996**	**234.9**

Source: Antique, CMIE. State data includes 9 states contributing ~50% of GDP

Table 6: Assam, Jharkhand and Haryana saw strong tax revenue growth in FY26 so far

Tax Revenue (INR bn)	9mFY26 (Apr-Dec)	YoY (%)	Implied 3mFY26 (Jan-Mar)	YoY (%)	FY25P	FY26BE	YoY (%)	YTD as % FY25P	YTD as % FY26BE
Andhra Pradesh	1,053	7.4	612	40.8	1,415	1,666	17.7	69.3	63.2
Assam	576	14.9	217	7.5	703	793	12.8	71.3	72.6
Bihar	1,154	-3.0	827	-17.2	2,188	1,980	-9.5	54.3	58.3
Chhattisgarh	662	6.4	378	43.1	886	1,040	17.4	70.2	63.6
Gujarat	1,474	9.5	605	19.0	1,855	2,079	12.1	72.6	70.9
Haryana	779	13.0	298	29.1	920	1,077	17.0	74.9	72.3
Jharkhand	585	16.2	237	14.6	711	822	15.7	70.8	71.1
Karnataka	1,773	10.0	827	30.8	2,244	2,600	15.9	71.8	68.2
Kerala	796	9.7	405	40.5	1,014	1,201	18.5	71.6	66.3
Maharashtra	3,345	11.4	1,429	4.6	4,368	4,774	9.3	68.7	70.1
Madhya Pradesh	1,435	5.3	774	30.8	1,954	2,208	13.0	69.7	65.0
Odisha	871	7.8	433	27.3	1,148	1,304	13.6	70.4	66.8
Punjab	618	11.2	272	26.5	770	890	15.5	72.1	69.4
Rajasthan	1,432	10.9	853	65.0	1,808	2,285	26.4	71.4	62.7
Telangana	1,140	11.7	613	79.2	1,363	1,753	28.6	74.9	65.0
Tamil Nadu	1,813	8.0	976	50.4	2,327	2,789	19.9	72.1	65.0
Uttar Pradesh	3,460	10.4	2,042	57.5	4,431	5,502	24.2	70.8	62.9
Uttarakhand	278	8.8	121	24.9	353	399	13.2	72.5	69.7
West Bengal	1,520	10.2	675	18.7	1,948	2,195	12.7	70.8	69.3
All states	**24,762**	**9.3**	**12,596**	**29.2**	**32,406**	**37,358**	**15.3**	**69.9**	**66.3**

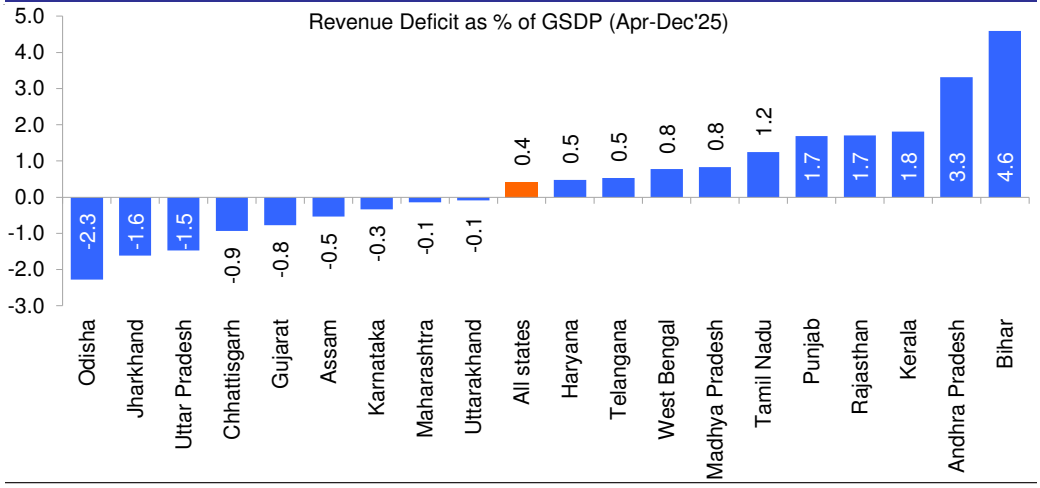
Source: Antique, CMIE. State data includes 19 states contributing ~93% of GDP

Table 7: AP, Telanagana, Gujarat, Haryana saw strong growth in capex

Capital Expenditure (excl. Loans & advances) (INR bn)	9mFY26 (Apr-Dec)	YoY (%)	Implied 3mFY26 (Jan-Mar)	YoY (%)	FY25P	FY26BE	YoY (%)	YTD as % FY25P	YTD as % FY26BE
Andhra Pradesh	192	116.1	214	108.2	192	406	111.9	46.4	47.3
Assam	184	31.8	110	-11.8	264	294	11.2	52.8	62.5
Bihar	285	24.9	121	-23.3	385	405	5.2	59.2	70.3
Chhattisgarh	71	-16.0	192	66.2	201	263	31.3	42.4	27.1
Gujarat	493	50.7	462	41.1	654	955	45.9	49.9	51.6
Haryana	171	44.1	-10	238.5	116	162	39.3	102.5	106.0
Jharkhand	88	-11.6	138	63.2	184	226	22.9	53.9	38.8
Karnataka	274	12.1	408	22.0	579	682	17.8	42.2	40.1
Kerala	114	12.1	56	12.8	151	169	12.3	67.3	67.1
Maharashtra	433	34.9	412	-18.7	827	845	2.1	38.8	51.3
Madhya Pradesh	505	25.4	320	18.0	674	825	22.4	59.8	61.2
Odisha	228	-7.0	422	101.5	455	650	42.9	54.0	35.1
Punjab	35	-16.5	68	156.4	69	103	49.9	61.6	34.4
Rajasthan	193	-15.9	343	344.1	307	537	74.7	74.8	36.0
Telangana	427	68.8	-62	-156.7	362	365	0.8	69.9	116.9
Tamil Nadu	255	1.1	317	45.1	471	572	21.5	53.6	44.6
Uttar Pradesh	553	-16.4	1,099	137.4	1,125	1,652	46.9	58.8	33.5
Uttarakhand	57	-5.4	91	78.1	111	148	32.9	54.1	38.5
West Bengal	96	-25.6	297	242.1	216	393	81.9	59.8	24.4
All states	**4,654**	**15.5**	**4,998**	**50.9**	**7,343**	**9,653**	**31.5**	**54.9**	**48.2**

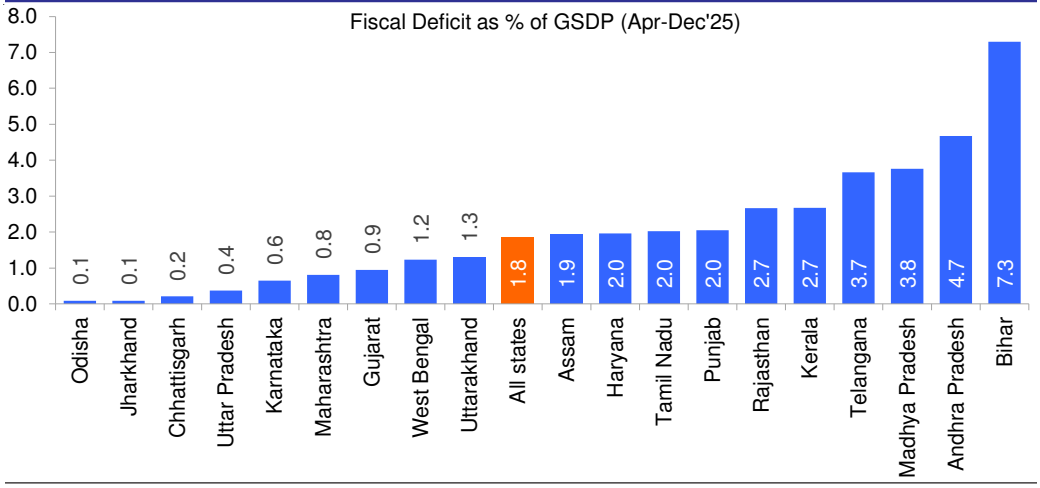
Source: Antique, CMIE. State data includes 19 states contributing ~93% of GDP

Exhibit 1: State wise Revenue deficit (as % of GSDP)



Source: Antique, CMIE. State data includes 19 states contributing ~93% of GDP

Exhibit 2: State wise Fiscal deficit (as % of GSDP)



Source: Antique, CMIE. State data includes 19 states contributing ~93% of GDP

Central Budget math

Table 8: Tax collection picked up sharply in Dec

Center (INR bn)	Dec'25	YoY (%)	9mFY26 (Apr-Dec)	YoY (%)	1QFY26	YoY (%)	2QFY26	YoY (%)	3QFY26	YoY (%)
Total receipts	**5,759**	**36.0**	**25,252**	**8.9**	**9,414**	**12.9**	**7,888**	**-1.7**	**7,949**	**16.7**
Revenue receipts	5,688	35.3	24,791	8.2	9,134	10.1	7,821	-1.3	7,837	17.3
Tax revenue	5,453	36.5	19,393	5.2	5,403	-1.7	6,891	-3.7	7,099	22.8
Non-Tax revenue	235	13.8	5,399	20.6	3,731	33.2	930	20.5	738	-18.4
Capital receipts excl borrowings	**71**	**113.0**	**460**	**68.7**	**280**	**519.9**	**68**	**-33.0**	**113**	**-11.2**
Total Expenditure	**4,551**	**-7.3**	**33,810**	**4.6**	**12,221**	**26.0**	**10,812**	**-5.3**	**10,777**	**-3.8**
Revenue expenditure	**3,254**	**1.9**	**25,931**	**1.8**	**9,470**	**20.0**	**7,756**	**-14.6**	**8,705**	**2.4**
Interest payments	1,653	10.3	9,111	12.7	3,860	46.2	1,921	-23.4	3,329	13.5
Major Subsidies	292	4.9	3,175	3.4	836	-7.3	1,188	-4.6	1,151	24.7
Others	1,309	-7.6	13,645	-4.7	4,774	9.8	4,646	-12.7	4,225	-9.1
Capital expenditure	**1,297**	**-24.5**	**7,879**	**15.0**	**2,751**	**52.0**	**3,056**	**30.7**	**2,072**	**-23.4**
Capital outlay	1,068	-21.3	6,394	13.6	2,053	35.9	2,566	23.0	1,775	-12.7
Loans and advances	230	-36.5	1,485	21.2	698	132.7	490	93.2	297	-55.8
Fiscal Deficit	**-1,208**	**-279.0**	**8,558**	**-6.4**	**2,807**	**106.9**	**2,924**	**-13.7**	**2,827**	**-35.7**
Fiscal Deficit to GSDP	**-0.3**		**2.4**		**0.8**		**0.8**		**0.8**	
Revenue Deficit (-ve=surplus)	**-2,434**	**141.0**	**1,140**	**-55.5**	**336**	**-182.4**	**-65**	**-105.6**	**868**	**-52.3**
Revenue deficit as % GSDP	-0.7		0.3		0.1		0.0		0.2	
Primary deficit	-2,861	247.6	-552	-152.2	-1,053	-17.9	1,002	14.1	-502	-134.3
Primary deficit as % of GDP	-0.8		-0.2		-0.3		0.3		-0.1	

Source: Antique, CMIE

Table 9: Helped by GST and customs

Center revenue receipts (INR bn)	Dec'25	YoY (%)	9mFY26 (Apr-Dec)	YoY (%)	1QFY26	YoY (%)	2QFY26	YoY (%)	3QFY26	YoY (%)
Gross Tax Revenue	**6,478**	**32.4**	**29,843**	**8.5**	**8,690**	**4.6**	**9,963**	**1.4**	**11,189**	**19.5**
Income Tax	1,244	-9.2	8,727	4.2	2,858	-0.5	3,052	10.1	2,817	3.1
GST	1,561	100.5	8,207	8.6	2,981	16.1	2,349	-9.5	2,876	20.1
Corporate Tax	2,813	22.7	8,328	12.4	1,727	-1.2	2,939	2.5	3,661	31.0
Excise	281	14.6	2,194	9.9	556	8.3	833	8.0	805	13.1
Customs	529	229.7	1,957	15.0	424	-9.9	647	-1.8	886	54.9
Other taxes & duties	50	7.5	429	-6.6	143	6.0	143	-13.7	143	-9.7
Less: State's share	1,016	14.0	10,382	15.2	3,269	17.0	3,048	14.9	4,064	14.0
Less: Transferred to NCCD	9	23.8	68	10.0	18	5.4	25	11.9	26	11.6
Net Tax Revenue	**5,453**	**36.5**	**19,393**	**5.2**	**5,403**	**-1.7**	**6,891**	**-3.7**	**7,099**	**22.8**
Non-tax revenue	**235**	**13.8**	**5,399**	**20.6**	**3,731**	**33.2**	**930**	**20.5**	**738**	**-18.4**
Dividends & profits	107	87.8	3,503	23.0	2,817	25.6	398	51.2	288	-15.8
Interest receipts	34	12.6	280	-6.4	97	-17.2	83	-3.8	100	4.3
Other non-tax revenue	93	-21.5	1,616	21.5	816	85.5	449	6.4	351	-25.0
Revenue receipts	**5,688**	**35.3**	**24,791**	**8.2**	**9,134**	**10.1**	**7,821**	**-1.3**	**7,837**	**17.3**

Source: Antique, CMIE

Table 10: Minimal risk of over-shooting FY26 fiscal target

Center (INR bn)	9mFY26 (Apr-Dec)	YoY (%)	Implied 3mFY26 (Jan-Mar)	YoY (%)	FY26RE	YoY (%)	YTD as % FY25P	YTD as % FY26RE
Total receipts	**25,252**	**8.9**	**8,812**	**15.9**	**34,064**	**10.7**	**75.3**	**74.1**
Revenue receipts	**24,791**	**8.2**	**8,632**	**15.8**	**33,423**	**10.1**	**75.4**	**74.2**
Tax revenue	19,393	5.2	7,354	12.1	26,747	7.0	73.8	72.5
Non-Tax revenue	5,399	20.6	1,278	42.2	6,677	24.2	83.3	80.9
Capital receipts excl borrowings	**460**	**68.7**	**180**	**23.8**	**640**	**53.1**	**65.3**	**71.9**
Total Expenditure	**33,810**	**4.6**	**15,838**	**11.3**	**49,648**	**6.6**	**69.4**	**68.1**
Revenue expenditure	**25,931**	**1.8**	**12,760**	**20.7**	**38,691**	**7.4**	**70.7**	**67.0**
Interest payments	9,111	12.7	3,633	17.9	12,743	14.2	72.4	71.5
Major Subsidies	3,175	3.4	1,520	87.6	4,695	21.0	79.1	67.6
Others	13,645	-4.7	7,607	13.9	21,252	1.2	68.2	64.2
Capital expenditure	**7,879**	**15.0**	**3,078**	**-16.0**	**10,958**	**4.2**	**65.1**	**71.9**
Capital outlay	6,394	13.6	2,480	-15.2	8,874	3.7	65.8	72.1
Loans and advances	1,485	21.2	598	-19.3	2,084	5.9	62.3	71.3
Fiscal Deficit	**8,558**	**-6.4**	**7,027**	**6.0**	**15,585**	**-1.2**	**58.0**	**54.9**
Fiscal Deficit to GSDP	**2.4**		**2.0**		**4.4**			
Revenue Deficit (-ve=surplus)	**1,140**	**-55.5**	**4,128**	**32.7**	**5,268**	**-7.1**	**45.2**	**21.6**
Revenue deficit as % GSDP	0.3		1.2		1.5			
Primary deficit	-552	-152.2	3,394	-4.4	2,842	-38.4	22.9	-19.4
Primary deficit as % of GDP	-0.2		1.0		0.8			

Source: Antique, CMIE

Table 11: Overall gross tax revenue targets may be met

Center revenue receipts (INR bn)	9mFY26 (Apr-Dec)	YoY (%)	Implied 3mFY26 (Jan-Mar)	YoY (%)	FY26RE	YoY (%)	YTD as % FY25P	YTD as % FY26RE
Gross Tax Revenue	**29,843**	**8.5**	**10,935**	**4.7**	**40,778**	**7.4**	**72.5**	**73.2**
Income Tax	8,727	4.2	4,393	27.3	13,120	10.9	70.8	66.5
GST	8,207	8.6	2,257	-18.1	10,465	1.4	73.3	78.4
Corporate Tax	8,328	12.4	2,762	12.4	11,090	12.4	75.1	75.1
Excise	2,194	9.9	1,171	16.4	3,366	12.1	66.5	65.2
Customs	1,957	15.0	626	-0.2	2,583	10.9	73.1	75.8
Other taxes & duties	429	-6.6	-275	-285.8	155	-74.6	75.6	277.9
Less: State's share	10,382	15.2	3,548	-8.0	13,930	8.2	70.0	74.5
Less: Transferred to NCCD	68	10.0	33	1.9	101	7.2	65.8	67.5
Net Tax Revenue	**19,393**	**5.2**	**7,354**	**12.1**	**26,747**	**7.0**	**73.8**	**72.5**
Non-tax revenue	**5,399**	**20.6**	**1,278**	**42.2**	**6,677**	**24.2**	**83.3**	**80.9**
Dividends & profits	3,503	23.0	253	7.1	3,756	21.8	92.3	93.3
Interest receipts	280	-6.4	122	7.7	402	-2.6	72.5	69.7
Other non-tax revenue	1,616	21.5	903	64.4	2,519	34.1	70.8	64.2
Revenue receipts	**24,791**	**8.2**	**8,632**	**15.8**	**33,423**	**10.1**	**75.4**	**74.2**

Source: Antique, CMIE

Table 12: Weakness in subsidies is driven by food

Major Subsidies (INR bn)	9mFY26 (Apr-Dec)	YoY (%)	Implied 3mFY26 (Jan-Mar)	YoY (%)	FY26RE	YoY (%)	YTD as % FY25P	YTD as % FY26RE
Food	1,512	-7.7	770	112.9	2,282	14.2	81.9	66.3
Fertilizer	1,576	15.5	289	-22.6	1,865	7.4	78.5	84.5
Petroleum	87	26.8	64	-15.8	151	4.4	47.5	57.7
Major Subsidies	**3,175**	**3.4**	**1,122**	**38.5**	**4,297**	**10.7**	**79.1**	**73.9**

Source: Antique, CMIE; Interest & Other Subsidies not included

Table 13: Strong capex is driven by communication and defence

Capital expenditure (INR bn)	Dec'25	YoY%	9MFY26	YoY%	Implied 3MFY26e	YoY%	FY26RE	YoY%
Ministry of Road Transport and Highways	519	-39.5	2,290	-1.6	431	-18.1	2,721	-4.7
Ministry of Railways	224	-3.5	2,044	6.7	476	-21.3	2,520	0.0
Ministry of Defence	257	40.6	1,426	50.2	548	-27.6	1,974	15.7
Ministry of Finance	298	11.1	1,022	0.5	1,495	88.3	2,516	39.0
Ministry of Communications	1	-154.4	186	218.7	64	-90.7	250	-66.7
Ministry of Housing & Urban Affair	61	-44.8	228	-9.2	102	56.3	330	4.3
Total of above ministries	1,361	-17.6	7,195	10.4	3,116	-9.4	10,310	3.6
Total	**1,297**	**-24.5**	**7,879**	**15.0**	**3,078**	**-16.0**	**10,958**	**4.2**

Source: Antique, CMIE

Combined budget math

Table 14: Focus is on capex

Center & State Combined (INR bn)	Dec'25	YoY (%)	9mFY26 (Apr-Dec)	YoY (%)	1QFY26	YoY (%)	2QFY26	YoY (%)	3QFY26	YoY (%)
Total receipts	**9,321**	**33.9**	**52,266**	**9.3**	**17,552**	**8.3**	**16,587**	**5.6**	**18,866**	**12.5**
Revenue receipts	**9,242**	**33.6**	**51,708**	**8.8**	**17,241**	**6.8**	**16,491**	**5.7**	**18,716**	**12.6**
Tax revenue	8,714	35.8	44,154	7.5	12,869	1.1	14,891	4.6	16,394	16.1
Non-tax revenue	528	5.2	7,553	17.4	4,372	28.1	1,599	17.1	2,322	-7.0
Capital receipts excl borrowings	**79**	**86.3**	**558**	**74.8**	**311**	**428.8**	**96**	**-16.1**	**151**	**3.4**
Total Expenditure	**8,723**	**1.2**	**67,326**	**7.4**	**22,334**	**20.0**	**22,514**	**1.9**	**23,217**	**1.8**
Revenue expenditure	**6,593**	**4.6**	**54,313**	**5.8**	**18,354**	**16.0**	**17,666**	**-1.7**	**19,033**	**3.5**
Interest payments	2,190	15.4	12,866	12.0	4,900	34.2	3,405	-11.3	4,560	14.2
Major Subsidies	292	4.9	3,175	3.4	836	-7.3	1,188	-4.6	1,151	24.7
Others	4,424	-0.9	40,049	2.9	13,033	11.6	13,695	-0.6	13,322	-1.2
Capital expenditure	**2,129**	**-8.0**	**13,013**	**15.0**	**3,981**	**43.1**	**4,848**	**17.3**	**4,184**	**-5.0**
Capital outlay	1,825	-4.3	11,048	14.4	3,146	34.3	4,190	14.8	3,712	1.2
Loans and advances	304	-25.3	1,964	18.2	834	90.2	659	35.7	471	-36.1
Fiscal Deficit	**-598**	**-136.1**	**15,060**	**1.6**	**4,782**	**99.3**	**5,927**	**-7.2**	**4,351**	**-27.9**
Fiscal Deficit to GSDP	**-0.2**		**4.2**		**1.3**		**1.7**		**1.2**	
Revenue Deficit (-ve=surplus)	**-2,649**	**330.8**	**2,606**	**-31.9**	**1,113**	**-444.6**	**1,175**	**-50.4**	**318**	**-82.1**
Revenue deficit as % GSDP	-0.7		0.7		0.3		0.3		0.1	
Primary deficit	-2,788	1,063.4	2,195	-34.4	-118	-90.6	2,522	-1.2	-209	-110.2
Primary deficit as % of GDP	-0.8		0.6		0.0		0.7		-0.1	

Source: Antique, CMIE. State data includes 19 states contributing ~93% of GDP. We have adjusted Grants from Center to State from revenue receipts & revenue expenditure. Due to un-availability of monthly data, we have not adjusted for Net Loans & Advances from Center to State leading to double counting.

CMP	: INR 307
Reco	: BUY ↔
Target Price	: INR 384 ↔
Target Price Change	: No Change
Target FY28e EV/EBITDA (x):	6
EBITDA Change FY26/27/28 :	No Change

COMPANY UPDATE

MOIL

Record 9M output; price hikes to aid realizations

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MOIL, the largest manganese ore producer in India, achieved its best ever 9M ore production of 1,421 KT during 9MFY26 (up by 6.8% YoY). Environmental clearance (EC) capacity stands at ~2.7 mtpa currently, with the management targeting to raise it to 5 mtpa by FY30. It is aggressively undertaking exploration activities and undertook exploratory core drilling of 57,275 meters during 7MFY26 (marginally higher YoY). Spot international high-grade manganese ore prices have firmed up by ~9.9% over the 3QFY26 average (and 1.0% above the 4QFY25 average), and spot medium grade ore prices have firmed up by ~5.5% above 3QFY26 average (and 18.8% above the 4QFY25 average price). MOIL's 4QFY26 realization is expected to improve QoQ aided by price hikes in Jan'26 (3%-10% hike; except for electrolytic manganese dioxide) and Feb'26 (5% on most grades). Furthermore, 4Q is seasonally the strongest quarter for manganese ore demand. We maintain BUY rating with a TP of INR 384 at a target multiple of 6x FY28E EV/EBITDA.

Production growth continues; outlook positive

During 3QFY26 MOIL achieved its best ever 3Q ore production of 477 KT (up 3.7% YoY and 7.9% QoQ). It recorded ore production of 1,421 KT during 9MFY26 (up 6.8% YoY; best ever 9M production). 4Q is usually the strongest quarter in terms of volume and management has long term target of reaching an annual production of 3.5 MT by FY30.

Successive price hikes to aid realization

Lower production (due to wet season) in South Africa and Gabon, and increased production and logistics costs have led to global manganese ore miners (i.e. Jupiter Mines and Eramet) increasing prices of manganese ore recently. Spot international high-grade manganese ore prices have firmed up by ~9.9% over the 3QFY26 average (and 1.0% above the 4QFY25 average), and medium grade ore prices have firmed up by ~5.5% above 3QFY26 average (and 18.8% above the 4QFY25 average price). Though upside potential seems limited due to softer demand in China (Lunar New Year). MOIL's 4QFY26 blended ore realization should be aided by price hikes in Jan'26 (3%-10% hike; except for electrolytic manganese dioxide) and Feb'26 (5% on most grades).

High capex to increase capacity, but still remain cash positive

EC capacity stands at ~2.7 mtpa currently, with the management targeting to raise it to 5 mtpa by FY30. The company is aggressively undertaking exploration activities and undertook exploratory core drilling of 57,275 meters during 7MFY26 (marginally higher YoY). MOIL's focus is on increasing production and modernizing its mines. Management guided for FY26 capex target of ~INR 3.3 bn and envisages commissioning the ongoing high-speed shaft sinking projects at Gumgaon (facilitating a capacity increase from 150 ktpa to 350 ktpa) and Balaghat (facilitating a capacity increase from 300 ktpa to 800 ktpa) by 1QFY27. MOIL also plans to install five additional shafts (including two ventilation shafts) to facilitate higher production and plans to issue work orders soon with ~INR 4 bn annual capex envisaged over the next 2–3 years (from internal accruals). MOIL has also incorporated a JV with GMDC (resource base of 9.5 MT with an incremental annual capacity of 200 ktpa) and received approval from Ministry of Steel for a JV with Madhya Pradesh State Mining Corporation (MPSMCL) to meet the long-term annual production target of 3.5 MT by 2030. Despite the capex, the company is expected to remain net cash positive with a dividend yield of ~2%. Furthermore, ~60% of MOIL's total cost is fixed in nature and operational leverage can facilitate mitigation of any increase in employee cost from the next wage bill revision.

Investment Summary

Manganese ore demand in India is expected to grow 1.4x the current level of ~8 mtpa to 11 mtpa by 2030, in line with the 300 MT installed steel capacity target set under the National Steel Policy. Possibility of future supply constraints (eg. Gabonese government's intention to ban export of crude manganese ore from Jan'29) could lead to price increase. MOIL is incurring high capex to enhance its production capacity. Despite the capex, net cash balance at the end of 1HFY26 was INR 10.1 bn (~16% of its current market cap). We maintain BUY rating with a TP of INR 384 at a target multiple of 6x FY28E EV/EBITDA.

Market data

Sensex	:	82,276
Sector	:	Metals
Market Cap (INR bn)	:	62.6
Market Cap (USD bn)	:	0.688
O/S Shares (mn)	:	203.5
52-wk HI/LO (INR)	:	406/274
Avg. Daily Vol ('000)	:	463
Bloomberg	:	MOIL IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	13.5	24.1	32.8
P/E (x)	22.7	12.8	9.4
P/BV (x)	2.2	2.0	1.7
EV/EBITDA (x)	11.9	6.7	4.7
Dividend Yield (%)	1.8	1.9	2.0

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(8)	(5)	(7)	(2)
Relative	(8)	(1)	(9)	(11)

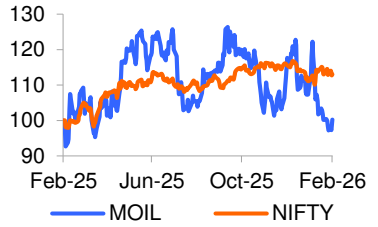
Source: Bloomberg

Shareholding pattern

Promoters	:	65%
Public	:	35%
Others	:	0%

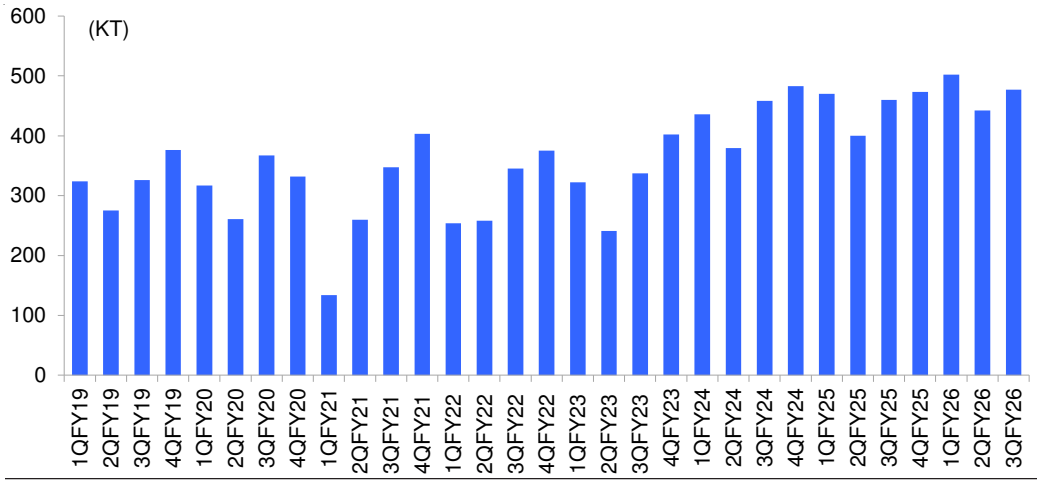
Source: Bloomberg

Price performance vs Nifty



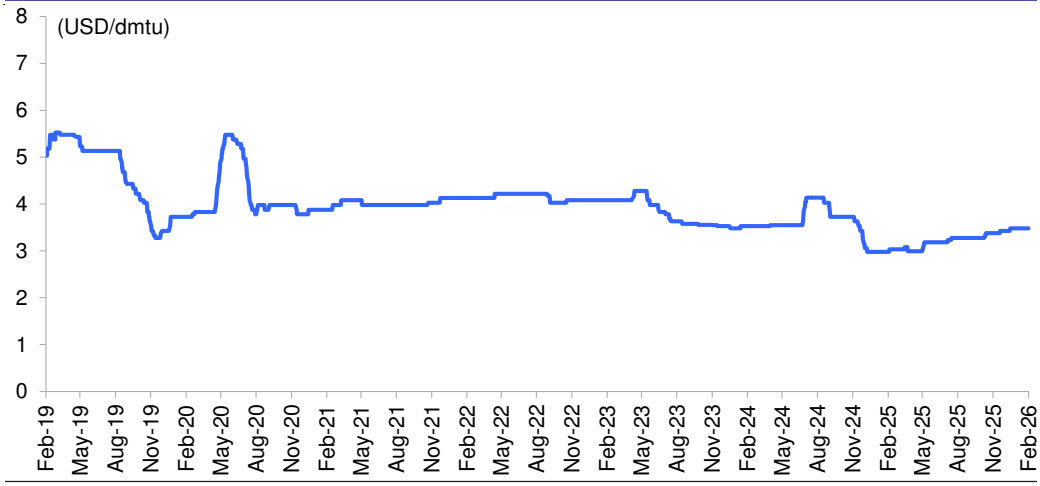
Source: Bloomberg Indexed to 100

Exhibit 1: MOIL's 3QFY26 ore production 3.7% higher YoY



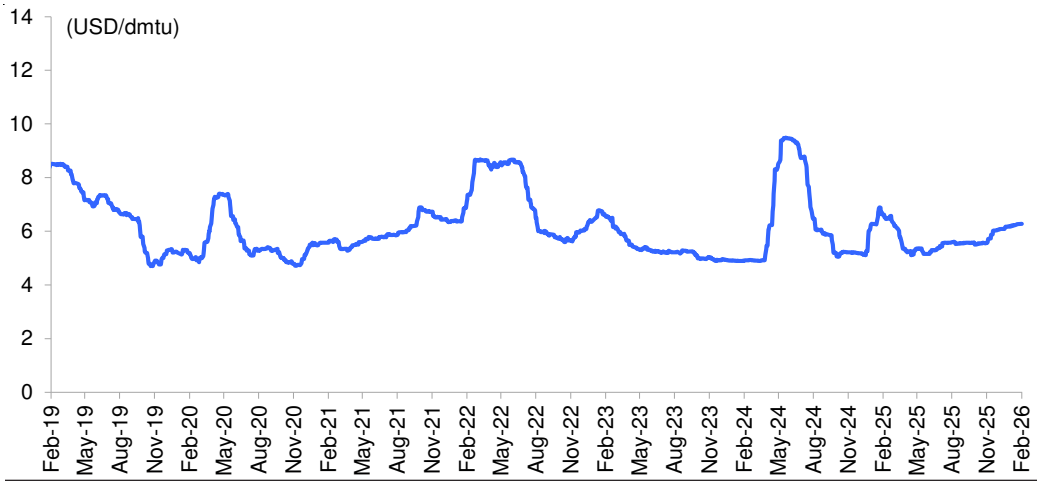
Source: Company, Antique

Exhibit 2: International medium grade ore prices 5.5% higher than 3QFY26 average



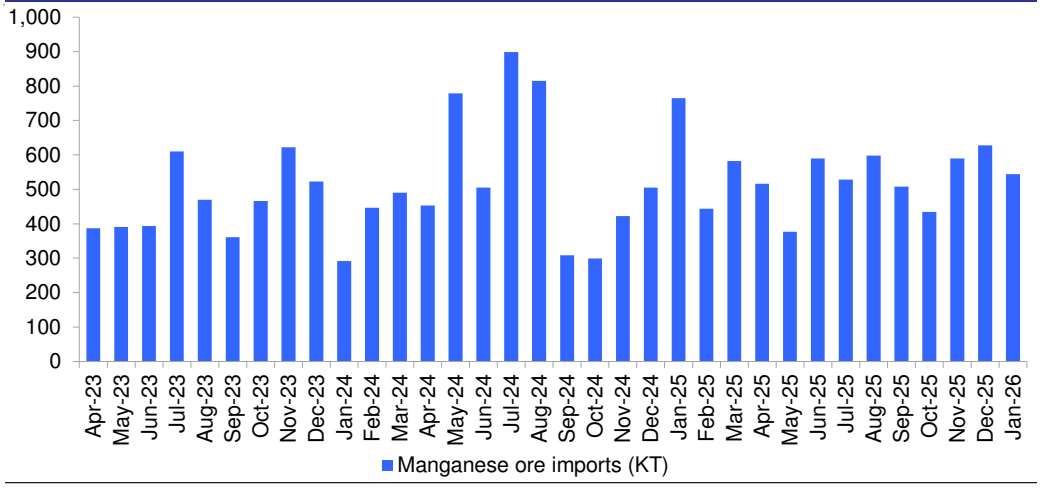
Source: Bloomberg, Antique

Exhibit 3: International high grade ore prices 9.9% higher than 3QFY26 average



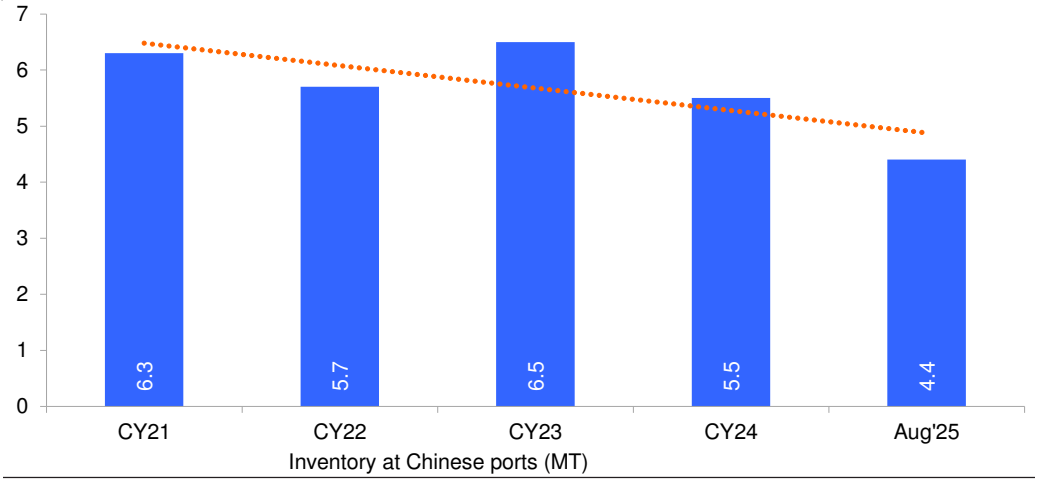
Source: Bloomberg, Antique

Exhibit 4: Jan'26 manganese ore imports lower YoY and MoM



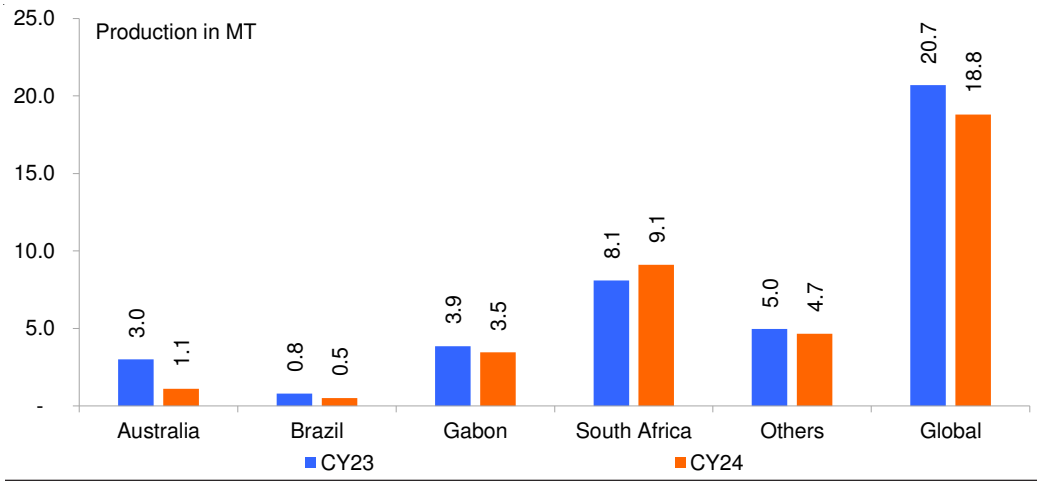
Source: Bigmint, Antique

Exhibit 5: Chinese port inventory of manganese ore lower YoY



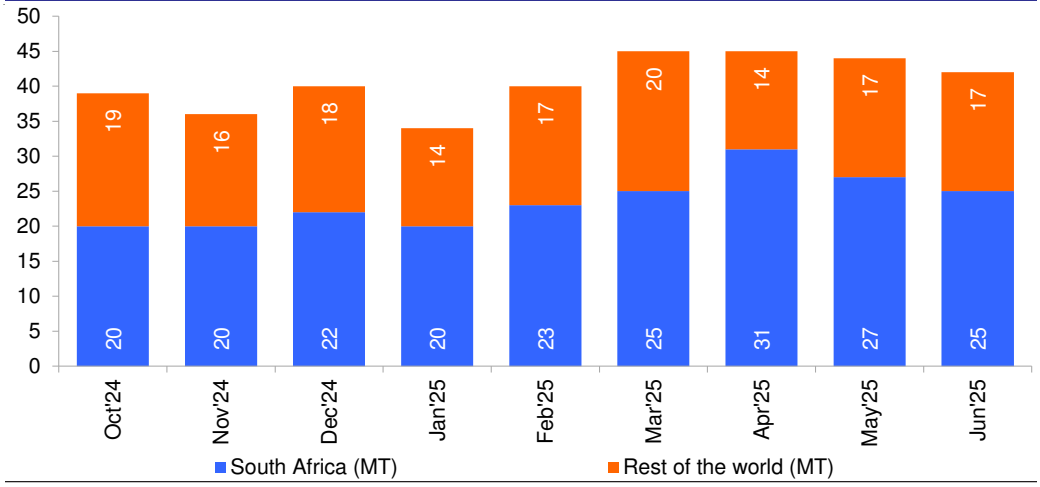
Source: Jupiter, Antique

Exhibit 6: Global Manganese ore production declined YoY



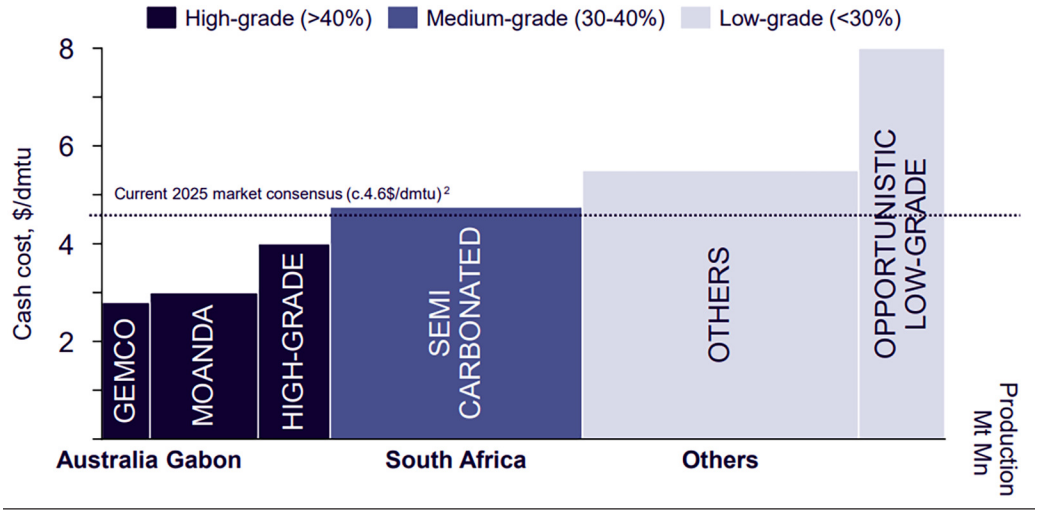
Source: Eramet, Antique

Exhibit 7: Annualised global manganese ore exports



Source: Jupiter, Antique

Exhibit 8: FY25 Manganese ore cost curve - Eramet



Source: Eramet, Antique

Table 1: Key assumptions

	Current estimates		
MOIL (standalone)	**FY26e**	**FY27e**	**FY28e**
Manganese ore sales volume (tons)	16,00,717	20,81,310	24,55,946
Blended realization/t (INR)	9,386	9,475	9,477
Revenue (INR mn)	15,024	19,720	23,275
EBITDA (INR mn)	4,346	7,459	9,621
Blended EBITDA/t (INR)	2,715	3,584	3,917
PAT (INR mn)	2,750	4,901	6,667

Source: Company, Antique

Table 2: MOIL target price

FY28e EBITDA - INR mn	**9,621**
EV/EBITDA multiple	6.0
Target EV - INR mn	57,726
Add: FY28e Net cash plus 0.5x CWIP	20,429
Target market capitalisation - INR mn	78,155
Target price - INR per share	**384**

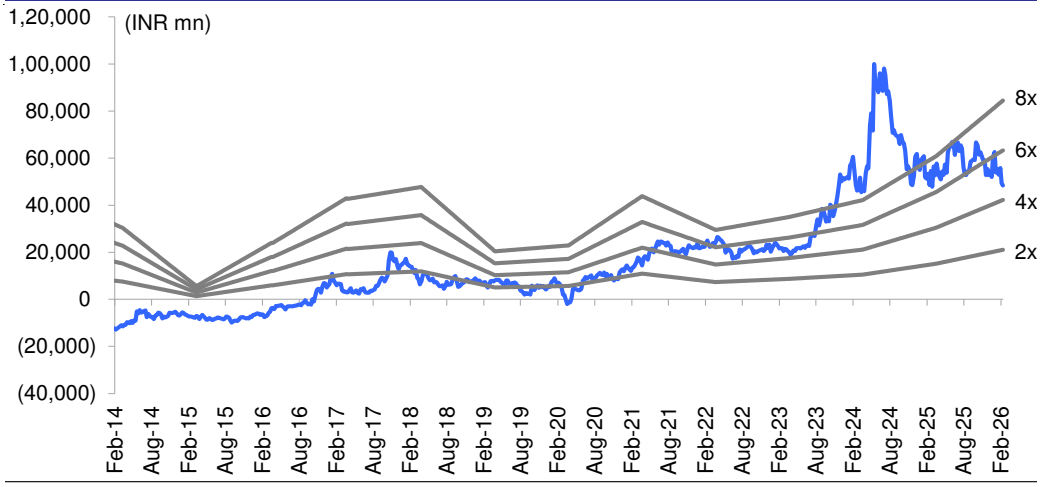
Source: Company, Antique

Table 3: Global mining relative forward valuations

		EV/EBITDA (x)		P/E (x)		RoE (%)		P/B (x)	
Company	**Country**	**One-year**	**Two-year**	**One-year**	**Two-year**	**One-year**	**Two-year**	**One-year**	**Two-year**
NMDC Ltd	**India**	**6.0**	**5.3**	**8.7**	**8.0**	**22.8**	**21.7**	**1.9**	**1.6**
MOIL Ltd	**India**	**6.7**	**4.7**	**12.8**	**9.4**	**16.4**	**19.4**	**2.0**	**1.7**
Fortescue Metals Group Ltd	Australia	6.5	6.5	15.8	16.9	13.4	12.2	2.2	2.1
Vale SA	Brazil	5.1	5.2	8.7	8.3	21.6	18.9	1.7	1.6
Kumba Iron Ore Ltd	South Africa	4.6	4.8	10.4	11.5	19.6	18.0	2.0	1.9
Bhp Billiton Limited	Australia	7.4	7.7	16.0	16.3	22.1	19.8	3.3	3.1
Rio Tinto Plc	Britain	6.8	6.6	12.5	12.3	19.9	18.7	2.4	2.2
Eramet	France	7.1	5.6	-	12.9	9.3	19.1	1.5	1.3
Cliffs Natural Resources Inc	United States	10.7	7.4	-	27.6	(4.6)	3.9	1.0	1.0
Anglo American Plc	Britain	8.7	7.5	28.4	21.5	6.7	12.7	2.9	2.5

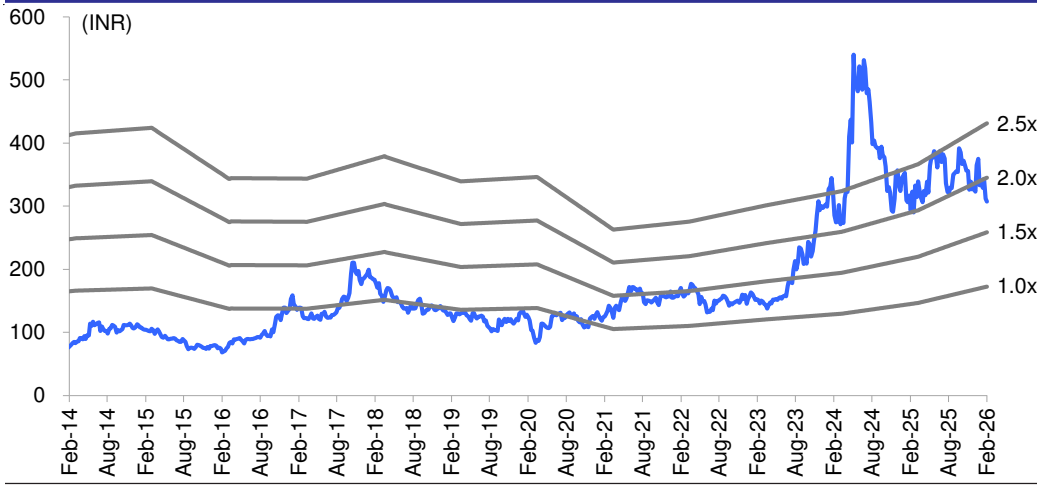
Source: Bloomberg, Antique

Exhibit 9: One-year forward EV/EBITDA



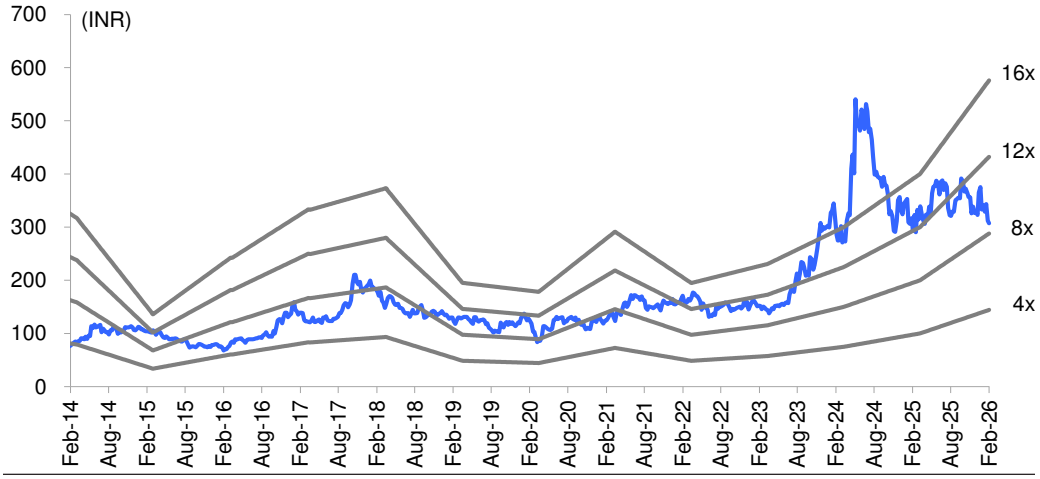
Source: Bloomberg, Antique

Exhibit 10: One-year forward P/BV band



Source: Bloomberg, Antique

Exhibit 11: One-year forward P/E band



Source: Bloomberg, Antique

Financials

Profit and loss account (INR mn)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
Revenues	**14,494**	**15,849**	**15,024**	**19,720**	**23,275**
Expenses	10,117	10,574	10,678	12,261	13,654
EBITDA	**4,377**	**5,275**	**4,346**	**7,459**	**9,621**
Depreciation & amortization	1,442	1,521	1,616	1,791	1,966
EBIT	**2,935**	**3,754**	**2,731**	**5,668**	**7,655**
Other income	935	1,114	945	885	1,258
Profit before tax	**3,870**	**4,868**	**3,676**	**6,553**	**8,913**
Tax	937	1,051	926	1,651	2,246
Reported Profit after tax	**2,933**	**3,816**	**2,750**	**4,901**	**6,667**
Adjusted PAT	**2,933**	**3,816**	**2,750**	**4,901**	**6,667**
EPS (INR)	**14.4**	**18.8**	**13.5**	**24.1**	**32.8**

Balance sheet (INR mn)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	2,035	2,035	2,035	2,035	2,035
Reserves & Surplus	22,496	24,344	25,954	29,696	35,142
Networth	**24,531**	**26,379**	**27,989**	**31,731**	**37,177**
Deferred tax/ other liabilities	(289)	(499)	(499)	(499)	(499)
Capital Employed	**24,242**	**25,880**	**27,490**	**31,231**	**36,677**
Gross Fixed Assets	19,125	20,584	23,084	25,584	28,084
Accumulated Depreciation	9,866	11,387	13,003	14,794	16,760
Net Assets	**9,260**	**9,197**	**10,081**	**10,790**	**11,324**
Capital work in progress	3,573	5,072	6,072	6,572	6,572
Investments	1,282	776	1,576	2,027	2,422
Liquid Investments	1,206	699	1,499	1,950	2,346
Current Assets Loans & Advances					
Inventory	2,125	2,885	1,927	2,077	1,883
Debtors	2,094	1,456	1,441	1,891	2,232
Cash & Bank	7,901	9,000	9,123	10,407	14,797
Loans & advances and others	2,364	3,229	3,061	4,017	4,742
Current Liabilities & Provisions					
Creditors	3,146	3,627	3,662	4,143	4,613
Provisions	1,211	2,108	2,129	2,408	2,681
Net Current Assets	**10,127**	**10,835**	**9,761**	**11,842**	**16,359**
Application of Funds	**24,242**	**25,880**	**27,490**	**31,231**	**36,677**

Per share data

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	203	203	203	203	203
BVPS (INR)	120.6	129.6	137.5	155.9	182.7
CEPS (INR)	17.0	20.7	16.9	26.0	33.5
DPS (INR)	6.1	5.6	5.6	5.7	6.0

Source: Company, Antique

Cash flow statement (INR mn)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
PBT	**3,870**	**4,868**	**3,676**	**6,553**	**8,913**
Depreciation	1,442	1,521	1,616	1,791	1,966
(Inc)/ Dec in working capital	(905)	391	1,197	(797)	(127)
Tax paid	(937)	(1,051)	(926)	(1,651)	(2,246)
CF from operating activities	**3,471**	**5,729**	**5,562**	**5,896**	**8,506**
Capex	(2,911)	(2,957)	(3,500)	(3,000)	(2,500)
(Inc)/ Dec in Investments	234	506	(800)	(451)	(395)
CF from investing activities	**(2,678)**	**(2,451)**	**(4,300)**	**(3,451)**	**(2,895)**
Dividends & Interest paid	(1,231)	(1,146)	(1,140)	(1,160)	(1,221)
Others	214	(1,033)	0	0	0
CF from financing activities	**(1,017)**	**(2,179)**	**(1,140)**	**(1,160)**	**(1,221)**
Net cash flow	**(224)**	**1,099**	**123**	**1,285**	**4,390**
Add: Opening balance	8,125	7,901	9,000	9,123	10,407
Closing balance	**7,901**	**9,000**	**9,123**	**10,407**	**14,797**

Growth indicators (%)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
Revenue	8.0	9.3	(5.2)	31.3	18.0
EBITDA	18.6	20.5	(17.6)	71.6	29.0
PAT	18.4	30.1	(28.0)	78.3	36.0
EPS	18.4	30.1	(28.0)	78.3	36.0

Valuation

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	21.3	16.4	22.7	12.8	9.4
P/BV (x)	2.5	2.4	2.2	2.0	1.7
EV/EBITDA (x)	12.2	10.0	11.9	6.7	4.7
EV/Sales (x)	3.7	3.3	3.5	2.5	2.0
Dividend Yield (%)	2.0	1.8	1.8	1.9	2.0

Financial ratios

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
RoE	12.5	15.0	10.1	16.4	19.4
RoCE	15.7	18.3	12.0	23.1	29.1
Net debt/Equity (x)	(0.4)	(0.4)	(0.4)	(0.4)	(0.5)

Margins (%)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
EBITDA	30.2	33.3	28.9	37.8	41.3
EBIT	20.2	23.7	18.2	28.7	32.9
PAT	20.2	24.1	18.3	24.9	28.6

Source: Company Antique

CMP	: INR 232
Reco	: BUY ↔
Target Price	: INR 340 ↔
Target Price Change	: No Change
Target FY28e EV/EBITDA (x)	: 15
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

Artemis Medicare Services

Expansion plans remain on track

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We met the management of Artemis Medicare (ARTMSL) where they highlighted the company's growth prospects and capabilities. Some of the key takeaways are: a) over the next 3–4 years, ARTMSL has planned the addition of ~1,300 new beds: Gurgaon (300), Raipur (300), and South Delhi (650), taking the total to ~2,200 beds; b) Despite the 3x planned bed capacity expansion, capex per bed is expected to be INR5.9mn. The lower capex per bed will likely lead to higher RoCE/RoE. Over FY25–28E, we expect the Gurgaon facility's margin to expand 350 bps to 21%. Also, EBITDA per bed is likely to witness 13% CAGR reaching INR 7 mn. On the group level, we expect revenue/ EBITDA/ PAT to deliver 23%/ 31%/ 34% with margins expanding 330 bps to ~20% over the same period. We continue to value ARTMSL at 15x FY28E EBITDA arriving at a TP of INR340. Maintain BUY.

Plans to augment bed capacity by ~3x over the next 3–4 years

ARTMSL plans to 3x the bed capacity from existing 700 to ~2200 by FY30E. As part of its bed expansion plan, the first phase will see the upcoming 300-bed Raipur facility operationalize in Apr'26E with another 200 beds likely to come by end-FY29E/ 30E. As the land and building is owned by partners, ARTMSL is only installing equipment and doing the interiors; capex per bed at the Raipur facility is an attractive INR 3.7 mn. The Gurgaon facility has received approval to increase floor area ratio (FAR) and it plans to add 100 beds by Nov'26 and 200 beds by FY28E. Since these bed additions are brownfield, the capex per bed in Gurgaon is INR 7-7.5 mn. To further expand its presence in the capital, Artemis has planned a 650-bed hospital in South Delhi, which is expected to operationalize in FY29E. For this facility, ARTMSL has acquired four acres of land on 35-year contract.

Increased traction in the Gurgaon facility/Raipur facility breakeven to drive profitability

Over FY21–25, Hospital segment gross revenue exhibited 22% CAGR to reach over INR 9 bn led by patient volume/ ARPOB CAGR of 15%/ 7% respectively. Interestingly, despite a 54% increase in operating bed capacity, occupancy expanded 570 bps to 64% highlighting high traction. Also, EBITDA margin expanded 690 bps to 17.5% with EBITDA per bed posting 24% CAGR to reach ~INR 5 mn. Going forward, with the 300-bed brownfield addition in Gurgaon unit, we expect continued operating leverage leading to the facility's margin expanding 350 bps to 21% over FY25–28E. Additionally, the upcoming 300-bed Raipur facility is expected to breakeven by Sep'27E. We expect the cumulative hospital segment to deliver revenue/ EBITDA CAGR of 24%/ 29% with the margin expanding 220 bps to 20% over FY25–28E.

Investment Summary

We remain positive on ARTMSL as we expect brownfield bed additions in the Gurgaon facility to witness increased volumes and improved profitability accruing in a short span of time. Over FY25–28E, we expect ARTMSL to register revenue/ EBITDA/ PAT of 23%/ 31%/ 34% CAGR with the EBITDA margin expanding 330 bps reaching ~20%. We expect RoE/ RoCE to improve 410 bps/ 500 bps to 17%/ 19% respectively. We value ARTMSL at 15x FY28E EBITDA arriving at a TP of INR 340. The stock currently trades at 10x FY28 EBITDA.

Market data

Sensex	:	82,276
Sector	:	Healthcare
Market Cap (INR bn)	:	36.8
Market Cap (USD bn)	:	0.404
O/S Shares (mn)	:	158.3
52-wk HI/LO (INR)	:	306/208
Avg. Daily Vol ('000)	:	124
Bloomberg	:	ARTMSL IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	6.8	8.7	12.7
P/E (x)	33.9	26.6	18.2
P/BV (x)	3.4	3.0	2.6
EV/EBITDA (x)	18.2	14.4	10.1
Dividend Yield (%)	0.2	0.2	0.2

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	3	(19)	(0)	(12)
Relative	2	(16)	(2)	(20)

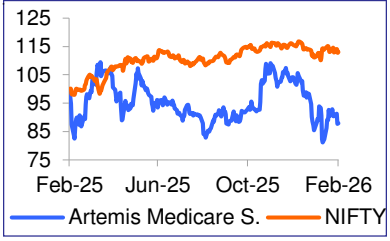
Source: Bloomberg

Shareholding pattern

Promoters	:	58%
Public	:	42%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



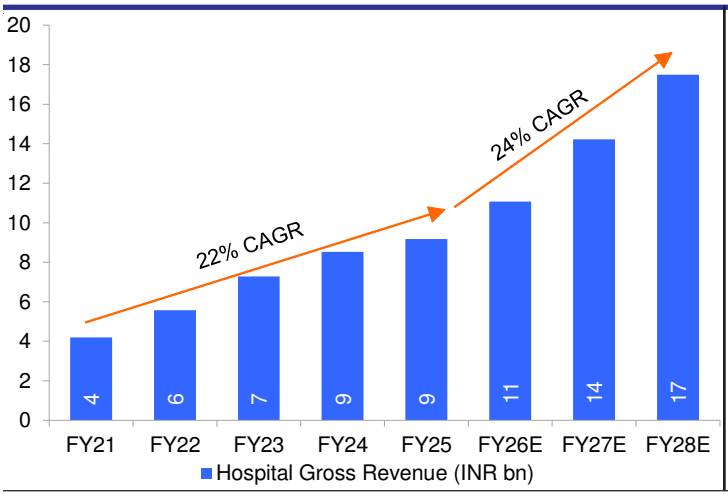
Source: Bloomberg Indexed to 100

Table 1: Artemis hospital network metrics

(INR mn)	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Total Hospitals Revenue	**4,186**	**5,573**	**7,278**	**8,524**	**9,171**	**11,069**	**14,217**	**17,495**
Gurgaon Hospital - Revenue	4,186	5,573	7,278	8,524	9,171	11,069	13,174	16,056
Raipur Hospital - Revenue	-	-	-	-	-	-	1,042	1,439
Total operational beds	**318**	**349**	**427**	**448**	**489**	**570**	**830**	**960**
Gurgaon Hospital- Beds	318	349	427	448	489	570	620	750
Raipur Hospital- Beds	-	-	-	-	-	-	210	210
Overall Occupancy (%)	**58**	**69**	**70**	**67**	**64**	**62**	**58**	**59**
Gurgaon Hospital- Occupancy (%)	58	69	70	67	64	62	64	62
Raipur Hospital- Occupancy (%)	-	-	-	-	-	-	40	48
Overall ARPOB (INR)	**61,800**	**63,200**	**67,100**	**77,300**	**80,200**	**85,814**	**81,011**	**84,714**
Gurgaon Hospital- ARPOB	61,800	63,200	67,100	77,300	80,200	85,814	90,963	94,601
Raipur Hospital- ARPOB	-	-	-	-	-	-	34,000	39,100

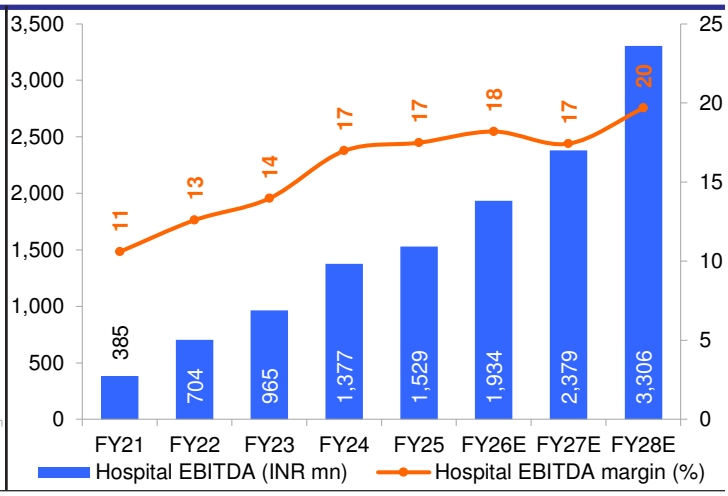
Source: Company, Antique

Exhibit 1: Hospitals to post 24% revenue CAGR over FY25-28E



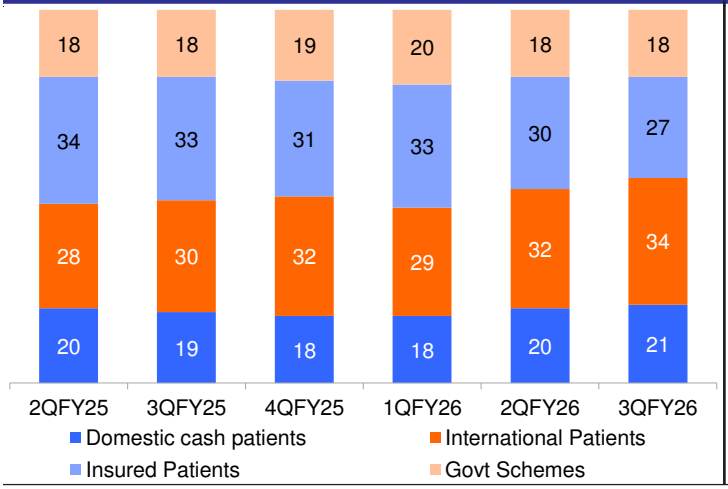
Source: Company, Antique

Exhibit 2: Hospital EBITDA margin to expand 220bps over FY25-28E



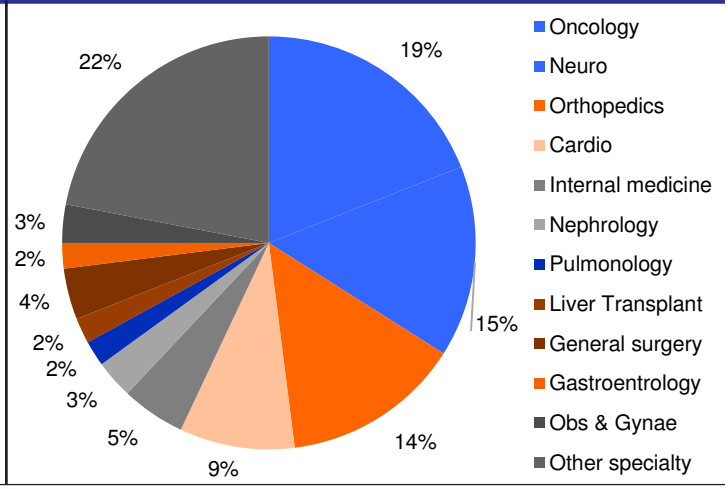
Source: Company, Antique

Exhibit 3: Gurgaon hospital payor mix (%)



Source: Company, Antique

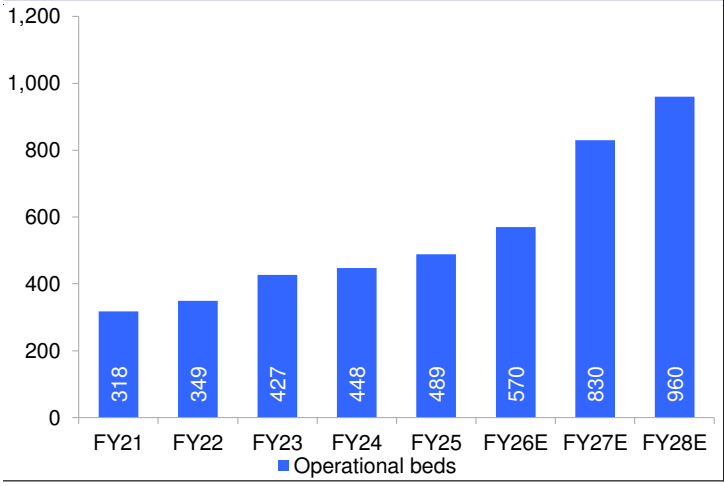
Exhibit 4: Gurgaon hospital case mix (%) – 3QFY26



Source: Company, Antique

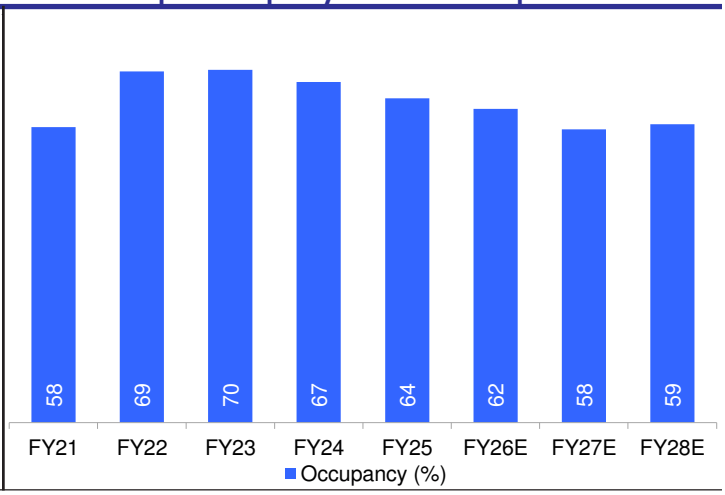
Story in charts

Exhibit 5: Operational beds to double over FY25-28E



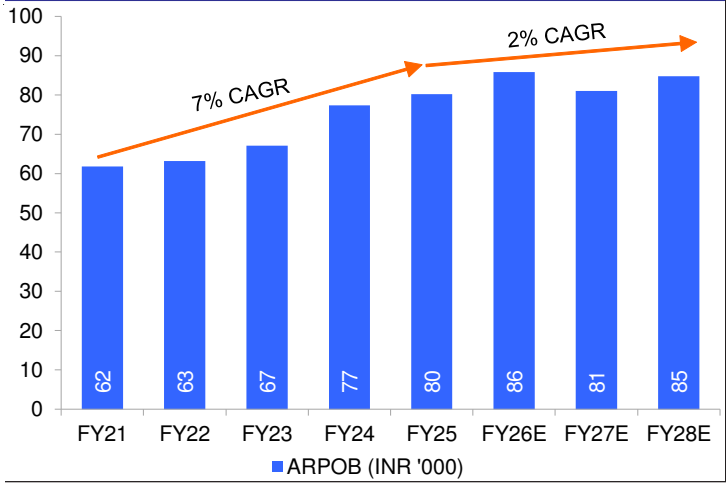
Source: Company, Antique

Exhibit 6: Hospital occupancy to decline 520bps over FY25–28E



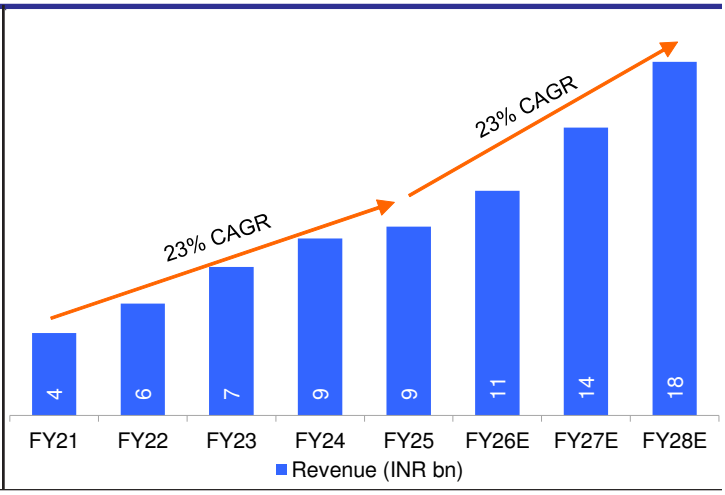
Source: Company, Antique

Exhibit 7: ARPOB expected to post 2% CAGR over FY25-28E



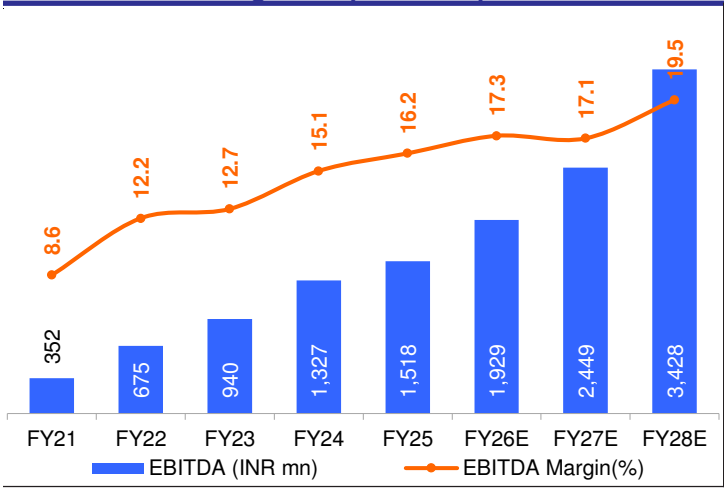
Source: Company, Antique

Exhibit 8: Group net revenue to register 23% CAGR over FY25-28E



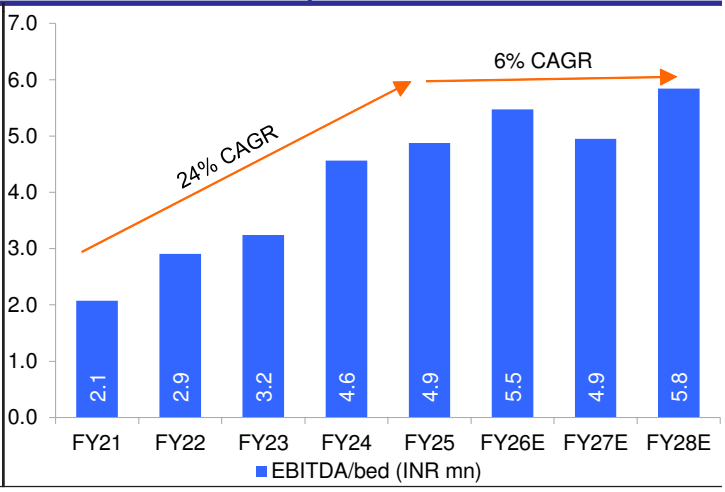
Source: Company, Antique

Exhibit 9: EBITDA margin to expand 330bps over FY25–28E



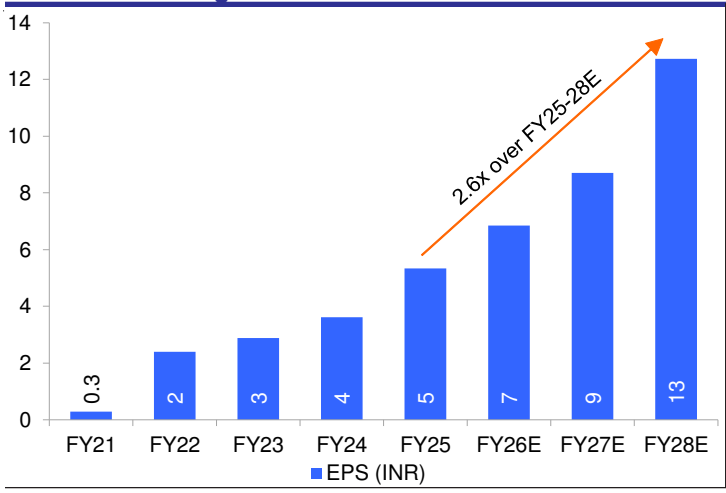
Source: Company, Antique

Exhibit 10: EBITDA/bed to post 6% CAGR over FY25-28E



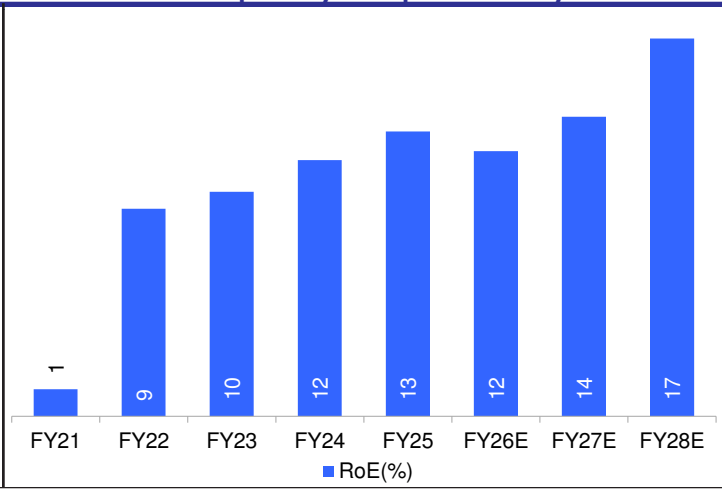
Source: Company, Antique

Exhibit 11: EPS to grow ~2.6x over FY25–28E



Source: Company, Antique

Exhibit 12: RoE to expand by 420bps to ~17% by FY28E



Source: Company, Antique

Financials

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**8,786**	**9,369**	**11,152**	**14,288**	**17,559**
Op. Expenses	7,459	7,851	9,223	11,839	14,131
EBITDA	**1,327**	**1,518**	**1,929**	**2,449**	**3,428**
Depreciation	403	452	523	628	744
EBIT	**924**	**1,066**	**1,406**	**1,821**	**2,684**
Other income	74	330	279	257	263
Interest Exp.	313	319	278	285	326
Reported PBT	**685**	**1,077**	**1,407**	**1,793**	**2,622**
Tax	193	255	352	448	655
Reported PAT	**491**	**822**	**1,055**	**1,344**	**1,966**
Minority Int./Profit (loss) From Asso.	0	4	4	4	4
Net Profit	**491**	**826**	**1,060**	**1,349**	**1,971**
Adjusted PAT	**491**	**826**	**1,060**	**1,349**	**1,971**
Adjusted EPS (INR)	**3.2**	**5.3**	**6.8**	**8.7**	**12.7**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	136	138	138	138	138
Reserves & Surplus	4,348	8,239	9,217	10,484	12,373
Networth	**4,484**	**8,377**	**9,355**	**10,622**	**12,510**
Debt	3,203	2,903	2,653	3,353	3,503
Minority Interest	63	59	59	59	59
Net deferred Tax liabilities	353	358	358	358	358
Capital Employed	**8,103**	**11,696**	**12,424**	**14,391**	**16,430**
Gross Fixed Assets	7,514	8,413	10,023	12,123	14,123
Accumulated Depreciation	1,409	1,861	2,384	3,012	3,756
Capital work in progress	334	387	387	387	387
Net Fixed Assets	**6,439**	**6,940**	**8,027**	**9,499**	**10,755**
Goodwill	1,018	811	811	811	811
Current Assets, Loans & Adv.	**2,258**	**5,824**	**5,705**	**6,799**	**8,153**
Inventory	101	100	127	160	197
Debtors	948	1,013	1,206	1,370	1,684
Cash & Bank balance	613	3,955	3,473	4,117	4,857
Loans & advances and others	595	755	899	1,152	1,415
Current Liabilities & Provisions	**1,612**	**1,878**	**2,119**	**2,718**	**3,289**
Liabilities	1,164	1,274	1,450	1,861	2,235
Provisions	448	604	669	857	1,054
Net Current Assets	**646**	**3,945**	**3,586**	**4,081**	**4,865**
Application of Funds	**8,103**	**11,696**	**12,424**	**14,391**	**16,430**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	135.9	137.6	137.6	137.6	137.6
Diluted no. of shares (mn)	135.9	137.6	137.6	137.6	137.6
BVPS (INR)	33.0	60.9	68.0	77.2	90.9
CEPS (INR)	6.6	9.3	11.5	14.3	19.7
DPS (INR)	0.5	0.5	0.5	0.5	0.5

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**685**	**1,077**	**1,407**	**1,793**	**2,622**
Depreciation & amortization	403	452	523	628	744
Interest expense	235	18	(1)	28	62
(Inc)/Dec in working capital	(140)	33	(123)	149	(43)
Tax paid	(58)	(138)	(352)	(448)	(655)
Other operating Cash Flow	(37)	15	-	-	-
CF from operating activities	**1,089**	**1,456**	**1,454**	**2,149**	**2,729**
Capital expenditure	(726)	(905)	(1,610)	(2,100)	(2,000)
Add: Interest/Div. Income Recd.	(144)	(2,949)	279	257	263
CF from investing activities	**(870)**	**(3,854)**	**(1,331)**	**(1,843)**	**(1,737)**
Inc/(Dec) in share capital	2	3,302	5	5	5
Inc/(Dec) in debt	120	(151)	(250)	700	150
Dividend Paid	(61)	(60)	(82)	(82)	(82)
Others	(362)	(424)	(278)	(285)	(326)
CF from financing activities	**(301)**	**2,667**	**(605)**	**338**	**(253)**
Net cash flow	**(83)**	**270**	**(482)**	**644**	**740**
Opening balance	229	613	3,955	3,473	4,117
Other bank balances	467	3,072			
Closing balance	**613**	**3,955**	**3,473**	**4,117**	**4,857**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue (%)	19.1	6.6	19.0	28.1	22.9
EBITDA (%)	41.2	14.4	27.1	27.0	40.0
Adj PAT (%)	27.3	68.1	28.2	27.3	46.1
Adj EPS (%)	27.3	68.1	28.2	27.3	46.1

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	73.1	43.5	33.9	26.6	18.2
P/BV (x)	7.0	3.8	3.4	3.0	2.6
EV/EBITDA (x)	29.0	23.0	18.2	14.4	10.1
EV/Sales (x)	4.4	3.7	3.1	2.5	2.0
Dividend Yield (%)	0.2	0.2	0.2	0.2	0.2

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	11.5	12.9	12.0	13.5	17.0
RoCE (%)	13.0	14.1	14.0	15.5	19.1
Asset/T.O (x)	1.3	1.0	1.0	1.1	1.2
Net Debt/Equity (x)	0.6	(0.1)	(0.1)	(0.1)	(0.1)
EBIT/Interest (x)	3.2	4.4	6.1	7.3	9.1

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	15.1	16.2	17.3	17.1	19.5
EBIT Margin (%)	10.5	11.4	12.6	12.7	15.3
PAT Margin (%)	5.5	8.5	9.3	9.3	11.1

Source: Company Antique

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SECTOR UPDATE

FMCG

Inflation easing gradually

Our raw material tracker indicates barring crude and crude linked raw materials, most of the key raw material prices (assuming similar prices during rest of 4Q) have either been stable or have declined. Barley price inflation moderated while coffee declined 18% from 3Q levels. Given the trend continues, margin pressure for food companies like Nestle might ease. Copra prices witnessed slight MoM inflation of 2% during February post a consistent drop of 22% from the peak levels in July'25. Palm oil prices witnessed slight inflation in recent months (up by 2% QoQ). For paint companies, the benefit of QoQ drop in TiO2 prices would likely be offset by inflation in Crude/HDPE prices in the ensuing quarters. Soap manufacturing companies could witness slight pressure due to gradual rise in fatty acid as well as HDPE prices. In our view, depending on inventory holding, Marico's gross margin could expand 160-200 bps QoQ (contract 280-350 bps YoY). Asian Paints' gross margin could expand 180–250 bps QoQ. Nestle's gross margin is likely to improve QoQ (contract 20-50 bps YoY), while Godrej Consumer Product's (GCPL) gross margin could contract 0–50 bps QoQ (flat/expand YoY). Hindustan Unilever's (HUL) gross margin could contract on account of competitive pricing and higher trade margin (30–80 bps YoY). Our top picks in consumer staples are GCPL, Marico, and Bajaj Consumer.

Deflation in coffee and copra; palm oil rises marginally

Agri commodities in our RM tracker displayed divergent trends. Copra witnessed a further drop of ~9% from 3Q levels. However, on monthly basis copra prices witnessed slight reversal, growing marginally by 2% in Feb-26 (post six months of deflationary trend). After moderation in prices in Nov-Dec, palm oil prices are once again showing signs of slight inflation, grew 2%-3% in Jan and Feb'26 and 2% QoQ (drop of 8% YoY). Wheat prices continue to witness a deflationary trend from 3Q levels (declined 8% from 4QFY25). Following an uptick in Jan'26, prices again eased in Feb'26, declining by 3% MoM. Barley prices grew 1% from 3Q levels. Notably, post six quarters of inflation, prices declined 4% YoY from 4QFY25 levels. Coffee prices witnessed deflationary trend since last three months, with steep correction in Feb'26 (declined 16% MoM). Prices declined 18% from 3Q levels and declined 14% YoY, post seven quarters. Within the dairy basket, SMP grew 5% from 3Q (grew 3% YoY) while liquid milk was flattish QoQ (+3% YoY). Sugar prices declined marginally from 3Q levels (flat YoY). Mentha prices grew marginally 2% QoQ (+5% YoY).

Crude prices to be key monitorable

Crude/ HDPE (packaging material) prices grew ~10%/ 4% from 3Q levels. However, on YoY basis crude prices still are flat. Crude and HDPE witnessed inflation during Jan-Feb'26 in the range of ~ 3% to 7% MoM. In contrast, Tio2 declined 5% from 3Q levels (dropped 15% YoY). In the forthcoming quarters (from 1QFY27) the sustained deflation in TiO2 could partially offset the margin pressure from rise in crude and HDPE costs for paint companies. Prices of Linear Alkyl Benzene (LAB) (key raw material for detergents) remain elevated, +1% QoQ (grew 10% YoY). Fatty acid, used by soap manufacturers, continue to rise, 3% QoQ (rose 5% YoY). Prices of LLP (key raw material for hair oil companies witnessed further inflation rising by +11% QoQ (+26% YoY). LLP prices continue to rise since last five months in low to mid-single digit. Soda ash remains stable, with prices flat compared to 3Q levels (declined by 2% YoY).

Our View

In our view, if raw material prices sustain at current levels, during 4QFY26, Nestle, Marico and Asian Paints could witness gross margin expansion sequentially depending on inventory holding. Our top picks in consumer staples are GCPL, Marico, and Bajaj Consumer.

Table 1: Summary of commodity prices: Quarterly trend

Commodity	Unit	4QFY24	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26	Now
Wheat	INR/qtl.	-4.6	1.1	10.6	10.1	-4.6	-9.1	3.7	-0.2	-1.8
Barley WPI	WPI	-0.8	-2.0	7.2	8.1	6.6	-8.9	0.6	3.3	1.3
Palm Oil	WPI	10.1	2.6	15.0	25.7	0.4	-10.7	0.6	0.4	2.3
SMP	INR/kg	-8.3	5.5	0.7	1.8	1.7	4.8	-2.3	-4.6	5.0
Milk WPI	WPI	1.2	1.0	0.5	-0.1	0.6	1.1	1.0	0.4	0.1
Sugar	INR/100kg	-2.1	1.2	0.3	-0.1	3.9	-0.6	1.0	0.4	-0.7
Coffee	INR/lb	11.2	14.1	10.5	22.0	28.1	-8.2	4.5	9.9	-18.0
Copra	INR/quintal	-12.1	17.2	9.5	18.5	10.7	30.2	13.8	-10.7	-9.1
Crude	INR/bbl	2.0	1.7	-7.7	-2.2	-1.4	-8.2	1.6	-3.3	10.2
TiO2	INR/Kg	-3.3	-0.4	0.8	-0.5	-2.1	-2.9	-4.2	-3.6	-5.4
Mentha	WPI	-2.7	-2.2	-0.5	0.1	1.2	-3.5	3.3	3.3	2.1
Soda Ash	INR/50kg	-4.7	-3.4	-0.4	-1.2	-2.7	-0.3	-0.4	-1.2	-0.2
Fatty Acid	WPI	2.7	7.8	6.1	14.3	8.3	-11.1	8.9	5.2	3.1
Linear Alkyl Benzene (LAB)	WPI	-3.9	0.9	-1.4	-2.6	3.7	5.2	1.7	1.8	1.0
LLP	INR/kg	1.6	-0.1	20.5	3.4	-0.5	0.7	0.2	12.9	10.5
HDPE Asia	INR/ MT	2.1	0.4	-1.8	-4.5	-0.1	-1.7	2.3	-4.7	4.3
Glass	Index	0.5	-0.4	-0.9	-0.3	0.3	0.0	-0.4	-0.5	-0.1

Source: Industry, Bloomberg, Company

Table 2: Summary of commodity prices: Month-wise trend

Commodity	Unit	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Now
Wheat	INR/qtl.	-1.0	-10.5	-8.3	3.3	0.8	1.3	2.5	-0.4	-0.7	-0.6	-0.2	1.7	-3.3
Barley WPI	WPI	4.1	-0.7	-3.4	-8.5	-1.9	1.0	2.4	1.4	2.5	0.1	-0.6	1.1	1.0
Palm Oil	WPI	2.5	0.7	-5.0	-5.9	-8.9	2.7	5.5	1.5	0.9	-3.9	-0.1	2.7	2.0
SMP	INR/kg	-0.9	-2.4	8.8	2.5	-2.0	-4.2	1.0	3.2	-4.3	-2.2	-5.4	4.5	6.4
Milk WPI	WPI	0.7	-0.2	0.4	0.1	1.4	0.1	0.1	0.2	0.2	0.3	-0.1	0.1	0.1
Sugar	INR/100kg	3.3	0.1	-0.1	-0.5	-2.2	0.1	1.9	1.2	0.4	-0.5	-1.0	-0.4	0.5
Coffee	INR/lb	21.6	-3.8	-4.1	-0.6	-10.4	-11.1	17.1	13.8	1.5	4.2	-6.6	-4.4	-16.2
Copra	INR/quintal	5.1	5.0	15.1	2.9	17.4	6.6	-6.9	0.2	-4.4	-1.3	-11.1	-1.8	1.8
Crude	INR/bbl	-3.4	-5.0	-8.2	-4.2	10.4	-0.6	-1.4	1.0	-5.3	0.3	-2.1	5.7	7.2
TiO2	INR/Kg	0.0	-2.4	-0.3	-0.3	-2.4	-0.4	-0.2	-3.6	-3.0	1.6	-1.3	0.0	-6.3
Mentha	WPI	-0.3	-0.1	-1.0	-0.1	-4.8	-0.3	7.9	1.4	-1.8	0.3	2.7	1.9	-0.6
Soda Ash	INR/50kg	0.1	-1.9	1.2	0.8	-1.3	-0.8	0.1	1.9	-1.5	-0.9	-1.4	1.4	-0.6
Fatty Acid	WPI	8.5	-1.1	-5.2	-12.6	-0.4	3.9	8.2	6.1	1.5	-2.4	1.2	1.7	2.3
Linear Alkyl Benzene (LAB)	WPI	1.6	5.0	2.5	0.2	0.9	-0.6	0.0	2.5	1.9	-1.4	-0.2	1.5	0.4
LLP	INR/kg	4.5	1.2	-1.1	0.8	-1.2	-0.9	0.0	0.0	5.1	6.2	6.0	3.4	4.4
HDPE Asia	INR/kg	1.4	-0.8	-1.2	-2.3	0.7	2.7	2.3	0.1	-4.5	-3.0	-0.7	2.6	3.9
Glass	Index	0.1	0.0	-0.5	0.7	-0.2	-0.3	0.1	-0.6	-0.3	0.2	0.2	-1.2	0.8

Source: Industry, Bloomberg, Company

Table 3: Summary of commodity prices: YoY trend

Commodity	Unit	4QFY23	1QFY24	2QFY24	3QFY24	4QFY24	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26	Now
Wheat	INR/qtl.	13.6	4.7	2.5	-5.9	-1.2	7.0	10.8	17.4	17.5	5.7	-0.9	-10.2	-7.7
Barley WPI	WPI	26.8	-8.7	-18.0	-16.0	-15.8	-3.2	8.0	12.8	21.2	12.7	5.7	1.0	-4.1
Palm Oil	WPI	-35.4	-37.5	-18.2	-9.5	-1.1	4.2	27.1	63.3	48.9	29.6	13.4	-9.4	-7.6
SMP	INR/kg	17.1	3.8	-4.5	-11.6	-21.1	-14.1	-8.6	-0.8	9.9	9.2	5.9	-0.7	2.5
Milk WPI	WPI	9.2	8.4	8.5	8.0	5.7	4.4	3.8	2.5	2.0	2.1	2.6	3.2	2.7
Sugar	INR/100kg	1.3	5.1	7.6	11.6	9.7	6.2	2.9	-0.7	5.4	3.5	4.2	4.8	0.1
Coffee	INR/lb	-16.8	-15.1	-25.8	4.6	12.7	27.5	60.7	71.0	97.1	58.6	49.9	35.0	-13.6
Copra	INR/quintal	-7.4	-7.3	-1.9	5.1	-9.5	12.8	22.0	33.6	68.3	87.0	94.3	46.4	20.3
Crude	INR/bbl	-10.2	-25.0	-7.9	-5.1	2.7	9.8	-9.1	-6.4	-9.5	-18.3	-10.0	-11.0	-0.6
TiO2	INR/Kg	-11.0	-12.6	-5.8	-8.1	-13.6	-12.2	-7.3	-3.5	-2.3	-4.7	-9.4	-12.3	-15.3
Mentha	WPI	3.2	-6.9	-3.9	-8.7	-13.9	-9.6	-8.9	-5.2	-1.4	-2.7	1.0	4.3	5.2
Soda Ash	INR/50kg	7.4	-14.9	-22.5	-24.6	-21.7	-21.9	-17.7	-9.4	-7.5	-4.5	-4.6	-4.5	-2.1
Fatty Acid	WPI	-44.8	-32.1	11.5	0.8	4.6	5.8	10.0	34.2	41.5	16.7	19.8	10.2	4.9
Linear Alkyl Benzene (LAB)	WPI	4.7	-12.4	-19.6	-7.8	-8.1	-3.1	0.0	-6.8	0.6	4.8	8.1	13.0	10.0
LLP	INR/kg	30.1	28.6	17.6	12.8	-9.3	-8.5	21.2	26.5	23.9	24.9	3.9	13.4	25.9
HDPE Asia	INR/ MT	-12.6	-23.0	-8.8	-6.1	-6.8	0.9	-2.0	-3.9	-6.0	-7.9	-4.0	-4.2	0.0
Glass	Index	17.6	13.8	9.2	4.5	1.0	0.6	-0.9	-1.1	-1.3	-0.8	-0.3	-0.6	-1.0

Source: Company, Antique

Table 4: Valuation table

Companies	Year	TP (INR)	CMP	Up side (%)	Reco	Sales (INR mn)	Sales growth (YoY %)	EBITDA (INR mn)	EBITDA growth (YoY %)	EBITDA margin (%)	Adj. PAT (INR mn)	Adj. PAT growth (YoY %)	Adj. PAT margin (%)	Adj. EPS (INR)	EV/ EBITDA (x)	P/E (x)	RoE %	RoCE %
HUVR	FY23	2,603	2,375	10	Hold	5,91,440		1,36,320		23.0	97,200		16.4	41.4	38	57	20	24
	FY24					6,04,690	2	1,41,900	4	23.5	1,01,050	4	16.7	43.0	36	55	20	25
	FY25					6,14,690	2	1,42,890	1	23.2	1,02,210	1	16.6	43.5	36	55	20	25
	FY26e					6,29,844	2	1,45,928	2	23.2	1,02,781	1	16.3	43.7	35	54	20	25
	FY27e					6,72,671	7	1,59,834	10	23.8	1,12,324	9	16.7	47.8	32	50	22	27
	FY28e					7,35,586	9	1,75,152	10	23.8	1,23,226	10	16.8	52.4	29	45	25	30
DABUR	FY23	562	519	8	Hold	1,15,299		21,641		18.8	17,072		14.8	9.7	42	54	20	23
	FY24					1,24,040	8	24,002	11	19.4	18,427	8	14.9	10.4	37	50	20	22
	FY25					1,25,631	1	23,163	(3)	18.4	17,676	(4)	14.1	10.0	38	52	17	20
	FY26e					1,32,174	5	24,614	6	18.6	19,002	8	14.4	10.8	35	48	17	20
	FY27e					1,45,588	10	28,335	15	19.5	21,887	15	15.0	12.4	30	42	18	22
	FY28e					1,60,398	10	31,760	12	19.8	24,900	14	15.5	14.1	27	37	19	23
ITC	FY23	502	320	57	Buy	6,60,433		2,39,445		36.3	1,86,804		28.3	15.0	16	21	29	37
	FY24					6,26,281	(5)	2,34,940	(2)	37.5	1,99,102	7	31.8	15.9	16	20	28	36
	FY25					6,93,235	11	2,40,248	2	34.7	2,00,919	1	29.0	16.1	16	20	29	36
	FY26e					7,37,572	6	2,44,244	2	33.1	2,01,457	0	27.3	16.1	15	20	29	37
	FY27e					7,82,569	6	2,60,488	7	33.3	2,17,034	8	27.7	17.3	14	18	29	37
	FY28e					8,43,656	8	2,84,298	9	33.7	2,37,378	9	28.1	19.0	13	17	30	39
NEST	FY23	1,393	1,324	5	Hold	1,68,970		38,145		22.6	24,925		14.8	12.9	67	102	110	152
	FY24					2,43,939	44	59,087	55	24.2	40,174	61	16.5	20.8	43	64	139	188
	FY25					2,02,016	(17)	48,503	(18)	24.0	31,003	(23)	15.3	16.1	53	82	83	105
	FY26e					2,25,871	12	50,943	5	22.6	32,046	3	14.2	16.6	50	80	65	77
	FY27e					2,60,574	15	63,121	24	24.2	40,232	26	15.4	20.9	41	63	63	77
	FY28e					3,02,245	16	76,079	21	25.2	48,839	21	16.2	25.3	33	52	64	79
CLGT	FY23	2,265	2,270	(0)	Hold	52,262		15,470		29.6	10,584		20.3	38.9	37	58	61	84
	FY24					56,804	9	19,008	23	33.5	13,432	27	23.6	49.4	29	46	75	103
	FY25					60,402	6	19,581	3	32.4	13,804	3	22.9	50.7	29	45	78	110
	FY26e					60,082	(1)	18,709	(4)	31.1	13,456	(3)	22.4	49.5	30	46	78	109
	FY27e					64,745	8	20,283	8	31.3	14,507	8	22.4	53.3	28	43	76	106
	FY28e					69,785	8	21,994	8	31.5	15,795	9	22.6	58.1	25	39	72	100
GCPL	FY23	1,530	1,236	24	Buy	1,33,160		25,392		19.1	17,460		13.1	17.1	49	72	14	19
	FY24					1,40,961	6	30,703	21	21.8	20,160	15	14.3	19.7	42	63	15	21
	FY25					1,43,643	2	30,031	(2)	20.9	19,155	(5)	13.3	18.7	42	66	16	19
	FY26e					1,56,033	9	32,292	8	20.7	22,121	15	14.2	21.6	39	57	18	20
	FY27e					1,76,089	13	39,912	24	22.7	27,907	26	15.8	27.3	31	45	21	23
	FY28e					1,98,898	13	45,412	14	22.8	32,587	17	16.4	31.9	27	39	22	24
MRCO	FY23	990	810	22	Buy	97,640		18,100		18.5	12,808		13.1	9.9	54	82	36	43
	FY24					96,530	(1)	20,260	12	21.0	14,810	16	15.3	11.5	48	71	39	44
	FY25					1,08,310	12	21,390	6	19.7	15,870	7	14.7	12.3	45	66	41	44
	FY26e					1,35,630	25	23,942	12	17.7	18,201	15	13.4	14.1	40	57	42	47
	FY27e					1,54,705	14	30,388	27	19.6	23,527	29	15.2	18.2	31	44	44	50
	FY28e					1,73,890	12	36,104	19	20.8	28,403	21	16.3	22.0	26	37	42	48
APNT	FY23	3,241	2,416	34	Buy	3,44,886		62,598		18.2	41,553		12.0	43.3	40	56	28	33
	FY24					3,54,947	3	75,850	21	21.4	54,602	31	15.4	56.9	33	42	31	36
	FY25					3,39,056	(4)	60,062	(21)	17.7	40,303	(26)	11.9	42.0	42	57	21	25
	FY26e					3,54,268	4	65,928	10	18.6	43,669	8	12.3	45.5	38	53	21	25
	FY27e					3,83,489	8	75,676	15	19.7	50,036	15	13.0	52.2	33	46	22	26
	FY28e					4,18,486	9	85,662	13	20.5	56,522	13	13.5	58.9	29	41	22	27

Source: Company, Antique

Table 4: Valuation table (continue...)

Companies	Year	TP (INR)	CMP	Up side (%)	Reco	Sales (INR mn)	Sales growth (YoY %)	EBITDA (INR mn)	EBITDA growth (YoY %)	EBITDA margin (%)	Adj. PAT (INR mn)	Adj. PAT growth (YoY %)	Adj. PAT margin (%)	Adj. EPS (INR)	EV/ EBITDA (x)	PE (x)	RoE %	RoCE %
KNPL	FY23	241	202	19	Hold	75,427		8,180		10.8	4,734		6.3	5.9	21	34	11	15
	FY24					78,014	3	10,278	26	13.2	6,874	45	8.8	8.5	16	24	13	18
	FY25					78,230	0	9,423	(8)	12.0	6,705	(2)	8.6	8.3	17	24	11	15
	FY26e					79,552	2	9,330	(1)	11.7	6,107	(9)	7.7	7.6	17	27	9	13
	FY27e					84,665	6	10,569	13	12.5	7,190	18	8.5	8.9	15	23	11	14
	FY28e					91,747	8	11,728	11	12.8	8,119	13	8.8	10.0	13	20	12	15
UNITDSPR	FY23	1,697	1,408	21	Buy	1,03,737		14,187		13.7	8,808		8.5	12.1	67	116	16	23
	FY24					1,06,920	3	17,080	20	16.0	12,540	42	11.7	17.3	55	82	19	27
	FY25					1,15,730	8	20,580	20	17.8	15,230	21	13.2	21.0	45	67	21	29
	FY26e					1,25,984	9	24,248	18	19.2	18,336	20	14.6	25.2	38	56	22	30
	FY27e					1,38,460	10	27,084	12	19.6	20,402	11	14.7	28.1	34	50	21	29
	FY28e					1,53,159	11	30,320	12	19.8	22,867	12	14.9	31.5	30	45	20	28
RDCK	FY23	3,900	2,720	43	Buy	31,428		3,584		11.4	2,044		6.5	15.3	112	178	10	11
	FY24					41,185	31	5,061	41	12.3	2,558	25	6.2	19.1	79	142	11	13
	FY25					48,512	18	6,737	33	13.9	3,452	35	7.1	25.8	60	105	14	16
	FY26e					60,901	26	9,811	46	16.1	5,951	72	9.8	44.6	41	61	20	24
	FY27e					69,961	15	12,560	28	18.0	8,072	36	11.5	60.4	31	45	22	28
	FY28e					80,932	16	15,663	25	19.4	10,418	29	12.9	78.0	25	35	23	30
HMN	FY23	671	480	40	Buy	34,057		8,628		25.3	7,801		22.9	17.7	25	27	36	31
	FY24					35,781	5	9,495	10	26.5	8,148	4	22.8	18.7	23	26	34	33
	FY25					38,092	6	10,251	8	26.9	8,897	9	23.4	20.4	21	24	35	35
	FY26e					39,161	3	10,213	(0)	26.1	8,837	(1)	22.6	20.2	21	24	31	31
	FY27e					42,814	9	11,622	14	27.1	10,133	15	23.7	23.2	18	21	31	33
	FY28e					46,817	9	12,832	10	27.4	11,258	11	24.0	25.8	15	19	30	31
JYL	FY23	259	260	(0)	Hold	24,860		3,159		12.7	2,327		9.4	6.3	28	41	16	21
	FY24					27,569	11	4,798	52	17.4	3,695	59	13.4	10.1	18	26	22	30
	FY25					28,470	3	4,996	4	17.5	3,747	1	13.2	10.2	17	25	19	27
	FY26e					29,325	3	4,550	(9)	15.5	3,418	(9)	11.7	9.3	18	28	16	22
	FY27e					31,380	7	4,818	6	15.4	3,680	8	11.7	10.0	16	26	15	21
	FY28e					33,584	7	5,168	7	15.4	3,964	8	11.8	10.8	15	24	15	20
BAJAJCON	FY23	400	398	1	Buy	9,499		1,414		14.9	1,398		14.7	9.8	21	41	17	21
	FY24					9,841	4	1,553	10	15.8	1,554	11	15.8	10.9	19	37	19	23
	FY25					9,648	(2)	1,274	(18)	13.2	1,253	(19)	13.0	9.1	24	44	16	19
	FY26e					11,372	18	2,000	57	17.6	1,795	43	15.8	13.1	12	30	17	20
	FY27e					12,612	11	2,332	17	18.5	2,100	17	16.7	15.3	10	26	14	17
	FY28e					14,006	11	2,652	14	18.9	2,384	14	17.0	17.4	8	23	14	17
PATANJAL	FY23	695	515	35	Buy	3,15,247		12,806		4.1	8,864		2.8	24.5	15	21	11	13
	FY24					3,17,418	1	12,990	1	4.1	7,651	(14)	2.4	21.1	14	24	8	11
	FY25					3,41,570	8	19,466	50	5.7	13,013	70	3.8	35.9	10	14	12	16
	FY26e					3,98,214	17	17,963	(8)	4.5	11,855	(9)	3.0	10.9	11	47	10	13
	FY27e					4,20,982	6	27,203	51	6.5	18,679	58	4.4	17.2	7	30	15	18
	FY28e					4,50,936	7	30,932	14	6.9	21,599	16	4.8	19.9	6	26	15	20
HONASA	FY23	383	305	26	Buy	14,927		228		1.5	37		0.2	0.3			1	3
	FY24					19,199	29	1,371	502	7.1	1,118	2,896	5.8	3.4	65	88	13	18
	FY25					20,669	8	685	(50)	3.3	727	(35)	3.5	2.2	133	136	6	9
	FY26e					23,368	13	2,113	208	9.0	1,764	143	7.6	5.4	42	56	14	20
	FY27e					27,532	18	2,565	21	9.3	2,118	20	7.7	6.5	34	47	14	21
	FY28e					31,743	15	3,023	18	9.5	2,490	18	7.8	7.7	28	40	15	21

Source: Company, Antique

Table 4: Valuation table (continue...)

Companies	Year	TP (INR)	CMP	Up side (%)	Reco	Sales (INR mn)	Sales growth (YoY %)	EBITDA (INR mn)	EBITDA growth (YoY %)	EBITDA margin (%)	Adj. PAT (INR mn)	Adj. PAT growth (YoY %)	Adj. PAT margin (%)	Adj. EPS (INR)	EV/ EBITDA (x)	PE (x)	RoE %	RoCE %
ABDL	FY23	749	486	54	Buy	31,466		1,850		5.9	16		0.1	0.1	77		0	12
	FY24					33,279	6	2,421	31	7.3	68	326	0.2	0.3	59		2	16
	FY25					35,199	6	4,306	78	12.2	1,838	2,598	5.2	6.6	33	74	19	21
	FY26e					39,166	11	5,226	21	13.3	2,619	42	6.7	9.4	28	52	16	18
	FY27e					44,395	13	6,421	23	14.5	3,461	32	7.8	12.4	23	39	20	20
	FY28e					50,090	13	8,189	28	16.3	4,653	34	9.3	16.6	18	29	24	23
VBL	FY24	610	456	34	Buy	1,31,731		27,881		21.2	14,974		11.4	4.6	56	98	33	26
	FY25					1,60,426	22	36,095	29	22.5	20,559	37	12.8	6.3	44	71	34	28
	FY26e					2,00,077	25	47,111	31	23.5	25,946	26	13.0	7.7	32	59	22	24
	FY27e					2,16,854	8	50,494	7	23.3	29,365	13	13.5	8.7	30	52	16	19
	FY28e					2,83,472	31	70,820	40	25.0	44,518	52	15.7	13.2	21	34	18	22
DOMS	FY24	3,186	2,377	34	Buy	15,371		2,727		17.7	1,597		10.4	26	53	91	28	31
	FY25					19,126	24	3,484	28	18.2	2,135	34	11.2	35	42	68	24	26
	FY26e					22,881	20	4,000	15	17.5	2,391	12	10.5	39	36	61	22	24
	FY27e					27,697	21	4,852	21	17.5	2,860	20	10.3	47	30	51	21	25
	FY28e					34,070	23	5,963	23	17.5	3,534	24	10.4	58	24	41	22	26

Source: Company, Antique

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SECTOR UPDATE

Indian IT Services

AI drives hyperscaler growth; capex concerns persist

The average growth of leading cloud companies improved further in 4QCY25, although high capex remains a concern. Strong growth was supported by sustained multi-year AI demand and continued prioritization of data- and compute-intensive workloads. IaaS providers' revenue grew 28% YoY in 3QCY25 from 25% in the previous quarter. AWS reported revenue of USD 35.6bn, up 24% YoY (ARR of USD 142bn). Microsoft Intelligent Cloud reported revenue of USD 32.9bn, up 29% YoY, with Azure growing 39% YoY. Google Cloud reported revenue of USD 17.7bn, up 48% YoY, remaining the fastest-growing among peers. The top four cloud companies are expected to invest as much as USD 630bn in capital expenditures in 2026, as per company guidance, representing more than a 60% increase compared to the record ~USD 390bn spent in 2025. Indian IT companies remain under persistent pressure from large public cloud providers, as pricing and volume headwinds continue due to ongoing reductions in IT services headcount and pricing, driven by the need to fund higher capex investments. In addition, AI-related risks are increasing, with growing fears around long-term revenue and business model disruption in services such as application development, testing, maintenance, and infrastructure management, even though near-term growth remains stable.

Hyperscaler capital expenditure is accelerating sharply, highlighting sustained and structural demand for cloud and AI infrastructure. Microsoft's capex for the quarter stood at USD 37.5bn, two-thirds of which was spent on short-lived assets to meet customer demand, as demand continues to exceed supply. Amazon expects to invest USD 200bn in capex for CY26, largely toward AWS expansion and AI workloads. Alphabet has guided USD 175-185bn, and Meta has outlined USD 115-135bn for 2026, collectively signaling the onset of a multi-year, AI-driven infrastructure build cycle. For Indian IT services firms, this creates near-term headwinds. Under the old model, hyperscalers outsourced heavily to Indian IT providers. Under the new model, hyperscalers are investing internally in infrastructure and automation, which is impacting Indian IT companies through lower discretionary IT services spending growth, delays in services projects, and reduced outsourcing intensity.

Cloud backlog growth indicates extremely strong visibility. Backlog trends confirm that AI demand is structural, not cyclical, with customers signing multi-year commitments. Backlog growth is faster than revenue growth, suggesting future acceleration. Google Cloud backlog grew 55% YoY, reaching USD 240bn, which provides multi-year visibility relative to its ~USD 70bn annual revenue run rate. This is similar to Microsoft Azure's backlog strength, with Microsoft providing multiple strong indicators of order visibility and forward commitments.

Sector Outlook

Indian IT stocks have underperformed broader indices due to a combination of global hyperscaler spending shifts, demand uncertainty, macro concerns, and institutional positioning towards AI led companies. Hyperscalers (Microsoft, Google, Meta, Amazon) are massively increasing capex for AI infrastructure: building data centers, Buying GPUs, Building internal AI platforms. For Indian IT services firms, this creates near term headwinds; during the old model, Hyperscalers outsourced heavily to Indian IT and under the new model, hyperscalers are internally in infrastructure and automation which is impacting Indian IT companies in the form of Lower discretionary IT services spending growth, Delay in services projects and reduced outsourcing intensity. As capex intensity moderates in the medium term, demand is pivoting toward higher-value programs, AI-native applications, data modernization, and advanced analytics-driving an increase in large, strategic transformation deal flow. In this note we have reduced our valuation multiple across the coverage by 5%-10% and reduced growth estimates marginally on AI led risk intensifying and comparative valuation to global peers such as CTSH and ACCN. We remain HOLD on INFY, TECHM and WPRO; while cut rating of TCS and HCLT to HOLD from BUY among top 5.

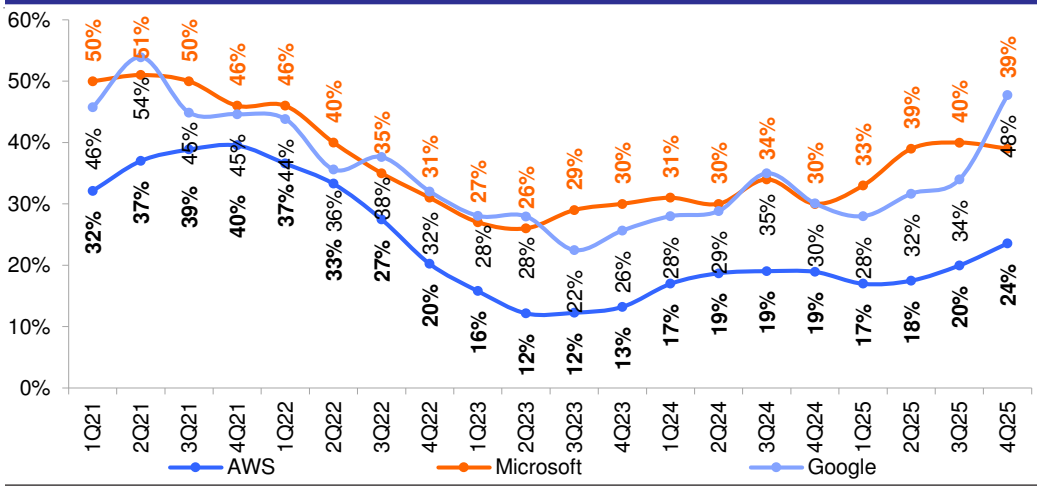
Table 1: IaaS, PaaS, and SaaS revenue (in USD mn) and YoY growth trend

IaaS/PaaS	1Q24	2Q24	3Q24	4Q24	CY24	1Q25	2Q25	3Q25	4Q25	CY25	1Q24	2Q24	3Q24	4Q24	CY24	1Q25	2Q25	3Q25	4Q25	CY25
Particulars																				
Amazon Web Services	25,037	26,281	27,452	28,786	1,07,556	29,267	30,873	33,006	35,579	1,28,725	17%	19%	19%	19%	19%	17%	18%	20%	24%	20%
Microsoft Azure	23,364	20,483	20,871	21,350	86,067	31,075	28,471	29,219	29,676	1,18,440	31%	29%	34%	30%	31%	33%	39%	40%	39%	38%
Google	9,574	10,347	11,353	11,955	43,229	12,260	13,624	15,157	17,664	58,705	28%	29%	35%	30%	31%	28%	32%	34%	48%	36%
Oracle	6,523	8,371	6,682	7,221	28,796	7,305	9,543	7,484	8,015	32,347	10%	11%	12%	12%	11%	12%	14%	12%	11%	12%
Alibaba	2,895	2,691	2,919	3,286	11,792	3,105	2,906	3,357	3,779	13,147	7%	4%	7%	7%	6%	7%	8%	15%	15%	11%
IBM	2,607	2,583	2,961	2,677	10,829	2,517	2,557	2,991	2,731	10,796	5%	7%	10%	10%	8%	-3%	-1%	1%	2%	0%
Salesforce.com	4,405	4,436	4,472	4,990	18,303	4,801	4,835	4,830	5,389	19,856	14%	9%	7%	8%	10%	9%	9%	8%	8%	8%
Total	**74,406**	**75,191**	**76,710**	**80,265**	**3,06,572**	**90,330**	**92,809**	**96,044**	**1,02,833**	**3,82,016**	**21%**	**20%**	**23%**	**21%**	**21%**	**21%**	**23%**	**25%**	**28%**	**25%**

SaaS	1Q24	2Q24	3Q24	4Q24	CY24	1Q25	2Q25	3Q25	4Q25	CY25	1Q24	2Q24	3Q24	4Q24	CY24	1Q25	2Q25	3Q25	4Q25	CY25
Microsoft																				
-Office 365 commercial	11,347	11,728	11,487	12,064	46,626	12,595	13,839	13,440	14,114	53,988	15%	14%	14%	14%	14%	11%	18%	17%	17%	16%
-Dynamic 365	2,486	2,458	2,369	2,474	9,787	2,746	2,901	2,795	2,944	11,385	23%	20%	19%	20%	20%	10%	18%	18%	19%	16%
-LinkedIn Commercial	4,011	4,071	4,122	4,246	16,450	4,543	4,437	4,535	4,713	18,227	10%	9%	9%	9%	9%	13%	9%	10%	11%	11%
Orcale	4,921	5,136	4,968	5,094	20,118	5,364	5,752	5,365	5,706	22,186	10%	10%	10%	10%	7%	9%	12%	8%	12%	10%
SAP	4,898	4,947	5,272	5,826	20,943	6,171	6,135	6,432	6,933	25,670	24%	25%	25%	26%	25%	26%	24%	22%	19%	23%
IBM	1,303	1,292	1,481	1,339	5,414	1,394	1,421	1,629	1,527	5,970	5%	7%	10%	10%	8%	7%	10%	10%	14%	10%
Workday	1,815	1,903	1,959	2,040	7,717	2,105	2,160	2,116	2,203	8,584	19%	17%	16%	16%	18%	16%	14%	8%	8%	11%
Salesforce.com	4,180	4,328	4,407	4,461	17,376	4,682	4,804	4,760	4,818	19,063	11%	10%	11%	8%	10%	12%	11%	8%	8%	10%
Total	**34,961**	**36,144**	**36,203**	**37,734**	**1,44,431**	**39,600**	**41,448**	**41,070**	**42,957**	**1,65,075**	**15%**	**14%**	**14%**	**14%**	**14%**	**13%**	**15%**	**13%**	**14%**	**14%**

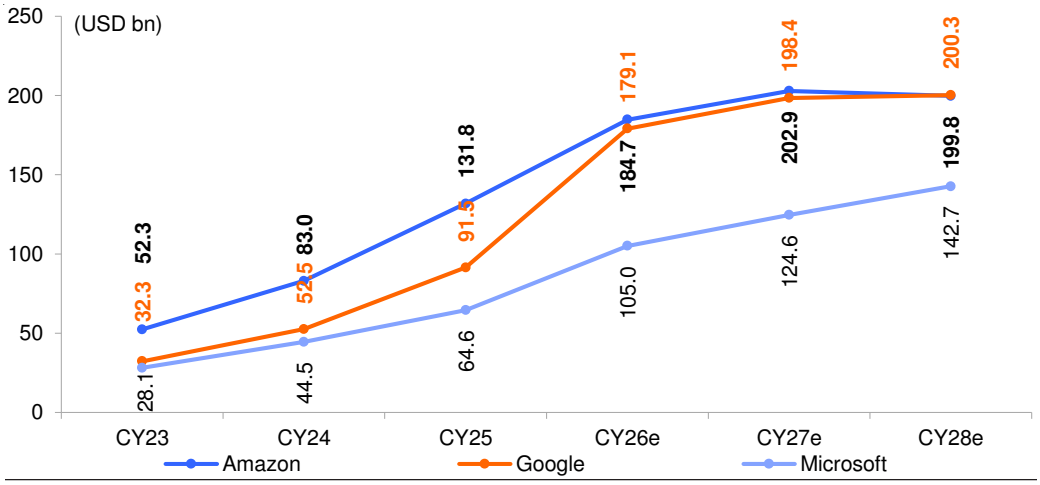
Source: Company, Bloomberg, Antique

Exhibit 1: Top cloud vendors' quarterly growth rate trend



Source: Company, Antique

Exhibit 2: Capex trend across hyperscalers



Source: Company, Bloomberg, Antique

Table 2: Change in estimates

				Target Multiple		TP (INR)			USD Revenue Growth		EPS Change	
Rating	**Old**	**New**	**CMP (INR)**	**Old**	**New**	**Old**	**New**	**Upside**	**FY27e**	**FY28e**	**FY27e**	**FY28e**
TCS	Buy	Hold	2,645	19	18	3,200	2,975	12%	4.0%	5.0%	-0.7%	-1.7%
Infosys	Hold	Hold	1,305	21	19	1,650	1,475	13%	4.1%	5.1%	-0.5%	-0.9%
HCL Tech	Buy	Hold	1,389	21	19	1,675	1,500	8%	4.9%	5.1%	-0.6%	-1.3%
Wipro	Hold	Hold	204	18	17	260	245	20%	2.4%	3.2%	-0.7%	-1.5%
Tech Mahindra	Hold	Hold	1,374	21	21	1,650	1,550	13%	6.0%	5.5%	-0.7%	-1.4%
LTIMindtree	Buy	Buy	4,591	28	25	6,525	5,750	25%	9.2%	9.3%	-0.8%	-1.4%
Coforge	Buy	Buy	1,221	32	29	2,050	1,825	49%	16.4%	12.2%	-0.7%	-1.7%
Mphasis	Buy	Buy	2,251	26	24	3,400	3,100	38%	9.8%	12.9%	-0.8%	-1.3%
Cyient - DET	Buy	Buy	938	16	14	1,400	1,250	33%	11.2%	12.2%	-0.7%	-1.2%
LTTS	Hold	Hold	3,238	25	23	4,250	3,875	20%	5.5%	8.8%	-0.5%	-0.9%
Persistent Sys	Hold	Hold	4,768	34	32	5,675	5,300	11%	14.2%	12.6%	-0.7%	-0.9%
Firstsource	Buy	Buy	222	26	24	360	325	46%	12.6%	11.3%	-0.7%	-1.1%
Zensar	Hold	Hold	543	19	17	740	650	20%	2.9%	7.8%	-0.7%	-1.2%
Birlasoft	Hold	Hold	375	16	15	385	360	-4%	4.2%	9.4%	-0.6%	-0.9%

Source: Bloomberg, Antique

Valuation Guide

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	EPS (INR) FY26	FY27	FY28	P/E (x) FY26	FY27	FY28	EV/EBITDA (x) FY26	FY27	FY28	P/BV (x) FY26	RoE (%) FY26	RoCE (%) FY26	Absolute (%) 1m	12m
ASSET MANAGEMENT COMPANY																							
Aditya Birla Sun Life AMC	Buy	912	965	6	263.2	2.9	10.6	11.9	13.4	36.9	41.3	46.5	24.7	22.0	19.6	-	-	-	5.4	27.8	NA	17	42
HDFC Asset Management	Buy	2,744	3,350	22	1,175.2	12.9	29.8	34.4	39.8	69.7	80.4	93.2	39.3	34.1	29.4	-	-	-	11.4	35.4	NA	13	46
ICICI Prudential AMC	Buy	3,109	3,600	16	1,536.4	16.9	33.9	39.8	46.9	68.6	80.6	94.9	45.3	38.6	32.7	-	-	-	31.0	87.1	NA	12	
Nippon Life India AMC	Buy	976	1,080	11	621.7	6.8	15.4	18.4	21.3	24.3	29.1	33.7	40.1	33.6	29.0	-	-	-	13.6	41.3	NA	18	81
UTI Asset Management	Buy	1,046	1,220	17	134.4	1.5	8.4	9.4	10.5	55.3	74.3	82.9	18.9	14.1	12.6	-	-	-	2.7	17.8	NA	7	9
AUTO																							
Ashok Leyland	Hold	212	195	(8)	1,243.0	13.7	35.8	42.9	45.6	6.1	7.3	7.8	34.7	29.0	27.3	21.9	17.9	16.4	7.8	29.3	34.9	10	86
Bajaj Auto	Buy	10,097	10,810	7	2,822.1	31.0	97.1	111.5	124.5	343.4	394.5	440.4	29.4	25.6	22.9	21.5	18.5	16.2	6.9	28.9	36.9	7	20
Hero MotoCorp	Hold	5,738	6,300	10	1,148.0	12.6	53.3	57.8	62.6	266.3	288.8	313.0	21.5	19.9	18.3	17.7	15.4	14.1	4.6	24.5	32.1	7	50
Maruti Suzuki	Buy	15,070	18,450	22	4,738.0	52.1	148.9	177.8	193.3	473.6	565.4	614.8	31.8	26.7	24.5	20.2	16.6	14.8	4.0	15.9	20.7	-3	21
Sansera Engineering	Buy	2,353	2,520	7	146.4	1.6	3.0	3.8	4.5	48.2	60.8	72.0	48.8	38.7	32.7	23.7	20.1	16.9	4.3	11.8	15.9	42	97
Studds Accessories	Buy	520	740	42	20.5	0.2	0.8	1.0	1.2	21.2	24.4	29.7	24.5	21.3	17.5	15.2	13.5	11.3	3.4	17.1	19.5	5	
TVS Motor	Buy	3,932	4,205	7	1,868.0	20.6	35.6	43.9	54.2	74.9	92.4	114.0	52.5	42.6	34.5	31.9	26.4	21.8	10.8	28.7	35.1	11	67
AGROCHEMICAL, CHEMICAL AND FERTILIZER																							
Bayer Cropscience	Hold	4,728	4,900	4	212.5	2.3	6.8	7.8	8.8	152.0	174.4	196.1	31.1	27.1	24.1	23.1	19.8	17.2	6.9	26.1	33.3	8	0
Coromandel Intl.	Buy	2,311	2,730	18	681.7	7.5	21.0	28.4	32.1	71.2	96.4	109.1	32.5	24.0	21.2	19.3	14.5	12.3	4.5	20.3	28.7	3	37
Dhanuka Agritech	Buy	1,069	1,450	36	48.2	0.5	2.5	3.1	3.6	55.7	69.7	80.3	19.2	15.3	13.3	12.0	9.6	8.1	2.7	18.5	25.0	-2	-20
Paradeep Phosphates	Buy	116	200	72	120.7	1.3	10.0	10.9	13.3	9.6	10.5	12.8	12.1	11.1	9.1	7.9	8.1	7.3	1.7	15.8	15.0	-10	21
PI Industries	Hold	3,094	3,080	(0)	469.3	5.2	12.8	14.1	16.7	84.3	92.6	110.1	36.7	33.4	28.1	24.6	21.5	17.8	3.8	11.9	15.4	-3	0
Rallis India	Hold	277	250	(10)	53.8	0.6	1.8	2.5	3.1	10.2	12.9	15.8	27.2	21.4	17.5	13.5	11.0	8.9	2.5	12.0	16.5	3	24
Sharda Cropchem	Buy	1,189	1,340	13	107.3	1.2	6.1	6.5	7.6	67.2	72.1	83.7	17.7	16.5	14.2	10.6	8.5	7.0	3.0	19.6	25.0	47	121
SRF Ltd	Buy	2,615	3,660	40	775.1	8.5	19.2	24.3	30.4	62.0	81.6	102.3	42.2	32.1	25.6	23.5	18.5	15.2	4.8	15.9	16.9	-4	-6
Sumitomo Chemical India	Buy	401	570	42	199.9	2.2	5.6	6.4	7.5	11.1	12.7	15.1	36.2	31.5	26.5	28.8	25.2	21.3	5.1	17.4	23.4	-4	-16
UPL	Buy	626	880	41	528.6	5.8	22.6	33.9	43.6	28.4	42.7	54.9	22.0	14.7	11.4	7.0	6.0	5.1	1.4	10.1	12.8	-11	-3
BUILDING MATERIALS																							
Apollo Pipes	Buy	340	300	(12)	15.0	0.2	0.2	0.4	0.5	3.3	7.7	11.9	103.5	44.0	28.6	18.7	13.2	10.1	1.7	3.8	5.7	25	-8
Astral	Buy	1,683	1,710	2	452.2	5.0	5.7	7.2	9.2	20.7	26.9	34.1	81.4	62.6	49.3	41.7	34.6	28.2	9.5	16.3	21.4	22	21
Cera Sanitaryware	Buy	4,932	5,800	18	63.6	0.7	2.2	2.7	3.0	174.4	213.0	231.9	28.3	23.2	21.3	20.6	16.2	14.7	3.8	17.6	21.9	0	-9
Finolex Industries	Hold	184	180	(2)	114.3	1.3	5.7	6.5	6.8	9.1	10.5	11.0	20.1	17.6	16.7	15.6	13.5	12.9	1.7	9.9	11.7	6	4
Greenlam Industries	Buy	238	280	17	60.8	0.7	0.5	1.5	2.8	2.1	6.0	11.1	115.9	40.0	21.5	22.9	16.4	11.5	4.7	12.3	12.8	-5	-1
Greenpanel Industries	Buy	207	320	55	25.3	0.3	-0.3	1.2	2.5	-2.1	9.8	20.0	-100.4	21.2	10.3	31.0	9.3	5.4	1.7	8.1	7.1	-2	-29
Kajaria Ceramics	Buy	953	1,120	18	151.7	1.7	5.1	6.0	7.2	32.1	37.7	45.0	29.6	25.2	21.2	17.5	15.0	12.7	4.4	18.4	23.6	2	9
Prince Pipes and Fittings	Buy	250	330	32	27.6	0.3	0.5	1.1	1.4	4.6	10.0	13.1	54.2	25.0	19.1	14.7	10.0	8.3	1.6	6.6	8.5	6	-9
Somany Ceramics	Buy	399	560	41	16.3	0.2	0.7	1.0	1.4	17.9	24.2	34.8	22.2	16.5	11.5	7.4	5.8	4.2	1.8	11.4	16.6	4	-9
Supreme Industries	Buy	4,053	3,890	(4)	514.8	5.7	8.4	10.7	12.3	66.2	84.2	97.1	61.2	48.1	41.7	35.5	28.4	24.9	7.9	17.2	21.3	16	13
CEMENT																							
ACC	Buy	1,624	1,850	14	304.9	3.4	15.5	17.2	19.5	82.6	91.4	103.5	19.7	17.8	15.7	8.4	7.7	7.0	1.4	8.3	12.1	-3	-11
Ambuja Cement	Buy	511	600	17	1,263.3	13.9	18.9	33.4	40.4	7.6	11.9	14.4	67.0	43.1	35.6	19.6	16.4	13.9	2.1	5.7	7.2	-1	9
Birla Corp	Buy	1,000	1,310	31	77.0	0.8	5.2	5.9	6.1	62.8	76.3	78.8	15.9	13.1	12.7	7.0	6.7	6.6	1.0	7.6	8.8	-3	-1
Dalmia Bharat	Hold	2,064	2,370	15	387.0	4.3	11.3	11.4	12.8	60.4	60.6	67.9	34.2	34.0	30.4	12.9	12.5	11.5	2.0	6.1	7.5	-1	19
Grasim Industries	Buy	2,878	3,450	20	1,958.8	21.5	4.4	7.5	12.6	6.5	11.0	18.6	445.7	262.5	155.0	114.9	87.2	66.4	3.6	1.4	2.9	4	21
Heidelberg	Hold	164	191	16	37.1	0.4	1.6	2.0	2.2	6.9	8.6	9.8	23.8	18.9	16.6	10.4	8.6	7.4	2.7	14.1	17.8	1	-17
JK Cement	Buy	5,661	7,100	25	437.4	4.8	10.1	10.9	12.7	130.5	140.9	164.5	43.4	40.2	34.4	19.6	17.2	14.7	5.5	14.6	13.5	2	24
JK Lakshmi Cement	Hold	731	840	15	90.7	1.0	4.6	5.4	5.7	37.0	43.4	45.6	19.8	16.9	16.0	9.9	9.2	9.0	2.1	13.3	12.8	-8	4
Nuvoco Vistas	Hold	332	400	20	118.7	1.3	4.5	4.6	4.1	12.7	12.9	11.4	26.2	25.8	29.3	8.9	8.3	7.8	1.2	4.7	6.9	-5	4
Orient Cement	Hold	158	174	10	32.4	0.4	2.7	3.1	2.7	17.0	15.1	13.0	9.3	10.4	12.1	5.5	5.7	6.5	1.4	13.9	14.9	-1	-51
Shree Cements	Buy	26,865	30,800	15	969.3	10.7	19.1	28.1	31.8	528.1	778.7	880.8	50.9	34.5	30.5	18.4	15.7	13.7	3.9	11.8	16.5	-1	-5
Star Cement	Hold	217	245	12	87.9	1.0	3.9	4.1	4.5	9.6	10.1	11.2	22.6	21.5	19.4	10.0	9.6	9.0	2.4	11.8	15.2	3	2
Ramco Cement	Hold	1,151	1,030	(11)	272.1	3.0	2.6	4.9	6.9	31.2	20.7	29.3	36.9	55.6	39.3	20.7	16.9	14.3	3.2	5.8	7.8	9	35
UltraTech Cement	Buy	13,041	14,600	12	3,842.9	42.3	84.9	104.1	128.3	288.1	353.2	435.5	45.3	36.9	29.9	23.1	19.4	16.3	4.4	13.0	15.0	5	19
EMS																							
Avalon Technologies	Hold	989	990	0	66.0	0.7	1.1	1.3	1.6	15.9	19.5	24.8	62.1	50.6	39.9	38.1	29.9	24.3	7.8	16.6	20.8	23	42
Cyient DLM	Buy	312	498	60	24.8	0.3	0.7	1.1	1.5	8.5	14.0	19.2	36.7	22.3	16.3	14.2	10.3	7.9	2.2	10.2	13.8	-13	-24
Kaynes Technology India	Hold	3,908	4,163	7	262.0	2.9	4.9	5.8	8.2	72.9	86.9	122.5	53.6	45.0	31.9	40.5	30.1	22.3	6.7	16.1	17.5	16	-9
Syrma SGS Technology	Buy	834	1,034	24	160.8	1.8	3.2	3.8	4.8	17.8	21.2	27.2	46.8	39.3	30.6	33.5	25.6	19.8	6.1	16.7	17.8	25	96
FMCG																							
Allied Blenders and Distillers	Buy	490	749	53	137.0	1.5	2.6	3.5	4.7	9.4	12.4	16.6	52.3	39.6	29.5	27.8	22.9	18.1	7.4	19.7	19.7	9	51
Asian Paints	Buy	2,416	3,241	34	2,317.8	25.5	43.7	50.0	56.5	45.5	52.2	58.9	53.1	46.3	41.0	35.3	30.4	26.6	9.6	22.0	26.3	-11	9
Bajaj Consumer Care	Buy	397	400	1	52.1	0.6	1.8	2.1	2.4	13.1	15.3	17.4	30.3	25.9	22.8	20.6	17.0	13.9	3.4	14.0	17.1	30	143
Colgate Palmolive	Hold	2,270	2,265	(0)	617.5	6.8	13.5	14.5	15.8	49.5	53.3	58.1	45.9	42.6	39.1	32.3	29.7	27.2	30.7	76.4	106.1	5	-10
Dabur India	Hold	519	564	9	919.9	10.1	19.0	21.9	24.9	10.8	12.4	14.1	48.2	41.9	36.8	36.3	31.1	27.2	7.3	18.2	21.7	0	2
DOMS Industries	Buy	2,378	3,186	34	144.3	1.6	2.4	2.9	3.5	39.4	47.1	58.2	60.4	50.5	40.8	36.4	29.9	24.1	9.8	21.3	24.9	0	-7
Emami	Buy	479	671	40	209.1	2.3	8.8	10.1	11.3	20.2	23.2	25.8	23.7	20.6	18.6	19.4	16.6	14.5	6.0	31.2	32.6	-5	-12
Godrej Consumer	Buy	1,237	1,530	24	1,266.2	13.9	22.1	27.9	32.6	21.6	27.3	31.9	57.2	45.3	38.8	39.3	31.4	27.2	9.2	21.2	23.0	0	17
Hindustan Unilever	Hold	2,375	2,622	10	5,580.0	61.4	102.8	112.3	123.2	43.7	47.8	52.4	54.3	49.7	45.3	37.2	34.0	31.0	11.1	22.0	27.0	-1	7
Honasa Consumer	Buy	304	383	26	99.1	1.1	1.8	2.1	2.5	5.4	6.5	7.7	56.1	46.7	39.8	43.2	34.8	28.7	6.3	14.5	20.7	12	37
ITC	Buy	320	408	27	4,006.2	44.1	201.5	217.0	237.4	16.1	17.3	19.0	19.9	18.4	16.9	15.6	14.5	13.2	5.2	29.3	37.4	-1	-21
Jyothy Labs	Hold	260	259	(0)	95.4	1.0	3.4	3.7	4.0	9.3	10.0	10.8	27.9	25.9	24.1	18.8	17.2	15.5	3.8	15.4	20.8	4	-22
Kansai Nerolac	Hold	201	241	20	162.2	1.8	6.1	7.2	8.1	7.6	8.9	10.0	26.6	22.6	20.0	15.2	12.9	11.4	2.4	10.7	14.4	-12	-13
Marico	Buy	806	990	23	1,046.7	11.5	18.2	23.5	28.4	14.1	18.2	22.0	57.2	44.2	36.6	42.7	33.3	27.5	17.6	44.4	50.0	9	30
Nestle	Hold	1,323	1,393	5	2,551.9	28.1	32.0	40.2	48.8	16.6	20.9	25.3	79.6	63.4	52.3	49.9	40.3	33.3	36.7	63.4	77.4	2	18
Patanjali Foods	Buy	519	695	34	564.4	6.2	11.9	18.7	21.6	10.9	17.2	19.9	47.6	30.2	26.1	32.3	21.0	18.1	4.2	14.5	18.4	1	-15
Radico Khaitan	Buy	2,721	3,900	43	364.3	4.0	6.0	8.1	10.4	44.6	60.4	78.0	61.1	45.0	34.9	37.5	28.9	22.8	9.2	22.5	27.7	-8	33
United Spirits	Buy	1,413	1,697	20	1,027.4	11.3	18.3	20.4	22.9	25.2	28.1	31.5	56.0	50.3	44.9	41.1	36.4	32.1	9.8	21.0	29.3	6	5
Varun Beverages	Buy	456	610	34	1,541.7	17.0	29.4	37.0	44.5	8.7	10.9	13.2	52.5	41.7	34.6	30.5	25.0	20.9	6.9	17.6	21.3	-4	-4

Valuation Guide

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	EPS (INR) FY26	FY27	FY28	P/E (x) FY26	FY27	FY28	EV/EBITDA (x) FY26	FY27	FY28	P/BV (x) FY26	RoE (%) FY26	RoCE (%) FY26	Absolute (%) 1m	12m
RETAIL																							
Aditya Birla Fashion & Retail	Hold	69	74	8	84.8	0.9	-6.8	-5.7	-4.8	-5.6	-4.7	-3.9	-12.3	-14.7	-17.5	11.4	9.7	7.8	1.5	-9.8	-3.4	12	-24
Aditya Birla Lifestyle Brands	Buy	104	143	37	127.4	1.4	2.1	3.9	5.7	1.7	3.2	4.7	60.1	32.3	22.4	9.6	8.6	7.5	6.9	23.8	21.0	1	
Arvind Fashions	Buy	440	758	72	58.8	0.6	1.4	2.3	2.9	10.5	17.5	21.8	41.8	25.1	20.1	8.2	6.4	5.0	4.5	17.8	22.8	1	10
Avenue Supermarts	Hold	3,888	4,161	7	2,530.2	27.8	31.6	36.2	41.0	48.6	55.6	63.0	80.1	69.9	61.8	49.4	42.8	37.5	8.7	12.5	16.2	6	10
Devyani International	Hold	132	132	1	162.2	1.8	-0.2	0.8	1.6	-0.2	0.7	1.3	-873.5	196.3	101.4	20.1	15.4	12.9	10.5	5.5	15.4	15	-26
Jubilant Foodworks	Buy	518	700	35	341.8	3.8	2.9	3.9	5.1	4.3	5.9	7.7	119.8	88.2	67.2	24.7	20.8	17.0	13.9	16.3	32.9	5	-24
Kewal Kiran	Buy	508	800	57	31.3	0.3	1.4	1.7	2.0	22.6	26.9	32.0	22.5	18.9	15.9	12.0	10.0	8.2	2.9	15.3	18.0	11	3
Restaurant Brands Asia	Buy	64	94	47	37.1	0.4	-0.6	-0.4	0.2	-1.1	-0.8	0.3	-59.6	-83.7	242.6	10.5	8.3	6.6	1.7	-2.0	6.0	-1	-5
Sapphire Foods India	Hold	214	228	6	68.9	0.8	0.0	0.3	0.4	0.0	1.1	1.4	-76,735.8	203.9	153.3	14.1	11.3	9.7	4.8	2.4	14.1	16	-33
Senco Gold	Buy	319	651	104	52.2	0.6	4.6	3.7	4.3	28.2	22.4	26.1	11.3	14.2	12.2	8.3	9.7	8.8	2.0	13.9	13.4	4	5
Shoppers Stop	Buy	320	505	58	35.3	0.4	-0.5	0.0	0.1	-4.6	-0.4	0.6	-69.4	-763.0	562.8	5.5	4.9	4.4	13.2	-1.7	8.4	-8	-39
Titan Co	Buy	4,325	5,038	16	3,839.7	42.2	47.7	60.0	74.5	53.7	67.6	84.0	80.5	64.0	51.5	52.7	42.0	34.4	19.4	34.4	21.6	8	35
Trent	Buy	3,922	4,792	22	1,394.2	15.3	18.5	22.5	27.7	51.9	63.3	77.8	75.5	61.9	50.4	38.9	32.0	25.6	14.5	23.5	24.5	4	-21
Vedant Fashion	HOLD	400	489	22	97.2	1.1	3.6	4.0	4.5	15.0	16.6	18.7	26.7	24.1	21.4	14.2	12.7	11.1	4.6	19.9	28.0	-17	-51
V-Mart Retail	Buy	571	813	42	45.4	0.5	1.1	1.7	2.4	14.0	22.0	30.4	40.9	26.0	18.8	9.0	7.1	5.6	4.1	17.3	17.2	0	-23
Westlife Foodworld	Hold	501	524	5	78.1	0.9	-0.2	0.2	0.7	-1.5	1.3	4.8	-338.7	374.0	105.4	24.3	19.7	15.5	12.3	3.3	22.2	2	-30
INDUSTRIALS																							
ABB	Hold	6,168	6,391	4	1,306.9	14.4	16.7	19.6	23.4	78.8	92.6	110.6	78.3	66.6	55.8	61.1	52.5	43.8	14.2	23.0	31.2	31	16
Apar Industries	Buy	10,579	10,740	2	424.9	4.7	10.1	12.7	16.0	252.1	316.8	397.4	42.0	33.4	26.6	23.1	18.6	15.3	6.8	22.2	33.2	50	67
Bajel Projects	Buy	162	271	67	18.7	0.2	0.4	1.0	1.7	3.7	8.7	15.0	44.1	18.6	10.8	15.5	9.4	5.7	2.6	14.8	16.3	9	-8
BHEL	Buy	262	349	33	912.1	10.0	13.4	32.0	48.7	3.8	9.2	14.0	68.1	28.5	18.7	43.9	20.8	14.3	3.3	12.0	26.0	8	35
Cummins India	Buy	4,919	5,113	4	1,363.4	15.0	22.3	25.3	29.5	80.6	91.2	106.5	61.0	53.9	46.2	52.5	45.7	38.4	15.6	30.6	39.7	25	76
Engineers India	Buy	220	243	11	123.5	1.4	4.6	5.3	6.1	7.2	8.4	9.7	30.4	26.3	22.7	22.6	18.8	15.5	3.8	17.3	19.4	31	33
GE Vernova T&D	Buy	3,816	3,590	(6)	976.9	10.7	12.2	14.6	18.4	47.8	57.1	71.8	79.8	66.8	53.1	60.0	49.2	38.8	23.1	41.0	57.6	41	166
Hitachi Energy	Buy	24,986	24,637	(1)	1,113.7	12.3	10.4	12.6	20.0	232.3	283.3	447.9	107.6	88.2	55.8	90.8	63.3	40.1	19.1	23.5	32.2	51	112
Honeywell Automation	Hold	31,440	36,262	15	278.0	3.1	5.3	6.3	7.1	595.5	713.2	805.8	52.8	44.1	39.0	40.9	32.7	27.9	5.6	13.3	13.7	0	-6
Precision Wires India	Buy	302	314	4	55.3	0.6	1.4	1.7	2.4	7.4	9.0	13.3	40.9	33.4	22.7	23.2	18.9	13.8	6.4	20.5	28.1	41	119
KEC International	Buy	592	812	37	157.5	1.7	7.5	12.3	15.4	28.3	46.1	58.0	20.9	12.8	10.2	10.8	7.3	5.8	2.2	18.8	22.0	-7	-21
Kirloskar Pneumatic	Buy	1,155	1,312	14	75.0	0.8	2.3	2.8	3.2	35.6	43.5	50.5	32.4	26.6	22.9	22.7	18.0	15.0	4.8	19.5	17.7	8	11
Kirloskar Oil Engines	Buy	1,408	1,600	14	204.6	2.3	4.8	5.6	6.8	33.0	38.4	46.6	42.7	36.7	30.2	25.9	22.2	18.2	5.5	15.9	20.8	29	133
LMW	Hold	15,524	14,988	(3)	165.8	1.8	1.6	2.7	4.4	153.5	253.6	416.3	101.1	61.2	37.3	74.3	43.4	25.6	5.2	8.8	11.5	9	10
Linde India	Hold	6,711	5,869	(13)	572.3	6.3	5.7	6.1	7.4	66.4	72.0	86.3	101.1	93.2	77.8	63.2	56.3	48.2	12.6	14.3	18.0	14	6
Larsen & Toubro	Buy	4,299	4,499	5	5,913.1	65.1	187.1	230.0	284.2	133.6	164.3	202.9	32.2	26.2	21.2	21.9	18.1	14.9	4.5	18.2	14.4	15	33
Siemens	Buy	3,351	3,752	12	1,193.3	13.1	24.5	20.4	24.3	68.8	57.4	68.2	48.7	58.4	49.1	37.6	43.5	36.0	7.2	12.8	17.8	16	39
Siemens Energy India	Buy	2,998	3,380	13	1,067.6	11.7	13.9	18.7	22.8	39.0	52.6	64.0	76.8	57.0	46.8	54.4	42.5	35.0	21.0	38.6	55.3	41	
Thermax	Hold	3,187	3,182	(0)	379.7	4.2	6.0	7.7	9.4	53.6	68.0	83.7	59.5	46.8	38.1	39.6	31.8	26.0	6.1	13.6	17.2	9	0
Transformers & Rectifiers India	Buy	296	463	56	88.9	1.0	2.7	3.5	4.5	8.5	11.1	14.5	34.7	26.8	20.5	21.8	16.3	12.4	5.2	21.1	27.7	27	-30
DEFENCE AND AEROSPACE																							
Bharat Dynamics	Buy	1,241	1,729	39	454.8	5.0	7.7	11.2	13.2	21.0	30.7	36.0	59.1	40.4	34.5	64.2	37.9	30.2	8.7	23.2	23.6	-12	21
Bharat Electronics	Buy	439	532	21	3,211.2	35.3	59.8	68.3	80.9	8.2	9.3	11.1	53.7	47.0	39.7	38.4	33.1	27.4	11.8	27.1	27.7	7	71
BEML	Buy	1,719	2,246	31	143.2	1.6	3.1	4.3	5.9	37.2	51.7	70.2	46.2	33.2	24.5	27.5	20.5	15.6	4.1	13.1	13.4	4	31
Cochin Shipyard	Sell	1,487	1,461	(2)	391.2	4.3	5.3	9.1	11.1	20.2	34.7	42.4	73.5	42.8	35.1	56.6	33.5	26.6	5.9	14.6	18.5	0	14
Garden Reach Shipbuilders	Buy	2,423	3,026	25	277.6	3.1	7.0	9.6	10.3	61.4	84.1	89.5	39.4	28.8	27.1	34.2	20.6	21.0	8.6	33.1	44.1	8	82
Hindustan Aeronautics	Buy	3,985	5,841	47	2,665.1	29.3	82.8	100.6	111.6	123.8	150.4	166.9	32.2	26.5	23.9	22.5	18.3	14.1	5.7	23.2	24.1	-7	21
Mazagon Dock Shipbuilders	Buy	2,238	3,407	52	902.7	9.9	27.1	30.2	38.1	67.3	74.8	94.4	33.3	29.9	23.7	23.6	15.6	17.0	8.1	29.8	38.7	-3	5
PTC Industries	Buy	18,047	23,354	29	270.6	3.0	0.9	2.6	7.0	57.9	175.4	467.1	311.9	102.9	38.6	178.6	70.3	27.8	15.8	16.5	20.9	3	78
Raymond	Buy	398	740	86	26.5	0.3	0.8	1.2	1.8	11.4	18.7	27.6	34.9	21.3	14.4	10.2	7.2	5.3	0.8	6.1	8.2	8	-16
Solar Industries	Buy	13,459	16,600	23	1,217.9	13.4	17.3	23.5	27.5	191.2	259.6	303.9	70.4	51.9	44.3	44.6	33.1	27.9	14.8	33.0	41.3	6	52
Zen Technologies	Buy	1,340	1,800	34	121.0	1.3	2.3	4.0	5.5	25.4	44.5	60.5	52.8	30.1	22.1	40.1	21.6	15.3	5.1	18.6	26.9	4	22
CONSUMER DURABLES																							
Bajaj Elec.	Hold	369	401	9	42.5	0.5	0.5	1.3	1.8	4.6	10.9	15.4	80.8	33.7	23.9	19.5	11.9	9.7	2.3	7.0	9.6	-6	-41
Blue Star	Hold	1,942	1,871	(4)	399.3	4.4	5.5	7.9	10.7	26.8	38.2	51.9	72.5	50.8	37.4	42.4	31.2	23.4	10.0	21.3	29.1	14	3
Crompton Consumer	Buy	263	331	26	169.5	1.9	5.2	6.2	7.6	8.0	9.7	11.8	32.7	27.2	22.3	20.4	16.6	13.4	4.2	16.2	19.3	17	-21
Eureka Forbes	Buy	485	701	45	93.8	1.0	2.0	2.6	3.4	10.2	13.6	17.5	47.5	35.6	27.6	28.4	22.7	18.1	1.9	5.6	6.7	-7	-5
Havells India	Buy	1,418	1,739	23	889.2	9.8	16.2	20.1	24.7	26.0	32.1	39.5	54.6	44.1	35.9	35.6	28.7	22.8	8.0	19.5	25.9	10	-8
LG Electronics	Buy	1,568	1,796	15	1,064.3	11.7	17.7	25.5	29.0	26.1	37.5	42.8	60.2	41.8	36.7	40.1	28.1	24.2	11.3	30.3	40.7	12	
Voltas	Hold	1,522	1,449	(5)	503.7	5.5	6.4	9.6	12.7	19.2	28.9	38.3	79.2	52.7	39.8	54.0	38.9	29.5	6.6	13.1	18.1	16	19
RAILWAYS																							
IRCON International	Hold	147	159	9	138.0	1.5	7.5	8.1	8.6	8.0	8.6	9.2	18.3	17.0	16.0	18.9	18.8	16.8	1.9	11.6	15.3	-4	-5
Jupiter Wagons	Hold	278	295	6	117.8	1.3	2.5	3.4	4.7	6.0	8.2	11.3	45.9	34.0	24.5	26.3	20.9	15.6	3.5	10.7	14.4	-9	-10
RITES	Hold	219	280	28	105.1	1.2	4.3	5.0	5.8	9.0	10.4	12.0	24.2	21.0	18.2	12.1	10.4	8.6	3.9	18.7	25.2	0	1
Rail Vikas Nigam	Sell	318	204	(36)	662.2	7.3	12.9	13.7	14.1	6.2	6.6	6.8	51.5	48.5	46.8	62.0	57.2	52.4	5.8	12.5	13.2	-2	-13
Titagarh Rail Systems	Buy	719	963	34	96.8	1.1	2.2	3.6	5.4	16.0	26.7	40.1	45.0	26.9	17.9	26.2	16.7	11.3	3.2	12.4	15.1	-9	-7

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Valuation Guide

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	EPS (INR) FY26	FY27	FY28	P/E (x) FY26	FY27	FY28	EV/EBITDA (x) FY26	FY27	FY28	P/BV (x) FY26	RoE (%) FY26	RoCE (%) FY26	Absolute (%) 1m	12m
INFRASTRUCTURE																							
Ahluwalia Contracts	Hold	754	1,090	45	50.5	0.6	2.9	3.3	4.1	42.6	48.6	60.5	17.7	15.5	12.5	8.8	7.1	5.6	2.1	14.5	23.1	-9	15
Ashoka Buildcon	Hold	138	192	39	38.7	0.4	1.9	3.3	4.6	6.9	11.8	16.3	20.0	11.7	8.5	10.1	6.8	5.1	0.9	7.6	12.4	-6	-28
Dilip Buildcon	Hold	432	458	6	70.2	0.8	1.9	2.6	3.6	11.6	15.8	22.1	37.2	27.4	19.6	9.6	8.9	7.7	1.1	4.1	9.0	-7	1
HG Infra Engineering	Buy	566	1,291	128	36.9	0.4	4.9	5.7	6.8	75.1	87.2	103.6	7.5	6.5	5.5	2.2	1.6	1.1	0.9	15.6	19.2	-4	-46
IRB Infra	Buy	41	62	50	248.2	2.7	9.1	10.1	11.6	1.5	1.7	1.9	27.4	24.5	21.3	10.3	9.7	9.0	1.2	4.9	5.4	3	-11
KNR Constructions	Hold	135	179	33	37.9	0.4	1.9	2.4	3.2	6.9	8.6	11.4	19.5	15.6	11.8	9.6	8.1	5.5	0.9	5.7	8.1	0	-41
NCC	Buy	152	262	73	95.2	1.0	7.1	9.6	12.3	11.3	15.3	19.6	13.4	9.9	7.8	5.9	4.8	3.9	1.1	11.5	19.8	7	-16
PNC Infratech	Buy	212	378	78	54.5	0.6	5.3	6.4	7.6	20.8	24.9	29.8	10.2	8.5	7.1	4.2	3.8	3.1	0.8	10.2	13.8	-2	-24
PSP Projects	Buy	751	881	17	29.8	0.3	1.5	1.9	2.7	38.5	48.9	68.6	19.5	15.4	10.9	10.3	8.4	6.3	2.0	13.5	17.1	9	20
Welspun Ent.	Hold	497	509	3	68.8	0.8	3.5	4.2	5.0	25.7	30.4	36.8	19.3	16.3	13.5	14.9	12.0	9.5	2.0	13.1	18.7	6	17
IT																							
Cyient	Buy	932	1,250	34	103.5	1.1	6.3	7.1	7.9	54.2	64.6	71.6	17.2	14.4	13.0	8.8	7.3	6.5	1.7	11.5	14.4	-14	-30
Birlasoft	Hold	372	360	(3)	103.9	1.1	5.1	6.0	6.6	16.7	21.6	23.9	22.2	17.2	15.6	12.0	11.3	9.7	2.5	15.2	20.8	-8	-19
FirstSource Sol.	Buy	219	325	49	152.4	1.7	7.8	8.5	9.7	9.6	12.1	13.7	22.7	18.1	15.9	11.5	9.8	8.5	3.2	18.5	14.1	-30	-38
HCL Tech	Hold	1,378	1,500	9	3,740.0	41.1	170.4	207.2	216.9	65.2	75.2	78.4	21.1	18.3	17.6	12.6	11.2	10.6	5.5	30.0	38.9	-19	-16
Infosys	Hold	1,290	1,475	14	5,230.9	57.5	283.2	310.9	321.3	68.3	75.0	77.5	18.9	17.2	16.6	11.9	10.3	9.6	4.7	28.5	36.5	-23	-27
LTI Mindtree	Buy	4,559	5,750	26	1,351.7	14.9	55.7	61.5	68.0	188.2	207.9	229.8	24.2	21.9	19.8	17.5	15.0	13.3	4.6	22.5	30.8	-23	-8
L&T Technology Services	Hold	3,276	3,875	18	347.2	3.8	13.2	15.2	17.8	121.2	143.1	168.3	27.0	22.9	19.5	16.4	14.2	11.9	5.0	22.6	28.4	-15	-31
Mphasis	Buy	2,258	3,100	37	430.5	4.7	18.7	21.6	24.6	98.5	113.6	129.5	22.9	19.9	17.4	13.9	12.2	10.4	4.0	20.6	26.4	-18	-8
Coforge	Buy	1,213	1,825	50	407.3	4.5	17.8	18.9	21.5	39.9	55.0	62.8	30.4	22.1	19.3	13.8	11.4	10.0	4.9	24.7	26.5	-26	-21
Persistent Sys	Hold	4,731	5,300	12	746.3	8.2	18.6	22.5	25.6	120.1	145.4	165.7	39.4	32.5	28.6	27.1	22.2	19.2	8.4	28.1	36.9	-23	-14
Quess Corp	Buy	197	300	52	29.4	0.3	2.2	2.5	3.0	14.5	16.9	20.4	13.6	11.6	9.6	7.8	7.1	6.0	2.4	21.1	21.2	1	-35
TCS	Hold	2,629	2,975	13	9,513.0	104.7	526.4	561.9	597.3	133.0	155.3	165.1	19.8	16.9	15.9	12.8	11.8	11.1	7.9	49.6	60.8	-17	-26
TeamLease	Buy	1,268	1,825	44	21.3	0.2	1.3	1.6	2.0	79.6	94.8	117.3	15.9	13.4	10.8	12.3	9.9	7.8	1.8	14.2	15.5	-10	-36
Tech Mahindra	Hold	1,362	1,550	14	1,334.3	14.7	49.8	65.0	68.8	56.2	73.3	77.6	24.2	18.6	17.6	14.3	12.3	11.6	4.9	26.1	38.3	-20	-15
Wipro	Hold	202	245	21	2,117.7	23.3	133.6	143.4	150.8	12.8	13.7	14.4	15.8	14.8	14.1	9.4	8.5	8.0	2.3	16.1	19.1	-15	-31
Zensar Technologies	Hold	543	650	20	123.4	1.4	7.9	7.9	8.8	33.1	34.5	38.2	16.4	15.7	14.2	10.9	9.8	8.3	2.5	16.7	22.3	-23	-32
METALS & MINING																							
Adani Ports & SEZ	Buy	1,529	1,912	25	3,522.1	38.7	135.1	156.6	172.1	62.5	72.5	79.7	24.5	21.1	19.2	17.6	15.4	13.8	3.7	19.3	16.3	17	42
APL Apollo Tubes	Buy	2,231	2,269	2	619.3	6.8	11.6	15.4	19.7	41.9	55.5	70.9	53.3	40.2	31.5	36.0	27.3	22.0	9.5	26.3	32.4	12	52
Hindalco Industries	Hold	937	942	1	2,106.6	23.2	160.9	159.8	182.5	72.4	71.9	82.1	13.0	13.0	11.4	8.5	7.6	6.8	1.4	11.0	12.8	-1	51
Hindustan Zinc	Hold	619	621	0	2,615.7	28.8	122.0	155.6	164.9	28.9	36.8	39.0	21.4	16.8	15.9	12.9	10.3	9.6	11.9	80.1	65.8	-11	52
Hi-Tech Pipes	Buy	88	111	26	17.9	0.2	0.8	1.2	1.6	4.0	6.1	7.9	22.0	14.5	11.1	11.4	8.5	7.1	1.2	8.9	12.0	17	-21
Indian Hume Pipe	Buy	341	451	32	18.0	0.2	0.9	1.1	1.2	17.2	20.3	23.3	19.8	16.8	14.6	11.0	9.2	8.1	1.1	7.0	9.6	-9	-4
Jindal Steel	Buy	1,267	1,213	(4)	1,291.9	14.2	29.1	52.8	88.6	28.7	52.2	87.5	44.1	24.3	14.5	14.8	10.9	7.7	2.3	9.9	11.2	19	48
JSW Steel	Hold	1,275	1,005	(21)	3,118.0	34.3	86.1	129.1	148.0	35.4	53.0	60.7	36.1	24.1	21.0	13.3	10.9	10.0	3.3	14.4	13.1	9	33
JTL Industries	Buy	64	105	65	25.1	0.3	1.0	1.7	2.8	2.6	4.3	7.0	24.9	14.9	9.1	17.2	10.7	6.8	1.7	12.1	15.6	-16	-28
Kirloskar Ferrous	Buy	414	564	36	68.2	0.8	3.5	4.4	6.1	21.2	26.4	36.9	19.5	15.7	11.2	9.8	8.4	6.7	1.7	11.2	13.2	-8	-11
MOIL	Buy	308	384	25	62.6	0.7	2.7	4.9	6.7	13.5	24.1	32.8	22.8	12.8	9.4	12.0	6.7	4.7	2.0	16.4	22.3	-8	-2
NALCO	Buy	360	420	17	660.8	7.3	56.7	65.2	73.9	30.9	35.5	40.2	11.7	10.1	8.9	7.4	6.2	5.2	2.5	27.0	35.3	-3	99
NMDC	Buy	82	95	17	719.7	7.9	72.2	82.6	90.1	8.2	9.4	10.3	10.0	8.7	8.0	7.1	6.0	5.3	1.9	22.8	28.0	7	26
SAIL	Hold	165	133	(19)	681.2	7.5	29.7	41.0	44.4	7.2	9.9	10.7	22.9	16.6	15.3	9.5	8.2	7.7	1.1	6.5	7.1	11	55
Tata Steel	Buy	215	217	1	2,679.6	29.5	102.4	153.3	184.0	8.2	12.3	14.8	26.1	17.5	14.5	10.7	8.5	7.5	2.3	14.3	13.8	14	57
Venus Pipes	Buy	1,050	1,592	52	21.8	0.2	1.1	1.6	1.9	53.7	76.6	93.7	19.6	13.7	11.2	11.9	9.1	7.7	2.7	21.9	24.2	2	-23
Vedanta	Hold	728	729	0	2,846.0	31.3	193.7	277.7	324.6	49.5	71.0	83.0	14.7	10.2	8.8	6.4	5.1	4.4	5.0	54.7	35.5	6	78
OIL & GAS																							
BPCL	Buy	381	530	39	1,653.2	18.2	262.5	211.9	187.3	60.5	48.8	43.2	6.3	7.8	8.8	4.5	5.4	6.1	1.5	20.6	21.2	9	53
GAIL	HOLD	170	172	1	1,117.8	12.3	73.0	86.5	92.7	11.1	13.2	14.1	15.3	12.9	12.1	11.1	8.9	8.1	1.4	11.2	11.9	6	6
Gujarat Gas	Hold	406	420	4	279.5	3.1	11.3	12.7	13.5	16.4	18.4	19.7	24.7	22.0	20.6	15.0	13.2	12.1	2.8	13.4	16.2	0	3
HPCL	Buy	437	705	62	929.2	10.2	163.6	136.8	135.6	76.9	64.3	63.7	5.7	6.8	6.9	4.9	5.7	5.7	1.4	21.8	16.5	5	41
IGL	Hold	169	175	3	236.4	2.6	14.8	18.5	15.9	10.6	13.2	11.4	15.9	12.8	14.9	9.8	7.7	8.6	2.0	16.8	21.4	-3	-15
Indian Oil Corp	Buy	183	202	10	2,584.6	28.4	336.2	284.7	258.9	23.8	20.2	18.3	7.7	9.1	10.0	6.0	6.6	6.5	1.2	13.9	12.7	17	54
Mahanagar Gas	Hold	1,201	1,070	(11)	118.6	1.3	9.2	8.8	8.4	92.7	89.2	85.5	13.0	13.5	14.0	5.8	6.1	6.1	1.7	12.9	16.4	12	-9
Oil India	Buy	470	567	21	764.9	8.4	40.9	56.5	64.6	25.2	34.7	39.7	18.7	13.5	11.8	11.2	9.2	8.1	1.5	11.4	12.5	8	26
ONGC	Buy	277	335	21	3,490.4	38.4	335.3	330.6	341.9	26.7	26.3	27.2	10.4	10.6	10.2	5.3	5.0	4.7	1.0	9.6	11.7	13	19
Petronet LNG	Buy	314	350	12	470.9	5.2	37.9	41.9	43.4	25.3	27.9	29.0	12.4	11.2	10.8	7.5	7.4	7.6	1.9	18.3	21.5	13	8
Reliance Industries	Buy	1,399	1,700	22	18,925.7	208.2	733.0	865.9	925.6	54.2	64.0	68.4	25.8	21.9	20.4	11.4	9.5	8.5	1.8	8.5	9.7	1	16

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Valuation Guide

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	EPS (INR) FY26	FY27	FY28	P/E (x) FY26	FY27	FY28	EV/EBITDA (x) FY26	FY27	FY28	P/BV (x) FY26	RoE (%) FY26	RoCE (%) FY26	Absolute (%) 1m	12m
PHARMA & HEALTHCARE																							
Artemis Medicare Services	Buy	232	340	47	36.8	0.4	1.1	1.3	2.0	6.8	8.7	12.7	33.9	26.7	18.2	18.6	14.7	10.3	3.0	13.5	15.5	3	-12
CIPLA	Hold	1,346	1,380	3	1,087.4	12.0	40.6	46.0	51.4	50.3	56.9	63.7	26.8	23.6	21.1	18.0	15.7	13.8	6.3	13.9	19.3	2	-8
Concord Biotech	Buy	1,231	1,380	12	128.8	1.4	3.1	4.4	5.7	29.9	42.0	54.3	41.1	29.3	22.7	28.7	20.9	16.1	5.7	20.6	26.8	-1	-24
Dr. Lal Pathlabs	Hold	1,425	1,500	5	238.8	2.6	5.2	6.1	7.0	31.0	36.5	41.7	46.0	39.0	34.1	29.9	25.6	22.2	8.2	22.6	29.9	4	18
Dr Reddys	Hold	1,307	1,150	(12)	1,090.5	12.0	52.7	46.7	52.4	63.2	56.0	62.9	20.7	23.3	20.8	13.8	14.4	12.3	14.0	12.6	13.3	6	16
Metropolis Healthcare	Hold	1,886	2,040	8	97.8	1.1	2.1	2.6	3.0	40.9	51.1	58.1	46.1	36.9	32.5	24.1	19.9	16.8	5.6	15.8	19.1	4	14
Torrent Pharma	Buy	4,419	4,610	4	1,495.5	16.5	24.9	31.0	37.2	73.5	91.5	109.8	60.1	48.3	40.2	35.7	28.9	24.2	66.9	30.2	34.2	12	46
Vijaya Diagnostic Centre	Buy	990	1,140	15	101.9	1.1	1.7	2.1	2.8	16.6	20.8	27.0	59.5	47.6	36.7	30.8	25.6	20.2	8.6	19.8	23.2	-1	-7
REALTY																							
Arvind SmartSpaces	Buy	535	819	53	24.5	0.3	0.7	0.9	1.1	17.3	20.2	26.8	30.9	26.5	20.0	17.5	13.4	11.2	3.0	12.0	14.2	2	-26
Brigade Enterprise	Buy	714	982	37	174.7	1.9	8.0	11.8	15.3	34.6	51.2	66.4	20.7	14.0	10.8	10.3	7.7	5.9	11.5	16.8	16.0	-6	-27
Aditya Birla Real Estate	Buy	1,262	2,032	61	141.0	1.6	-0.6	0.3	11.4	-5.0	3.1	102.2	-254.7	412.9	12.4	80.5	59.1	10.3	3.9	0.9	2.0	-2	-33
DLF	Buy	611	788	29	1,512.9	16.6	50.9	72.1	82.6	20.6	29.1	33.4	29.7	21.0	18.3	58.4	45.8	40.3	2.8	14.1	6.6	4	-7
Godrej Properties	Buy	1,798	2,049	14	541.5	6.0	15.2	33.0	44.9	50.4	109.7	149.1	35.6	16.4	12.1	79.1	63.3	50.8	2.4	16.1	15.5	17	-10
Kolte Patil	Buy	367	493	34	32.5	0.4	0.6	0.8	0.9	7.9	11.2	11.5	46.4	32.9	31.8	22.6	17.8	17.3	3.1	9.6	11.6	3	41
LODHA Developers	Buy	1,023	1,220	19	1,021.4	11.2	30.5	36.0	38.4	30.5	36.1	38.5	33.5	28.3	26.6	22.2	19.0	17.5	3.8	14.4	16.3	14	-15
Nexus Select Trust	Buy	161	189	17	244.3	2.7	8.8	10.6	11.8	5.8	7.0	7.8	27.9	23.0	20.8	14.1	13.5	12.1	1.9	8.0	9.4	1	21
Oberoi Realty	Buy	1,518	1,861	23	552.0	6.1	31.0	35.6	40.6	85.2	98.0	111.7	17.8	15.5	13.6	13.5	11.5	9.7	2.5	17.3	19.7	4	-2
Phoenix	Buy	1,694	2,307	36	605.8	6.7	11.8	15.5	17.7	33.1	43.3	49.4	51.2	39.1	34.3	25.3	20.9	18.6	4.9	13.1	12.1	-2	8
Prestige Estates	Buy	1,421	1,984	40	611.9	6.7	7.4	14.7	14.0	17.1	34.1	32.5	82.9	41.6	43.8	27.7	19.0	18.7	3.5	8.3	9.3	2	19
Sobha	Buy	1,456	2,399	65	155.7	1.7	3.2	6.1	8.7	29.7	57.3	81.1	48.9	25.4	18.0	24.6	14.9	9.5	2.8	11.8	16.5	5	23
Sunteck Realty	Buy	408	512	25	59.8	0.7	2.8	2.4	2.7	19.4	16.6	18.6	21.1	24.5	21.9	16.9	20.1	17.7	1.6	6.9	8.7	10	8
TELECOM																							
Bharti Airtel	Buy	1,913	2,420	26	11,690.0	128.6	320.3	464.5	582.4	53.5	77.6	97.3	35.8	24.7	19.7	10.8	8.7	7.2	6.7	30.2	23.8	-4	17
TEXTILE																							
Arvind	Buy	357	400	12	93.6	1.0	4.0	5.1	6.5	15.3	19.6	25.0	23.3	18.2	14.3	11.2	9.5	7.9	2.0	11.6	13.5	20	9
KPR Mills	Buy	923	1,154	25	315.4	3.5	8.4	11.6	14.1	24.5	33.9	41.2	37.7	27.2	22.4	25.2	18.9	15.6	4.8	19.0	24.8	9	14
Nitin Spinners	Buy	388	437	13	21.8	0.2	1.6	1.9	2.5	28.3	34.5	43.7	13.7	11.3	8.9	8.9	7.8	5.9	1.3	12.6	10.8	22	21
SANATHAN Textiles	Buy	402	546	36	33.9	0.4	0.8	2.6	4.2	9.7	31.0	49.6	41.5	13.0	8.1	16.9	9.0	6.1	1.6	13.0	12.0	-7	28
Vardhman Textile	Buy	545	424	(22)	157.7	1.7	7.5	9.1	11.0	26.4	31.9	38.5	20.7	17.1	14.2	13.8	11.3	9.4	1.4	8.4	9.8	35	34
Welspun Living	Buy	127	166	31	121.9	1.3	2.1	6.9	8.8	2.2	7.2	9.2	57.2	17.6	13.8	17.6	10.2	8.3	2.3	13.1	13.9	5	10
UTILITIES																							
Adani Power	Buy	141	187	33	2,710.3	29.8	111.6	120.5	136.0	5.8	6.2	7.1	24.3	22.5	19.9	15.5	13.5	11.9	3.4	16.4	16.3	6	41
CESC	Buy	160	201	26	212.2	2.3	16.5	17.6	19.6	12.4	13.2	14.8	12.9	12.1	10.8	8.0	7.6	6.9	1.5	13.2	11.0	14	20
COAL India	Buy	439	433	(1)	2,703.0	29.7	327.7	342.9	375.1	53.2	55.6	60.9	8.2	7.9	7.2	5.2	4.7	4.1	2.0	27.2	34.2	5	21
Indian Energy Exchange	Hold	128	146	14	113.9	1.3	4.7	4.9	5.2	5.3	5.5	5.8	24.1	23.3	21.9	18.5	17.5	16.4	7.9	36.2	47.5	0	-23
JSW Energy	Buy	490	648	32	856.5	9.4	27.8	31.8	33.5	15.9	18.2	19.2	30.7	26.9	25.5	13.6	12.2	11.5	2.7	10.3	9.3	3	5
NHPC	Hold	76	85	12	760.1	8.4	38.3	50.9	60.9	3.7	5.0	5.9	20.3	15.2	12.7	21.9	16.7	14.0	1.7	11.8	5.6	1	0
NTPC	Buy	385	423	10	3,732.2	41.1	205.7	217.6	233.9	21.2	22.4	24.1	18.1	17.2	16.0	11.0	10.6	10.1	2.0	12.0	9.1	14	21
Power Grid	Hold	307	294	(4)	2,857.6	31.4	158.6	175.8	196.5	17.1	18.9	21.1	18.0	16.3	14.5	9.9	9.2	8.7	2.6	16.9	13.1	21	20
SJVN	Hold	75	97	28	295.4	3.2	11.2	14.1	15.2	2.8	3.6	3.9	26.5	21.0	19.4	20.3	16.1	16.1	2.0	9.5	5.2	6	-16
Torrent Power	Hold	1,566	1,314	(16)	789.0	8.7	26.6	30.7	35.0	52.7	60.9	69.5	29.7	25.7	22.5	15.7	14.4	13.2	3.7	15.1	12.9	23	18
Tata Power	Buy	381	467	23	1,218.2	13.4	56.8	66.5	77.4	17.8	20.8	24.2	21.4	18.3	15.7	10.5	10.0	9.5	2.5	13.8	9.6	10	8
TRAVEL & LEISURE																							
Indian Hotels	Hold	677	775	15	963.2	10.6	18.6	21.7	26.5	13.1	15.2	18.6	51.8	44.4	36.3	30.4	25.3	21.1	6.7	16.0	17.2	5	-7
Chalet Hotels	Buy	829	1,250	51	181.5	2.0	4.9	6.6	8.1	22.6	30.4	37.2	36.6	27.3	22.3	21.2	16.9	14.0	4.1	16.4	14.3	0	0
Samhi Hotels	Buy	167	255	53	37.0	0.4	1.4	2.3	3.0	7.5	11.3	14.8	22.3	14.8	11.3	11.0	8.7	7.5	1.8	11.9	13.3	0	0
Yatra Online	Buy	114	230	102	17.9	0.2	0.5	0.9	1.1	3.5	5.6	7.2	33.0	20.5	15.9	19.0	13.3	10.1	1.9	9.9	11.8	-20	48
Lenskart	Hold	505	503	(0)	876.9	9.6	4.2	7.3	11.4	2.4	4.2	6.5	207.5	120.8	77.2	51.2	38.0	28.5	9.3	8.0	12.6	19	
MIDCAP DIVERSIFIED																							
CCL Products	Buy	1,036	1,200	16	138.3	1.5	3.8	4.9	6.4	28.3	36.5	47.9	36.6	28.4	21.6	20.8	18.0	14.9	5.2	19.8	18.0	12	75
EPL	Buy	216	260	20	69.1	0.8	4.1	4.8	5.6	12.8	15.1	17.5	16.8	14.3	12.3	7.6	6.7	5.8	2.5	17.9	22.5	6	2
Ganesha Ecosphere	Buy	774	1,250	61	20.8	0.2	0.3	1.1	1.5	13.0	40.0	56.7	59.3	19.4	13.7	18.8	12.9	8.1	1.5	8.1	8.4	13	-44
Gravita India	BUY	1,595	2,150	35	117.7	1.3	3.9	4.6	5.3	52.9	62.7	71.7	30.2	25.4	22.2	23.6	19.8	16.9	4.2	17.7	20.3	3	-6
Mold-Tek Packaging	Buy	563	800	42	18.7	0.2	0.7	1.0	1.2	21.8	28.7	36.2	25.8	19.6	15.6	11.9	9.8	8.0	2.4	12.9	11.4	2	14

Valuation Guide

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	BVPS (INR) FY26	FY27	FY28	P/BV (x)* FY26	FY27	FY28	NNPA Ratio (%) FY26	FY27	FY28	P/E (x) FY26	RoE (%) FY26	RoA (%) FY26	Absolute (%) 1m	12m
FINANCIALS																							
Axis Bank	Buy	1,403	1,505	7	4,358.7	48.0	242.2	312.4	372.2	628.4	725.7	841.9	2.1	1.8	1.5	0.4	0.4	0.4	13.9	14.9	1.6	12	39
Bank of Baroda	Hold	316	315	(0)	1,633.4	18.0	195.0	199.4	215.9	267.2	297.2	329.7	1.2	1.1	1.0	0.5	0.5	0.5	8.2	13.6	1.0	7	54
Canara Bank	Hold	159	165	4	1,441.6	15.9	184.1	188.9	204.7	118.9	135.3	153.1	1.3	1.2	1.0	0.4	0.4	0.4	7.6	16.4	0.9	5	87
City Union Bank	Buy	290	325	12	215.4	2.4	13.2	14.9	18.1	144.1	162.7	185.7	2.0	1.8	1.6	0.7	0.5	0.5	14.4	13.1	1.5	5	95
DCB Bank	Buy	191	235	23	61.6	0.7	7.2	8.3	10.1	190.0	214.2	243.6	1.0	0.9	0.8	1.1	1.0	1.0	7.4	12.8	0.9	5	78
Equitas SFB	Buy	66	85	29	75.0	0.8	0.1	7.2	9.7	53.3	59.6	68.1	1.2	1.1	1.0	0.8	0.8	0.8	10.4	11.1	1.1	-8	12
Federal Bank	Buy	299	310	4	736.4	8.1	39.8	49.0	57.3	153.1	171.1	194.7	2.0	1.7	1.5	0.4	0.4	0.4	15.4	12.0	1.2	7	67
HDFC Bank	Buy	908	1,200	32	13,967.5	153.7	743.4	846.0	988.9	354.1	395.5	467.1	2.2	2.0	1.6	0.3	0.3	0.3	16.4	14.7	1.9	-1	8
ICICI Bank	Buy	1,401	1,715	22	10,023.2	110.3	489.7	579.7	659.5	467.2	533.2	606.4	2.5	2.1	1.8	0.4	0.4	0.4	17.2	16.0	2.4	4	14
IndusInd Bank	Hold	937	950	1	730.3	8.0	5.3	37.4	63.8	830.9	879.0	950.9	1.1	1.1	1.0	1.0	0.8	0.5	19.5	5.6	0.7	5	-9
Karur Vysya Bank	Buy	337	320	(5)	325.5	3.6	24.7	26.5	30.4	146.7	171.2	199.3	2.3	2.0	1.7	0.2	0.2	0.2	12.3	17.2	1.8	27	93
Kotak Mahindra Bank	Buy	425	495	17	4,226.7	46.5	139.2	170.3	204.0	132.2	148.7	168.5	2.5	2.2	1.8	0.3	0.3	0.3	5.0	12.2	2.1	1	8
Punjab National Bank	Hold	131	140	7	1,500.3	16.5	163.4	208.6	222.3	115.0	129.5	145.0	1.1	1.0	0.9	0.3	0.3	0.2	7.2	14.9	1.0	9	40
State Bank of India	Buy	1,200	1,210	1	11,077.7	121.9	804.3	833.9	917.8	519.1	591.4	670.9	1.9	1.6	1.4	0.3	0.3	0.3	13.3	15.6	1.1	17	69
South Indian Bank	Hold	41	48	17	107.2	1.2	14.2	14.9	16.2	42.1	47.1	52.6	1.0	0.9	0.8	0.4	0.4	0.4	7.2	12.8	1.0	-9	71
Ujjivan Small Bank	Buy	61	76	24	118.8	1.3	6.4	10.9	12.6	34.7	40.4	46.9	1.8	1.5	1.3	0.6	0.5	0.4	10.9	15.0	1.8	-3	95
Union Bank of India	Buy	199	225	13	1,521.4	16.7	178.9	191.0	203.3	159.6	179.5	200.8	1.2	1.1	1.0	0.5	0.4	0.3	8.0	14.8	1.2	15	71

**Adjusted for subsidiaries*

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	BVPS (INR) FY26	FY27	FY28	P/BV (x)* FY26	FY27	FY28	NNPA Ratio (%) FY26	FY27	FY28	P/E (x) FY26	RoE (%) FY26	RoA (%) FY26	Absolute (%) 1m	12m
NBFCs																							
Cholamandalam Invest.	Buy	1,755	1,850	5	1,494.3	16.4	50.7	66.1	82.1	350.8	430.7	535.1	5.0	4.1	3.3	1.8	1.8	1.8	22.8	19.8	2.5	7	28
Bajaj Finance	Buy	1,021	1,070	5	6,353.5	69.9	194.2	260.4	333.8	181.7	217.0	262.8	5.6	4.7	3.9	0.0	0.0	0.0	24.4	21.0	4.1	10	20

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	VNB (INR bn) FY26	FY27	FY28	EVPS (INR) FY26	FY27	FY28	P/EV (x) FY26	FY27	FY28	P/VNB (x) FY26	FY27	FY28	RoEV (%) FY26	Absolute (%) 1m	12m
Insurance																					
HDFC Life Insurance	Buy	735	890	21	1,586.4	17.5	43.1	50.4	58.8	288.0	331.5	381.3	2.6	2.2	1.9	21.9	16.8	12.5	15.7	3	18
ICICI Prudential Life Insurance	Buy	668	790	18	968.2	10.7	26.0	29.4	33.0	374.4	421.8	475.1	1.8	1.6	1.4	16.3	12.1	8.4	12.9	5	18
LIC of India	Buy	875	1,100	26	5,533.4	60.9	125.8	141.7	154.7	1,346.7	1,476.3	1,619.6	0.6	0.6	0.5	NA	NA	NA	10.7	9	16
Max Life Insurance*	Buy	1,855	2,150	16	640.1	7.0	26.0	31.1	36.9	853.9	1,008.9	1,191.5	3.4	2.9	2.4	27.2	21.0	16.0	18.1	16	83
SBI Life Insurance	Buy	2,074	2,500	21	2,079.5	22.9	67.7	78.5	89.1	819.9	962.0	1,124.9	2.5	2.2	1.8	18.6	14.2	10.7	17.6	4	41

**Valuations after factoring 20% holdco discount*

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